

Crypto Digital Assets

Standard Suitability Hypotheticals

50 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

Topic: illiquid_investments | Difficulty: hard

[NON-COM]

Fact Pattern

Margaret Colvin, age 71, is a retired schoolteacher in Tucson, Arizona, with a fixed monthly income of \$3,200 from her pension and Social Security. Her total liquid savings amount to approximately \$410,000, held primarily in a traditional IRA and a taxable brokerage account. She has no other sources of income and relies on periodic withdrawals from her savings to cover medical expenses and property taxes. Her stated investment objectives on her account opening documents were "income generation" and "capital preservation," and her risk tolerance was marked as "conservative." She has no prior experience with digital assets or alternative investments.

In March 2024, her financial advisor, Derek Statham, age 38, presented Margaret with what he described as a "high-yield digital savings opportunity" through a platform called NovaYield. NovaYield offered a product in which customers deposited stablecoins (specifically USDC) into pooled lending accounts, and the platform promised annual percentage yields of 9.5%. Derek explained that stablecoins were "pegged to the dollar" and therefore "essentially the same as cash, just earning better interest than a bank CD." He did not explain that once deposited, the stablecoins would be lent to institutional borrowers and DeFi protocols at NovaYield's discretion, that the deposits were not insured by any government agency, or that customers could face withdrawal restrictions or lockup periods of up to 90 days.

Derek recommended that Margaret move \$185,000—roughly 45% of her total liquid net worth—into the NovaYield product. He assisted her in converting dollars to USDC through a third-party exchange, then transferring the USDC to a NovaYield wallet. Margaret signed a participation agreement, but Derek did not walk her through the 47-page terms of service, which included provisions granting NovaYield full rehypothecation rights over deposited assets and stating that depositors were unsecured creditors in the event of insolvency.

For approximately five months, Margaret received monthly yield payments totaling about \$7,300. In August 2024, NovaYield announced it was pausing all withdrawals due to "market conditions and liquidity constraints." By October 2024, the platform filed for bankruptcy protection. Margaret's \$185,000 in deposited USDC was frozen, and as of July 2025, she has recovered nothing. She has been forced to delay elective knee surgery and has fallen behind on property tax payments.

Derek earned a \$5,550 referral fee from NovaYield for directing Margaret's assets to the platform, a fact he

did not disclose to her. His firm's internal compliance manual listed crypto-related yield products as requiring heightened supervisory review for clients over age 65 or those with conservative risk profiles, but no such review was conducted. Derek had recommended the same NovaYield product to at least fourteen other clients, nine of whom were retirees over age 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Statham committed multiple serious violations of applicable regulatory standards.

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Exchange Act, a financial professional must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and investment experience. Margaret Colvin is a 71-year-old conservative retiree with limited fixed income, no investment experience in digital assets, stated objectives of income generation and capital preservation, and a critical need for liquidity to cover medical and tax expenses. Recommending that she place 45% of her liquid net worth into an unregistered, illiquid crypto-yield product with 90-day lockup provisions and rehypothecation risk is fundamentally unsuitable and fails to satisfy Reg BI's Care Obligation (17 CFR §240.15l-1(a)(2)(ii)).

The NovaYield product bears hallmarks of the unregistered securities identified in enforcement actions against BlockFi, Celsius, Gemini Earn, and Genesis. Under the SEC's application of the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) and the SEC's 2019 Framework for "Investment Contract" Analysis of Digital Assets, pooled crypto-lending products in which investors deposit assets with an expectation of profit derived from the managerial efforts of the platform operator are investment contracts and therefore securities. NovaYield's product-pooling deposited stablecoins, lending them at the platform's discretion, and distributing yield-almost certainly constitutes an unregistered security. Recommending an unregistered security to a retail customer compounds the suitability violation.

****Disclosure and Conflict of Interest Violations:****

Derek failed to disclose the \$5,550 referral fee he received from NovaYield. Under Reg BI's Disclosure Obligation (17 CFR §240.15l-1(a)(2)(i)), broker-dealers and their associated persons must disclose all material facts relating to conflicts of interest associated with a recommendation. For investment advisers, Section 206 of the Investment Advisers Act of 1940 imposes a fiduciary duty requiring full and fair disclosure of all material conflicts. The undisclosed referral fee is a material conflict that could influence the recommendation and its concealment is a standalone violation.

Additionally, Derek's characterization of stablecoins as "essentially the same as cash" and the yield product as a "digital savings opportunity" constitutes a material misrepresentation in violation of Exchange Act §10(b) and Rule 10b-5, as well as potentially FINRA Rule 2210 (Communications with the Public), which prohibits misleading statements. Stablecoins are not FDIC-insured, depositors were unsecured creditors, and the product carried significant illiquidity and credit risk-none of which was communicated.

****Supervisory Failures:****

Derek's firm failed to conduct the heightened supervisory review required by its own internal compliance manual for crypto-yield product recommendations to clients over 65 with conservative profiles. This constitutes a violation of FINRA Rule 3110 (Supervision) and exposes the firm to liability.

****CFTC Jurisdictional Considerations:****

To the extent USDC or other crypto assets involved may be classified as commodities, the CFTC has asserted jurisdiction over fraud and manipulation in crypto commodity markets under Sections 6(c)(1) and 9(a)(2) of the Commodity Exchange Act. The misrepresentations made to Margaret could also implicate CFTC anti-fraud authority.

****Likely Regulatory Outcome:****

Derek faces potential sanctions including fines, disgorgement of the referral fee, suspension or bar from the industry, and restitution to Margaret and other affected clients. The firm faces supervisory failure charges. The pattern of recommending this product to at least fourteen clients-nine of them elderly retirees-suggests a systemic practice that would likely draw heightened enforcement scrutiny. Margaret would also have strong grounds for a FINRA arbitration claim seeking recovery of her \$185,000 plus consequential damages.

Hypothetical 2

[NON-COM]

Topic: *crypto_assets_unsuitable* | Difficulty: *hard*

Fact Pattern

Marcus Webb, age 71, is a retired postal worker living in Tampa, Florida, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. His total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA (\$310,000) and a savings account (\$75,000). His wife, age 69, has early-stage dementia and requires in-home care costing roughly \$3,200 per month. Marcus's stated investment objectives on his new account form, completed in January 2024 with advisor Danielle Pryor at Ridgeline Wealth Partners, were capital preservation and income generation, with a conservative risk tolerance. Marcus noted on the form that he had no experience with digital assets, options, or alternative investments, and that he expected to begin drawing down his IRA within two years to cover his wife's escalating care costs.

In February 2024, Danielle recommended that Marcus allocate \$155,000-approximately 50% of his IRA-into a portfolio of digital assets. Specifically, she recommended \$60,000 into Bitcoin, \$40,000 into Ethereum, \$30,000 into Solana, and \$25,000 into a yield-bearing crypto lending product offered by a platform called NovaYield, which promised a fixed 9.2% annual percentage yield on stablecoin deposits. Danielle told Marcus that the NovaYield product was 'essentially like a high-yield savings account but on the blockchain' and that the stablecoin peg meant 'your principal is safe.' She did not disclose that NovaYield was not registered as a securities issuer or broker-dealer, nor did she mention that several similar platforms had recently faced enforcement actions and asset freezes. She also did not explain that the yield was generated by NovaYield re-lending deposited assets to institutional borrowers and DeFi protocols with

varying credit risk.

Danielle earned a 2.5% upfront placement fee on the NovaYield deposit (\$625) and her firm received a 1.75% ongoing advisory fee on the entire crypto allocation. She documented the recommendation in a brief email to Marcus stating, 'Crypto is the future-this will help you keep up with inflation and generate income.' No written suitability analysis or risk disclosure specific to digital assets was placed in Marcus's file. She did not discuss concentration risk, liquidity constraints, the volatility history of the recommended tokens, or the possibility of total loss on the NovaYield platform.

By August 2024, Bitcoin had declined 22%, Ethereum 31%, and Solana 47% from the purchase prices. In September 2024, NovaYield suspended withdrawals citing a 'liquidity event,' and Marcus was unable to access his \$25,000 stablecoin deposit. By December 2024, NovaYield entered receivership proceedings, and depositors were told recoveries might range from 10 to 30 cents on the dollar. Marcus's total crypto portfolio had declined to approximately \$82,000, representing a loss of roughly \$73,000, or 47% of the amount invested. Marcus filed a complaint with Ridgeline's compliance department in October 2024, stating that Danielle never explained the risks and that he would never have agreed to put half his retirement savings into cryptocurrency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Pryor committed multiple serious violations of applicable regulatory standards.

1. ****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Allocating 50% of a 71-year-old retiree's IRA-his primary source of liquidity for imminent medical expenses-into highly volatile digital assets and an unregistered yield product is facially unreasonable given his stated conservative risk tolerance, capital preservation objective, near-term income needs, and zero experience with digital assets. The recommendation fails both the reasonable-basis and customer-specific components of suitability and best interest analysis.
2. ****Investment Advisers Act §206 (Fiduciary Duty):** If Danielle or Ridgeline Wealth Partners operates in an advisory capacity (as suggested by the ongoing 1.75% advisory fee), the anti-fraud provisions of §206(1) and §206(2) of the Investment Advisers Act impose a fiduciary duty to act in the client's best interest with full and fair disclosure of all material facts. Danielle's characterization of NovaYield as 'essentially like a high-yield savings account' was materially misleading. She failed to disclose: (a) the platform's unregistered status; (b) the counterparty and credit risks inherent in crypto lending; (c) the enforcement environment surrounding similar platforms like BlockFi, Celsius, Gemini Earn, and Genesis, which faced SEC enforcement actions for offering unregistered securities in the form of yield-bearing crypto products; and (d) the concentration risk of placing 50% of retirement assets in a single volatile asset class.
3. ****SEC Howey Test & Digital Asset Framework (2019):** The NovaYield product-where investors deposit

assets with the expectation of profit derived from the managerial efforts of the platform in re-lending to third parties-almost certainly constitutes an investment contract (security) under the Howey test (investment of money in a common enterprise with expectation of profits derived from efforts of others). Recommending an unregistered security without disclosing its regulatory status or the associated risks compounds the violation. The SEC's enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, and Genesis/Gemini Earn demonstrate the agency's view that such products are securities requiring registration under the Securities Act of 1933.

4. ****Exchange Act §10(b) and Rule 10b-5:**** Danielle's affirmative misrepresentation that the NovaYield product was akin to a savings account and that 'principal is safe' constitutes a material misstatement in connection with the purchase of a security. The omission of known risks-including the platform's unregistered status and the recent wave of enforcement actions against analogous platforms-satisfies the elements of fraud under §10(b).

5. ****FINRA Rule 2111 (Suitability) and FINRA Rule 2210 (Communications):**** If Danielle is a FINRA-registered representative, her recommendation violates FINRA's suitability rule on all three levels: reasonable-basis (crypto lending products carry extreme counterparty risk), customer-specific (a conservative 71-year-old retiree with imminent liquidity needs and no crypto experience), and quantitative (50% concentration in a single speculative asset class). FINRA's guidance on digital assets, including Regulatory Notice 22-08 (complex products), emphasizes heightened diligence for complex or novel products. Her email characterization of crypto as 'the future' without balanced risk disclosure also likely violates communications standards.

6. ****CFTC Jurisdiction:**** To the extent Bitcoin and possibly Ethereum are classified as commodities under the Commodity Exchange Act, the CFTC has fraud and manipulation authority under CEA §6(c)(1). However, the primary violations here arise under securities law given the nature of the NovaYield product and the advisory relationship.

7. ****Documentation Failures:**** The absence of any written suitability analysis, risk disclosure documentation, or rationale in Marcus's file violates both Reg BI's Compliance Obligation (requiring written policies and procedures) and general books-and-records requirements.

****Likely Regulatory Outcome:**** Danielle faces potential disciplinary action including fines, disgorgement of fees, suspension or bar from the industry. Ridgeline Wealth Partners faces supervisory failure liability. Marcus has strong grounds for a FINRA arbitration claim seeking full compensatory damages of approximately \$73,000 plus the likely total loss on the NovaYield deposit. Regulators could also pursue the firm for failure to supervise under FINRA Rules 3110 and 3120. The egregiousness of recommending an unregistered yield product to an elderly, unsophisticated retiree with conservative objectives and imminent liquidity needs represents a textbook violation of virtually every applicable investor protection standard.

Hypothetical 3

Topic: illiquid_investments | Difficulty: hard

[NON-COM]

Fact Pattern

Marcus Whitfield, age 71, is a retired postal worker living in Raleigh, North Carolina, with an annual pension income of \$42,000, Social Security benefits of \$22,800, and total liquid savings of approximately \$310,000 held across a traditional IRA and a taxable brokerage account. His wife, Dorothy, age 69, has early-stage dementia and requires in-home care costing roughly \$3,200 per month out of pocket. Marcus's stated investment objectives were capital preservation and income generation, and on his new account form he indicated a conservative risk tolerance with a five-year time horizon, noting that the couple might need to access a significant portion of their savings for potential assisted living facility costs within two to three years.

In March 2023, Marcus's financial advisor, Kevin Ostrowski, who had been his advisor for eleven years, recommended that Marcus allocate \$85,000—approximately 27% of his liquid net worth—into a tokenized real estate investment platform called VaultBrick Digital. VaultBrick issued blockchain-based tokens representing fractional ownership interests in a portfolio of commercial real estate properties. The tokens were sold exclusively through VaultBrick's proprietary platform and could only be redeemed during quarterly liquidity windows, subject to a 5% early redemption penalty and a cap limiting total quarterly redemptions to 10% of outstanding tokens. VaultBrick advertised projected annual yields of 9.5% paid in USDC stablecoin, and the offering materials disclosed that if redemption requests exceeded the quarterly cap, investors would be placed on a waitlist with no guaranteed timeline for liquidity.

Kevin told Marcus that VaultBrick was 'like owning real estate but easier' and emphasized the 9.5% yield as a way to cover Dorothy's care costs. Kevin did not discuss the redemption caps, the early redemption penalty, or the possibility that Marcus could be unable to access his funds when needed. Kevin also did not mention that VaultBrick tokens had no secondary trading market and that the platform had been operational for only seven months with no track record of honoring redemption requests at scale. Kevin received a 3.5% upfront commission (\$2,975) from VaultBrick for the placement, which was higher than the 1.2% commission he typically earned on the fixed-income products he had previously recommended to Marcus.

By September 2023, VaultBrick suspended all redemptions citing 'market conditions and portfolio rebalancing needs.' Marcus submitted a redemption request in October 2023 when Dorothy's condition worsened and the family needed funds for a memory care facility deposit of \$15,000. The request was denied. As of January 2025, VaultBrick has not reopened its redemption window, and the tokens have no ascertainable market value. Marcus has been unable to recover any of his \$85,000 investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Ostrowski committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer or associated person exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's investment profile. Marcus was a 71-year-old retiree with conservative risk tolerance, a short time horizon (2-3 years for potential assisted living needs), and dependence on his liquid savings for his wife's escalating

medical care costs. An illiquid tokenized real estate product with quarterly redemption windows, 10% redemption caps, a 5% early redemption penalty, only seven months of operating history, no secondary market, and suspension risk was fundamentally incompatible with Marcus's stated needs and profile. The recommendation failed the care obligation.

****Reg BI - Disclosure Obligation (17 CFR §240.15l-1(a)(2)(ii)(A)):****

Kevin failed to disclose material facts about the investment, including the redemption caps, the early redemption penalty, the absence of a secondary market, and the platform's extremely limited operating history. He also failed to adequately disclose the conflict of interest created by the 3.5% commission-nearly three times his typical compensation-creating a material incentive to recommend VaultBrick over more suitable alternatives.

****Reg BI - Conflict of Interest Obligation (17 CFR §240.15l-1(a)(2)(ii)(D)):****

The elevated commission structure represents a financial conflict that should have been identified, disclosed, and mitigated. Kevin's recommendation appears to have been driven at least in part by the higher compensation, to Marcus's detriment.

****Investment Advisers Act §206 (if Kevin operates in a dual capacity or advisory capacity):****

Section 206(1) and (2) of the Investment Advisers Act prohibit fraudulent and deceptive conduct by investment advisers. Recommending a highly illiquid, unproven digital asset product to a conservative elderly client with near-term liquidity needs, while omitting material risk disclosures and being motivated by higher compensation, would constitute a breach of fiduciary duty under §206.

****SEC Digital Asset Framework (April 2019) - Howey Test Application:****

VaultBrick tokens-representing fractional interests in a pooled commercial real estate portfolio, sold with an expectation of profit derived from VaultBrick's management efforts-likely constitute investment contracts (securities) under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). If VaultBrick tokens were not registered as securities or sold pursuant to a valid exemption, Kevin's sale of unregistered securities compounds the violation. This parallels enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis, where yield-bearing crypto products were deemed unregistered securities.

****FINRA Rule 2111 (Suitability):****

Under quantitative, reasonable-basis, and customer-specific suitability requirements, Kevin failed on all three prongs. He lacked a reasonable basis for believing VaultBrick was suitable for any investor given its seven-month track record and structural illiquidity (reasonable-basis suitability). He failed to match the product to Marcus's conservative profile and near-term liquidity needs (customer-specific suitability). And the 27% concentration in a single illiquid alternative product was excessive for this client's profile (quantitative suitability).

****Exchange Act §10(b) and Rule 10b-5:****

Kevin's omission of material facts-redemption restrictions, lack of operating history, absence of a secondary market, and the elevated commission-while making affirmative representations that the product was 'like owning real estate but easier,' constitutes a potential violation of the antifraud provisions. Material omissions in connection with the purchase of a security are actionable under §10(b) and Rule 10b-5.

****Likely Regulatory Outcome:****

Kevin faces potential SEC and/or FINRA enforcement action, including disgorgement of commissions, monetary fines, suspension or bar from the industry, and potential liability in a customer arbitration proceeding. Marcus would likely prevail in a FINRA arbitration claim seeking full restitution of the \$85,000 plus consequential damages. If VaultBrick tokens are found to be unregistered securities, both Kevin and VaultBrick could face additional liability under Securities Act §12(a)(1) for selling unregistered securities.

Hypothetical 4

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Olsen, age 71, is a retired school librarian in Topeka, Kansas, with an annual pension income of \$42,000 and total liquid savings of approximately \$310,000 held in a brokerage account. She has no other significant assets aside from her home, valued at roughly \$185,000 with no mortgage. Her stated investment objectives are capital preservation and modest income generation. She described herself on her new account form as having a conservative risk tolerance and no prior experience with alternative investments or digital assets. In March 2023, her financial advisor, Derek Langston, who had been managing her account for two years, recommended that Margaret allocate \$95,000—approximately 31% of her liquid savings—into a tokenized real estate fund called TerraNova Digital Holdings. The fund was structured as a series of blockchain-based tokens representing fractional ownership interests in a portfolio of commercial properties under development in secondary U.S. markets. The tokens had no secondary market or exchange listing, and the offering documents disclosed a minimum three-year lock-up period with no redemption rights, and potential extensions of up to five years at the fund sponsor's discretion. The fund's projected annual yield was 11-14%, paid in a proprietary stablecoin called TNV-USD, which itself was not redeemable for U.S. dollars except through a single affiliated platform that operated limited redemption windows quarterly. Langston told Margaret that the investment was 'like owning real estate but easier, all on your phone,' and compared the projected returns favorably to her existing bond ladder yielding approximately 4.2%. He did not provide Margaret with any written risk disclosures beyond the 94-page private placement memorandum, which she later said she never read and was not walked through. Langston earned a 4.5% placement fee—\$4,275—on the transaction, which was not separately itemized on Margaret's trade confirmation but was embedded in the token purchase price. By November 2024, the TerraNova fund had suspended all distributions, citing liquidity constraints related to construction delays and rising interest rates. The TNV-USD stablecoin depegged from the dollar, trading at \$0.63 on the affiliated platform during its last open redemption window in September 2024, before the platform itself went offline in October 2024. Margaret's \$95,000 investment is now effectively inaccessible, and she has received total distributions of only \$3,100 in TNV-USD tokens that she was unable to convert to cash. She filed a complaint in January 2025 stating that Langston never explained the lock-up, the risks of the stablecoin payment mechanism, or the possibility that she could lose access to her principal for years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston committed multiple serious violations in recommending the TerraNova Digital Holdings tokens to Margaret Olsen.

****Applicable Standards:****

1. ****Regulation Best Interest (Reg BI) - Care Obligation (Rule 15l-1(a)(2)(ii)(B)):**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of any recommendation and must have a reasonable basis to believe that the recommendation is in the retail customer's best interest at the time it is made. This analysis must consider the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon.

Margaret is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, modest income, and \$310,000 in total liquid savings. A 31% concentration in a single illiquid, speculative, blockchain-based real estate token with a 3-to-5-year lock-up and distributions paid in an unproven proprietary stablecoin is fundamentally incompatible with her profile. The recommendation fails the customer-specific component of the Care Obligation.

2. ****FINRA Rule 2111 (Suitability):**** The recommendation also fails all three components of suitability under FINRA's framework: (a) reasonable-basis suitability-the complex, illiquid, and layered risk structure (tokenized real estate + stablecoin payment mechanism + single-platform redemption) raises serious questions about whether the product is suitable for any conservative retail investor; (b) customer-specific suitability-the product is clearly inconsistent with Margaret's age, risk tolerance, income needs, and liquidity requirements; and (c) quantitative suitability-a 31% allocation to a single illiquid alternative investment constitutes an excessive concentration for a retiree reliant on her savings.

3. ****Reg BI - Disclosure Obligation:**** Langston failed to provide adequate disclosure of material facts. He did not explain the lock-up terms, the stablecoin payment mechanism and its risks, the absence of a secondary market, or the potential for extended illiquidity. His characterization of the investment as 'like owning real estate but easier' was materially misleading and minimized the substantial differences between direct real estate ownership and speculative tokenized interests. This violates the Disclosure Obligation under Reg BI (Rule 15l-1(a)(2)(i)).

4. ****Reg BI - Conflict of Interest Obligation:**** The 4.5% placement fee (\$4,275) embedded in the token price and not separately itemized created a material conflict of interest that incentivized Langston to recommend the product. Under Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)), broker-dealers must establish policies to identify and disclose or eliminate conflicts. The failure to clearly disclose this embedded compensation is a violation.

5. ****Exchange Act §10(b) and Rule 10b-5:**** Langston's misleading characterization of the investment and omission of material risk factors-including the lock-up, stablecoin risks, and platform dependency-could constitute a material misrepresentation or omission in connection with the purchase of a security, potentially violating the antifraud provisions.

6. ****SEC Digital Asset Framework (2019) and Howey Test Application:**** The TerraNova tokens likely constitute securities under the Howey test—they represent an investment of money in a common enterprise with the expectation of profits derived from the efforts of others (the fund sponsor developing the properties). As securities, all applicable broker-dealer and suitability obligations attach.

7. ****Investment Advisers Act §206 (if Langston has dual registration or advisory obligations):**** The recommendation, if made in an advisory capacity, would violate the fiduciary duty under §206, which imposes obligations of loyalty and care on investment advisers. Recommending a highly illiquid, speculative digital asset to a conservative 71-year-old retiree at a 31% concentration would constitute a breach of both the duty of care and the duty of loyalty (given the undisclosed compensation).

****Likely Regulatory Outcome:**** Langston faces potential FINRA disciplinary action, SEC enforcement for Reg BI violations and potential fraud, customer arbitration liability for compensatory damages of approximately \$91,900 (principal minus distributions received), and possible disgorgement of the placement fee. Aggravating factors include the customer's age and vulnerability, the magnitude of the concentration, the lack of meaningful disclosure, and the embedded compensation conflict.

Hypothetical 5

Topic: illiquid_investments | Difficulty: hard

[NON-COM]

Fact Pattern

Margaret Olsen, age 71, is a retired school librarian in Tucson, Arizona, with an annual pension income of \$42,000 and total liquid savings of \$310,000, consisting of a \$180,000 traditional IRA and \$130,000 in a money market account. She has no other sources of income and relies on her savings to supplement her pension for living expenses, prescription medications, and occasional visits to see her grandchildren in Portland. She has always described herself as a conservative investor and told her advisor, Derek Huang, that her primary goals were capital preservation and generating modest income to cover a projected \$1,200 monthly shortfall between her pension and her expenses. She stated explicitly during their March 2023 meeting that she could not afford to lose principal and needed access to her funds within 30 to 90 days if medical expenses arose.

Derek Huang, a registered advisor with 14 years of experience at Ridgeline Wealth Partners, had recently attended a conference in Miami where he was introduced to a platform called YieldVault Digital, which offered tokenized participation interests in a pooled lending protocol. The product worked by accepting investor funds in U.S. dollars, converting them to stablecoins, and deploying those stablecoins into decentralized finance lending pools. YieldVault marketed an annualized yield of 11.5% and described its tokens as 'digital income certificates.' The offering documents disclosed a 12-month lock-up period during which investors could not redeem, and after the lock-up, redemptions were subject to a 45-day processing window contingent on available liquidity in the underlying pools. The documents also noted that YieldVault's tokens had not been registered with any federal agency and that the underlying DeFi protocols carried smart contract risk, counterparty risk, and the possibility of total loss.

In April 2023, Huang recommended that Margaret invest \$155,000—exactly half of her liquid savings—into YieldVault Digital tokens. He told her the product was 'like a high-yield CD but powered by blockchain technology' and that the 11.5% return would 'more than solve her income gap.' He did not discuss the 12-month lock-up in detail, mentioning only that 'there's a short waiting period before you can take money out.' He did not explain the conversion of her dollars into stablecoins, the mechanics of DeFi lending pools, smart contract risk, or the fact that redemptions after the lock-up were not guaranteed on any fixed timeline. He did not provide her with the full offering memorandum; instead, he gave her a four-page marketing brochure that emphasized the yield and included testimonials from other investors. Margaret signed the subscription documents, including a 22-page risk disclosure she said she did not fully read.

By November 2023, YieldVault Digital suspended all redemptions after one of the underlying DeFi protocols suffered a \$90 million exploit. Margaret's \$155,000 was frozen. In January 2024, YieldVault filed for bankruptcy protection. Margaret has recovered nothing. She has since had to delay a knee replacement surgery because she cannot access sufficient funds, and she has borrowed \$8,000 from her daughter to cover living expenses. Derek Huang earned a 3.5% placement fee—\$5,425—on Margaret's investment in YieldVault.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang committed multiple serious violations across several regulatory frameworks.

1. ****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis for believing the recommendation is in the retail customer's best interest at the time it is made. Huang recommended that a 71-year-old retiree with conservative risk tolerance, a stated need for capital preservation, and a requirement for liquidity within 30-90 days invest 50% of her liquid savings in a product with a 12-month lock-up, contingent post-lock-up redemptions, unregistered token structure, and exposure to smart contract exploits in DeFi protocols. This recommendation was fundamentally inconsistent with Margaret's investment profile, time horizon, and liquidity needs. The Care Obligation was clearly violated.
2. ****Reg BI - Disclosure Obligation (17 CFR §240.15l-1(a)(2)(ii)(A)):** Huang failed to disclose or adequately explain material facts about the investment, including the true nature of the lock-up period, the conversion of funds into stablecoins, the mechanics and risks of DeFi lending, the unregistered status of the tokens, and the contingent nature of redemptions. Providing a marketing brochure instead of the offering memorandum, and characterizing the product as similar to a 'high-yield CD,' constituted materially misleading descriptions that violated the Disclosure Obligation.
3. ****Investment Advisers Act §206 (Anti-Fraud Provisions):** If Huang also operated in an advisory capacity (which his role at a wealth management firm suggests), Section 206(1) and 206(2) of the Investment Advisers Act prohibit fraud and deceit upon clients. Describing a high-risk, illiquid, unregistered DeFi-linked token as comparable to a CD is a materially misleading statement constituting a breach of fiduciary duty.

4. ****SEC Digital Asset Framework (2019) and Howey Test Application:**** YieldVault's 'digital income certificates' almost certainly constitute securities under the Howey test: investors contributed money into a common enterprise (the pooled lending protocol) with an expectation of profits (11.5% yield) derived from the efforts of others (YieldVault's management of DeFi deployments). As unregistered securities, their offer and sale likely violated Securities Act §5. Huang's recommendation of an unregistered security to a retail client deepens his regulatory exposure. This parallels enforcement actions against platforms like BlockFi (which settled for \$100 million in February 2022 over unregistered crypto lending products), Celsius, and Gemini/Genesis (charged in connection with unregistered offer and sale of securities through yield-generating crypto products).

5. ****Exchange Act §10(b) and Rule 10b-5:**** Huang's affirmative mischaracterization of the product as comparable to a CD, his omission of material risk factors, and his failure to provide the full offering documents constitute potential fraud in connection with the purchase of a security under Section 10(b) and Rule 10b-5.

6. ****FINRA Rule 2111 (Suitability) and Rule 2010 (Standards of Commercial Honor):**** If Huang is FINRA-registered, his recommendation fails all three components of suitability analysis: (a) Reasonable-basis suitability - a reasonable advisor who understood DeFi smart contract risk and the illiquidity features would not have deemed this suitable for any conservative retiree; (b) Customer-specific suitability - the product contradicts every element of Margaret's stated profile; (c) Quantitative suitability - concentrating 50% of liquid assets in a single illiquid, high-risk product is excessive. Additionally, FINRA's guidance on digital assets emphasizes that firms must evaluate whether crypto-related products are appropriate given a customer's financial situation and needs.

7. ****Concentration and Illiquidity Risk:**** Investing 50% of a retiree's liquid assets in a single illiquid product with a hard lock-up is a hallmark suitability violation frequently cited in FINRA arbitration and enforcement matters. The resulting inability to access funds for medical care underscores the real-world harm.

8. ****Compensation Conflict:**** The 3.5% placement fee (\$5,425) created a material conflict of interest that Huang was obligated to disclose and mitigate under Reg BI's Conflict of Interest Obligation (17 CFR §240.15l-1(a)(2)(ii)(D)).

****Likely Regulatory Outcome:**** Huang faces potential SEC enforcement action under §206 and §10(b), FINRA disciplinary proceedings for suitability violations under Rules 2111 and 2010, potential disgorgement of fees, monetary penalties, suspension or bar from the industry, and significant exposure in customer arbitration for compensatory damages equal to the \$155,000 principal loss plus consequential damages.

Hypothetical 6

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

[NON-COM

Gerald Haworth, age 79, is a retired postal worker living in Clearwater, Florida, with a fixed monthly income of \$2,840 from Social Security and a small pension. His total liquid savings consist of \$385,000 in a traditional IRA and \$42,000 in a savings account, which he has described to his advisor as his 'safety net for medical bills and end-of-life expenses.' Mr. Haworth has mild cognitive decline, which his daughter, Linda, disclosed to his financial advisor, Marcus Reeves, during an in-person meeting in March 2023. Mr. Haworth's account paperwork lists his risk tolerance as 'conservative,' his investment objective as 'capital preservation,' and his time horizon as '1-3 years.' He has no prior experience with digital assets, blockchain technology, or alternative investments of any kind.

In April 2023, Marcus Reeves recommended that Mr. Haworth transfer \$175,000 from his IRA into a self-directed IRA and use those funds to purchase a basket of digital assets, including Bitcoin, Ethereum, Solana, and Avalanche. Reeves told Mr. Haworth that 'crypto is the new gold' and that these tokens would 'protect his purchasing power better than Treasury bonds ever could.' Reeves also recommended that Mr. Haworth deposit \$60,000 of the crypto holdings into a yield-generating platform operated by a company called NovaYield Digital, which promised annual percentage yields of 12.5% on deposited crypto assets. NovaYield Digital was not registered as a broker-dealer or as an investment company, and its yield program had not been registered with any federal agency. Reeves did not disclose that he received a \$4,200 referral fee from NovaYield for each client he onboarded with deposits exceeding \$50,000.

Reeves did not provide Mr. Haworth with any written risk disclosures specific to digital assets, did not discuss the volatility history of the recommended tokens, did not explain the custodial risks of the NovaYield platform, and did not discuss the possibility of total loss. He did not consult with Linda or suggest that Mr. Haworth involve a trusted contact person despite knowing about the cognitive decline. Reeves documented the recommendation in his internal notes simply as 'client interested in growth allocation with digital asset exposure.'

By November 2023, the crypto portfolio had declined 38% in value, and in January 2024, NovaYield Digital froze all customer withdrawals, citing liquidity problems. Mr. Haworth lost approximately \$127,000 in total - \$67,000 from the decline in the crypto basket and \$60,000 locked in the NovaYield platform, which subsequently filed for bankruptcy in March 2024. Linda Haworth filed a complaint with the advisor's firm in April 2024, alleging her father was exploited and that the recommendations were wholly inappropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Marcus Reeves committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) - Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the customer's best interest and must consider the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Mr. Haworth was a 79-year-old retiree with a conservative risk tolerance, a 1-3 year time horizon, capital preservation as his stated objective, limited liquid savings, and no experience with digital assets. Recommending that he allocate roughly 45% of his IRA (\$175,000 of \$385,000) to highly volatile,

speculative digital assets directly contradicts every element of his investment profile. This constitutes a clear violation of the Care Obligation under Reg BI.

****Reg BI - Disclosure Obligation:**** Reeves failed to disclose the \$4,200 referral fee he received from NovaYield Digital, which constitutes a material conflict of interest. Reg BI requires full and fair disclosure of all material facts relating to conflicts of interest associated with a recommendation at or before the time of the recommendation. The undisclosed compensation creates a clear inference that the recommendation was motivated by the advisor's financial interest rather than the client's needs.

****Reg BI - Conflict of Interest Obligation:**** Beyond mere disclosure, Reg BI requires firms and associated persons to establish, maintain, and enforce policies to identify, mitigate, and in some cases eliminate conflicts of interest. The referral fee arrangement with NovaYield created a direct financial incentive to recommend a product that was unsuitable. No mitigation or elimination of this conflict occurred.

****SEC Digital Asset Framework (2019) and Howey Test Analysis:**** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets, many crypto yield products constitute securities under the Howey test - they involve an investment of money in a common enterprise with an expectation of profits derived from the efforts of others. NovaYield Digital's yield-bearing product, offering 12.5% APY on deposited crypto, closely mirrors the unregistered lending/yield products at the center of enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius Network (bankruptcy, fraud charges), Gemini Earn, and Genesis. By directing client funds into an unregistered yield product, Reeves facilitated a transaction in an unregistered security, potentially violating Section 5 of the Securities Act of 1933 and Exchange Act §10(b) and Rule 10b-5 (anti-fraud provisions) to the extent any material misrepresentations or omissions were involved.

****Investment Advisers Act §206 (if acting in advisory capacity):**** If Reeves was acting in an investment advisory capacity with respect to the IRA recommendation, §206(1) and §206(2) of the Investment Advisers Act impose fiduciary duties prohibiting fraud and requiring full disclosure of conflicts. The failure to disclose compensation and the unsuitable recommendation would violate both subsections.

****FINRA Rules - Suitability (Rule 2111) and Senior Investor Protections (Rule 2165):**** Under FINRA Rule 2111, the recommendation must be suitable based on the customer's investment profile. A speculative, concentrated crypto allocation for a conservative, elderly, cognitively declining investor with a short time horizon fails the customer-specific suitability requirement. Additionally, FINRA Rule 2165 provides a framework for member firms to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior investor (age 65+) or a person with mental or physical impairment. Reeves was aware of Mr. Haworth's cognitive decline and should have escalated concerns, involved a trusted contact person, or at minimum flagged the situation for supervisory review. His failure to do so represents a significant deficiency.

****CFTC Jurisdiction Considerations:**** To the extent that Bitcoin and Ethereum are classified as commodities (as the CFTC has asserted jurisdiction), recommending leveraged or speculative positions in these assets to an unsuitable retail customer could implicate CFTC anti-fraud and anti-manipulation provisions under the Commodity Exchange Act §6(c)(1) and CFTC Rule 180.1.

****Documentation Deficiency:**** Reeves' internal notes characterizing the recommendation as 'client interested in growth allocation with digital asset exposure' are misleading. The client's documented profile indicated no such interest, and this notation appears designed to create a false paper trail to justify the recommendation after the fact.

****Likely Regulatory Outcome:**** Reeves faces potential disciplinary action including fines, disgorgement of the \$4,200 referral fee, suspension or bar from the industry, and liability for customer restitution. The firm faces supervisory failure charges for inadequate oversight. State securities regulators may also pursue action under elder financial exploitation statutes. This case involves exploitation of a vulnerable senior investor, undisclosed conflicts, unsuitable recommendations, and facilitation of investment in unregistered securities - a combination that regulators treat with maximum severity.

Hypothetical 7

Topic: *alternative_investments_unsuitable* | Difficulty: *hard*

[NON-COM

Fact Pattern

Harold Reeves, age 71, is a retired postal worker in Dayton, Ohio, with a fixed annual income of \$38,000 from his pension and Social Security. His total liquid savings amount to \$215,000, held in a traditional IRA that is his sole retirement nest egg. Harold has no prior experience investing in anything beyond certificates of deposit and a target-date mutual fund selected by his former employer's 401(k) plan. His account opening documents list his risk tolerance as 'conservative,' his investment objective as 'preservation of capital,' and his time horizon as '1-3 years,' as he anticipates needing the funds to supplement his income and cover potential assisted-living costs for his wife, Dorothy, 74, who was recently diagnosed with early-stage dementia.

In March 2022, Harold's financial advisor, Craig Ellison, age 34, invited Harold to a 'Wealth Growth Seminar' at a local hotel conference room. During the seminar, Craig presented several digital asset yield-generating programs, emphasizing one product offered by a platform called NovaYield. NovaYield allowed customers to deposit various cryptocurrencies-primarily Bitcoin and Ethereum-and receive advertised annual percentage yields of 9.5% to 17.2%. Craig described these returns as 'like a high-yield savings account but better' and told attendees the yields were generated through institutional lending and proprietary algorithmic trading strategies. Craig did not disclose that NovaYield's yield product had not been registered with any federal agency, that customer deposits were pooled and re-lent to institutional borrowers at the platform's discretion, or that depositors had no guarantee of principal return. He also did not mention that two similar platforms had recently been subject to federal enforcement actions for offering unregistered securities in the form of yield-bearing crypto accounts.

After the seminar, Craig met with Harold privately and recommended that Harold liquidate \$155,000 of his IRA holdings-approximately 72% of his total savings-and use the proceeds to purchase Bitcoin and Ethereum through a self-directed IRA custodian, then transfer those assets into a NovaYield earn account. Craig told Harold that the 9.5% yield on Bitcoin deposits was 'practically risk-free' and that Harold could

withdraw his funds 'at any time.' Craig prepared the paperwork, including a one-page risk disclosure that Harold signed, though Harold later stated he did not understand the document and Craig told him it was 'just a formality.' Craig earned a \$4,650 referral commission from NovaYield for the deposit and a \$1,200 advisory fee from Harold.

By November 2022, NovaYield had frozen all customer withdrawals, citing liquidity constraints caused by declining crypto prices and the collapse of a major counterparty. Harold's \$155,000 in deposited crypto assets had declined in market value to roughly \$62,000 at the time of the freeze, and he has been unable to access any funds. Harold filed a written complaint with Craig's firm in January 2023, stating he was never told his retirement savings could be locked up or lost. Craig's firm conducted an internal review and found that Craig had recommended the same NovaYield product to fourteen other clients over age 65 with conservative risk profiles, generating over \$58,000 in combined referral commissions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple serious violations of applicable regulatory standards.

****1. Suitability and Best Interest Violations (FINRA Rule 2111 & Regulation Best Interest):****

Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest and satisfy the Care Obligation (requiring reasonable diligence, care, and skill in making recommendations) and the Disclosure Obligation.

Harold's profile-71 years old, conservative risk tolerance, preservation-of-capital objective, 1-3 year time horizon, reliance on the IRA as his sole retirement savings, and an anticipated near-term need for funds to cover assisted-living expenses-is fundamentally incompatible with a recommendation to concentrate 72% of his liquid net worth in volatile, unregistered digital asset yield products. The recommendation failed customer-specific suitability, reasonable-basis suitability (given the undisclosed risks of NovaYield's unregistered product), and quantitative suitability (excessive concentration).

****2. SEC Framework for Investment Contract Analysis (Howey Test) and Unregistered Securities:****

Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets and the Supreme Court's test from SEC v. W.J. Howey Co., NovaYield's yield product almost certainly constitutes a security. Customers invested money (crypto assets), in a common enterprise (pooled and re-lent by NovaYield), with an expectation of profits (9.5%-17.2% APY), derived from the efforts of others (NovaYield's lending and trading operations). This analysis mirrors enforcement actions against BlockFi (settled February 2022), Celsius, Gemini Earn, and Genesis, all of which were found to have offered unregistered securities in the form of yield-bearing crypto accounts. Craig recommended an unregistered security without disclosing its regulatory status, violating Exchange Act §10(b) anti-fraud provisions and Investment Advisers Act §206 fiduciary duties to the extent Craig was acting in an advisory capacity.

****3. Failure to Disclose Material Information:****

Craig failed to disclose: (a) NovaYield's product was not registered; (b) principal was not guaranteed; (c) withdrawal could be restricted; (d) similar platforms had faced enforcement; (e) his \$4,650 referral commission, creating a material conflict of interest. Under Reg BI's Disclosure Obligation and Conflict of Interest Obligation, these omissions are independent violations.

****4. Misleading Statements:****

Describing a volatile, unregistered crypto yield product as 'practically risk-free' and 'like a high-yield savings account' constitutes a material misrepresentation under Exchange Act §10(b) and Rule 10b-5, as well as FINRA Rule 2210 (communications with the public).

****5. CFTC Jurisdiction Considerations:****

To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act (as the CFTC has asserted), Craig's recommendations and NovaYield's pooling activities may also implicate CFTC anti-fraud authority under CEA §6(c)(1) and CFTC Rule 180.1.

****6. Pattern of Conduct:****

The fact that Craig made identical recommendations to fourteen other elderly, conservative clients-generating over \$58,000 in referral commissions-suggests the recommendations were commission-driven rather than client-driven, further evidencing a violation of the Care Obligation under Reg BI and FINRA Rule 2111.

****Likely Regulatory Outcome:**** Craig faces potential FINRA disciplinary action (suspension or bar, disgorgement of commissions, restitution), SEC enforcement for recommending unregistered securities and making material misrepresentations, and state regulatory action. The firm faces supervisory failure liability under FINRA Rules 3110 and 3120 for failing to detect and prevent a pattern of unsuitable recommendations. Harold would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$155,000 plus consequential damages.

Hypothetical 8

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Marcus Okonkwo, age 58, is a municipal bus driver in Cleveland, Ohio, earning \$62,000 annually. He has \$410,000 in a traditional IRA, \$38,000 in a savings account, and owns his home outright valued at \$185,000. Marcus is recently divorced and listed his investment objective as 'income generation for retirement in 7 years' with a 'moderate' risk tolerance. He has no prior experience with digital assets or alternative investments. In September 2023, his financial advisor, Danielle Ferraro, recommended that Marcus allocate \$205,000 - exactly half of his IRA - into a tokenized real estate fund called BlockBrick Capital Token. The fund pooled investor capital to acquire commercial properties, converted ownership shares into blockchain-based tokens, and promised a 14.2% annual yield paid in USDC stablecoin, distributed quarterly. Danielle explained to Marcus that the tokens were 'just like owning a piece of a building, except digital,' and described the yield as 'basically guaranteed because rent is rent.' She did not

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disclose that the tokens had no secondary market, that redemptions were restricted to one narrow 15-day window per year subject to fund manager approval, or that the fund imposed a 4-year soft lock-up with a 12% early redemption penalty. She also did not mention that BlockBrick Capital Token had launched only five months earlier with no audited financials and was domiciled in the Cayman Islands. The fund's private placement memorandum, which Danielle did not provide to Marcus, stated that tokens 'may constitute securities under applicable law' and that the offering was limited to accredited investors with a \$200,000 minimum. Marcus's annual income and net worth did not meet accredited investor thresholds. Danielle earned a 5.5% placement fee (\$11,275) on the transaction. By March 2024, BlockBrick suspended all redemptions indefinitely, citing 'liquidity challenges in the underlying portfolio.' Marcus has been unable to access any of his \$205,000. He filed a complaint in June 2024 stating that Danielle never explained the lockup, the risks, or the accredited investor requirement, and that he would never have invested half his retirement savings in something he could not access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Ferraro committed multiple serious violations across several regulatory frameworks.

****Securities Classification and the Howey Test:**** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets and the foundational Howey test, BlockBrick Capital Tokens almost certainly constitute securities. Investors pooled money into a common enterprise (commercial real estate fund), with an expectation of profits (14.2% yield) derived primarily from the efforts of others (the fund managers acquiring and managing properties). The fund's own PPM acknowledged the tokens 'may constitute securities.' This classification triggers the full panoply of federal securities laws.

****Investment Advisers Act §206 - Fiduciary Duty:**** As a fiduciary under §206(1) and §206(2) of the Investment Advisers Act, Danielle owed Marcus a duty of care and loyalty. Recommending that a 58-year-old moderate-risk pre-retiree with no digital asset experience place 50% of his retirement savings into a five-month-old, Cayman Islands-domiciled, illiquid tokenized fund with a 4-year lockup and no audited financials is a clear breach of the duty of care. The concentration alone - \$205,000 of a \$410,000 IRA - is excessive for any illiquid alternative product given Marcus's profile and 7-year retirement horizon.

****Regulation Best Interest (Reg BI):**** If Danielle acted in a broker-dealer capacity, Reg BI's Care Obligation required her to exercise reasonable diligence, care, and skill in making the recommendation, considering Marcus's investment profile including his age, financial situation, risk tolerance, liquidity needs, and time horizon. Recommending a product with a 4-year soft lockup and annual-only redemption windows to a client approaching retirement who needs income and liquidity is fundamentally inconsistent with his stated objectives. The Disclosure Obligation under Reg BI required full and fair disclosure of all material facts, including the lockup terms, redemption restrictions, early withdrawal penalties, the fund's lack of audited financials, and the 5.5% placement fee. Danielle failed on all counts.

****Accredited Investor Standards:**** BlockBrick's PPM limited the offering to accredited investors with a \$200,000 minimum. Under Regulation D, accredited individual investors must have income exceeding \$200,000 (\$300,000 jointly) for the prior two years or net worth exceeding \$1,000,000 excluding primary

residence. Marcus earns \$62,000 and has a net worth (excluding home) of approximately \$448,000. He does not qualify. Danielle facilitated the sale of a restricted offering to a non-accredited investor, potentially exposing the issuer to a loss of its Reg D exemption and creating liability under Section 12(a)(1) of the Securities Act for selling unregistered securities.

****Exchange Act §10(b) and Rule 10b-5:**** Danielle's statement that the yield was 'basically guaranteed because rent is rent' constitutes a material misrepresentation. Yield from a tokenized real estate pool depends on occupancy rates, property values, fund management, and the solvency of the fund itself - none of which are guaranteed. Omitting the lockup, redemption restrictions, 12% early withdrawal penalty, lack of audited financials, and offshore domicile constitutes omission of material facts. Together, these misrepresentations and omissions satisfy the elements of fraud under §10(b).

****FINRA Rules 2111 and 2210:**** If Danielle is a registered representative, FINRA Rule 2111 (Suitability) requires reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer), and quantitative suitability. A five-month-old unaudited tokenized fund with extreme illiquidity fails reasonable-basis suitability for virtually any retail client, and is particularly unsuitable for Marcus's profile. Describing the tokens as 'just like owning a piece of a building' without disclosing the digital asset structure, lockup, and risk characteristics also raises concerns under FINRA Rule 2210 regarding fair and balanced communications.

****Enforcement Precedent Context:**** Enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis demonstrate that regulators aggressively pursue unregistered yield-bearing digital asset products. The SEC has consistently treated crypto lending and yield products as unregistered securities. BlockBrick's yield tokens bear the same hallmarks.

****Likely Regulatory Outcome:**** Danielle faces potential disgorgement of the \$11,275 placement fee, restitution of Marcus's \$205,000, civil penalties, suspension or bar from the industry, and potential referral for fraud. The firm employing Danielle faces supervisory failure charges for allowing a non-accredited investor to access a restricted offering with no evidence of due diligence review. Marcus may also have a private right of action for rescission under Section 12(a)(1) of the Securities Act.

Hypothetical 9

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Tilson, age 71, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from her pension and Social Security. She has a total liquid net worth of \$185,000, almost entirely held in a money market account and a small bond mutual fund. She has no investment experience beyond certificates of deposit and the bond fund, which was set up for her by a previous advisor in 2015. Her stated investment objective on her new account paperwork, completed in March 2023, was 'preservation of capital with modest income.' Her risk tolerance was marked as 'conservative.' In April 2023, her financial advisor, Derek Huang, age 34, at a dually registered

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broker-dealer and investment advisory firm, recommended that Mrs. Tilson move \$74,000-approximately 40% of her liquid assets-into a combination of three positions: \$30,000 into a crypto lending platform's 'Earn' product, which promised an annual percentage yield of 7.8% paid in-kind in a dollar-pegged stablecoin; \$24,000 into direct purchase of Ethereum through a brokerage subsidiary; and \$20,000 into a tokenized real estate income product offered by a decentralized finance protocol, which advertised monthly distributions of 9.2% annualized yield sourced from commercial property rents settled on-chain. Huang told Mrs. Tilson during a recorded phone call that the Earn product was 'basically like a high-yield savings account but better,' that Ethereum was 'the next blue chip,' and that the tokenized real estate product was 'just like owning a REIT but with better technology.' He did not explain that the crypto lending platform had not registered its yield product with any federal regulator, nor did he disclose that two similar lending platforms had recently frozen customer withdrawals and entered bankruptcy proceedings. He did not discuss the mechanics of smart contract risk, counterparty risk with the lending platform, the volatility history of Ethereum, or the lack of investor protections associated with decentralized finance protocols. Mrs. Tilson signed a one-page digital acknowledgment that stated she 'understood the risks of digital asset investments,' but Huang did not walk her through the document or ask her any questions to confirm her understanding. By November 2023, the crypto lending platform suspended withdrawals indefinitely, Ethereum had declined 38% from her purchase price, and the tokenized real estate protocol suffered a smart contract exploit that drained its liquidity pools. Mrs. Tilson's combined losses across all three positions totaled approximately \$61,400, representing roughly one-third of her entire life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated multiple regulatory standards in his handling of Mrs. Tilson's account.

1. ****Reg BI - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)):** Under Regulation Best Interest, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation. This includes understanding the risks, rewards, and costs of the recommended security or investment strategy, and having a reasonable basis to believe the recommendation is in the retail customer's best interest given her investment profile. Mrs. Tilson was a 71-year-old retiree with conservative risk tolerance, a preservation-of-capital objective, no experience with digital assets, and heavy reliance on her savings for living expenses. Recommending that 40% of her liquid net worth be placed into unregistered crypto yield products, a volatile cryptocurrency, and an unregulated DeFi protocol is fundamentally inconsistent with her profile. Huang failed the customer-specific component of the Care Obligation.

2. ****SEC Howey Test & Digital Asset Framework (2019):** The crypto lending platform's 'Earn' product likely constitutes a security under the Howey test-investors deposit assets with an expectation of profit derived from the managerial efforts of the platform. The SEC has brought enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Gemini's Earn program (January 2023), and Genesis for offering unregistered securities in the form of crypto lending/yield products. Huang recommended an unregistered security without disclosing its regulatory status or the enforcement climate surrounding similar products, compounding his disclosure failures.

3. **Investment Advisers Act §206 (Anti-Fraud):** To the extent Huang was acting in an advisory capacity (which is plausible given the dually registered firm context and the holistic portfolio recommendation), his statements that the Earn product was 'basically like a high-yield savings account' and that Ethereum was 'the next blue chip' constitute materially misleading characterizations. Section 206(1) and 206(2) prohibit advisers from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Comparing an unregistered, uninsured crypto yield product to a savings account is a material misrepresentation of risk.

4. **Exchange Act §10(b) and Rule 10b-5:** Huang's affirmative misrepresentations about the nature and risk of these products, combined with his omission of material facts (recent platform failures, unregistered status, smart contract risk, absence of investor protections), constitute potential fraud in connection with the purchase of securities.

5. **FINRA Rule 2111 (Suitability) & Rule 2210 (Communications):** Even under legacy suitability standards, recommending complex, speculative, and illiquid digital asset products to a conservative, elderly, unsophisticated investor with no relevant experience fails all three suitability components: reasonable-basis, customer-specific, and quantitative. His verbal characterizations also likely violate fair communication standards by omitting material risks and making unwarranted comparisons.

6. **CFTC Jurisdiction Considerations:** Ethereum and certain crypto assets may fall under CFTC jurisdiction as commodities under the Commodity Exchange Act. The CFTC has asserted jurisdiction over fraud and manipulation in crypto spot markets. Huang's misleading statements about Ethereum's risk profile could also trigger CFTC anti-fraud authority under CEA §6(c)(1).

7. **FINRA Guidance on Digital Assets:** FINRA has issued multiple Regulatory Notices (e.g., 21-25, 22-08) emphasizing that firms and representatives must perform heightened due diligence when recommending crypto-related products, especially to retail investors with limited sophistication. The one-page digital acknowledgment, unsigned without any substantive discussion, does not constitute adequate documentation of informed consent.

Likely Regulatory Outcome: Huang faces potential enforcement action from the SEC (for recommending unregistered securities and making fraudulent misrepresentations), FINRA (for suitability violations and misleading communications), and potentially the CFTC. Remedies could include disgorgement of commissions, civil monetary penalties, customer restitution of approximately \$61,400, suspension or bar from the industry, and referral for additional state-level action. The firm itself faces supervisory liability for failing to establish reasonable supervisory procedures around digital asset recommendations to retail customers.

Hypothetical 10

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

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Gerald Hoffman, age 71, is a retired postal worker living in Tucson, Arizona, with a fixed annual income of \$38,000 from Social Security and a small pension. His total liquid savings amount to approximately \$210,000 held in a money market account and a laddered CD portfolio, which he has maintained for over fifteen years. Gerald has no prior experience investing in equities, options, or alternative assets. During an initial meeting in March 2023 with financial advisor Danielle Prescott, Gerald stated that his primary investment objectives were capital preservation and generating modest supplemental income to cover rising prescription drug costs. He explicitly told Prescott that he could not afford to lose any of his savings because it represented his entire financial safety net. Prescott recorded Gerald's risk tolerance as 'conservative' on his new account documentation. Despite this profile, over the next two months Prescott recommended that Gerald allocate \$95,000 - approximately 45% of his liquid net worth - into a combination of digital asset positions. Specifically, she recommended \$40,000 into Bitcoin, \$25,000 into Ethereum, and \$30,000 into a yield-bearing crypto lending product offered by a platform called NovaYield, which promised 9.2% annual percentage yield on deposited stablecoins. Prescott told Gerald that the yield product was 'basically like a high-interest savings account' and that stablecoins were 'pegged to the dollar, so there's no real risk.' She did not explain that NovaYield was not a registered entity, that deposited assets were being re-lent to institutional borrowers with no deposit insurance or guarantee, or that several similar platforms had recently frozen customer withdrawals and entered bankruptcy proceedings. Gerald agreed to the recommendations based on Prescott's assurances. By November 2023, Bitcoin and Ethereum had experienced significant volatility, and Gerald's combined crypto holdings had declined in value to approximately \$38,000. Additionally, NovaYield suspended all customer withdrawals in September 2023 citing liquidity issues, leaving Gerald unable to access his \$30,000 stablecoin deposit. In total, Gerald faced unrealized and potentially permanent losses of approximately \$87,000, representing over 41% of his entire life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Prescott committed multiple serious violations of applicable regulatory standards.

1. ****Reg BI - Care Obligation (Rule 15l-1 under the Exchange Act):**** Under Regulation Best Interest, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. Gerald was a 71-year-old retiree with a conservative risk tolerance, capital preservation objectives, no investment experience beyond CDs and money markets, and limited fixed income. Recommending that he place 45% of his liquid net worth into highly volatile digital assets and an unregistered yield product is fundamentally inconsistent with his stated objectives and financial situation. Prescott failed the care obligation.

2. ****Investment Advisers Act §206 - Fiduciary Duty:**** If Prescott was acting in an advisory capacity, Section 206 of the Investment Advisers Act imposes a fiduciary duty requiring advisors to act in the best interest of clients, provide full and fair disclosure of all material facts, and avoid placing their own interests ahead of the client's. Prescott failed to disclose that NovaYield was unregistered, that deposited assets lacked any insurance or guarantee, that the platform engaged in re-lending to institutional counterparties, and that

similar platforms had recently failed. These are material omissions constituting a violation of §206(1) and §206(2).

3. **SEC Digital Asset Framework (2019) and Howey Test Application:** Under the SEC's Framework for 'Investment Contract' Analysis of Digital Assets, many digital asset arrangements - particularly yield-bearing products where investors deposit assets with a platform that pools and re-lends them for profit - satisfy the Howey test (investment of money in a common enterprise with expectation of profits derived from the efforts of others). The NovaYield product closely resembles the unregistered securities that were the subject of enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis. Prescott recommended what likely constituted an unregistered security without performing adequate due diligence or disclosing the regulatory risk.

4. **Exchange Act §10(b) and Rule 10b-5 - Fraud and Misrepresentation:** Prescott's characterization of the NovaYield product as 'basically like a high-interest savings account' with 'no real risk' constitutes a materially misleading statement. Stablecoin yield products bear counterparty risk, platform insolvency risk, and regulatory risk - none of which are comparable to FDIC-insured savings accounts. This misrepresentation could constitute a violation of the anti-fraud provisions under §10(b) and Rule 10b-5.

5. **FINRA Rule 2111 - Suitability:** The recommendation was unsuitable on all three components: (a) reasonable-basis suitability - Prescott failed to perform adequate due diligence on the NovaYield platform; (b) customer-specific suitability - the recommendations were wholly inconsistent with Gerald's conservative risk tolerance, capital preservation objectives, age, income, and lack of investment experience; and (c) quantitative suitability - concentrating 45% of a conservative retiree's liquid assets in crypto is excessive.

6. **CFTC Jurisdiction Considerations:** To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act (as the CFTC has asserted), Prescott's recommendations may also implicate CFTC anti-fraud and anti-manipulation provisions under §6(c)(1) of the CEA if she made false or misleading statements in connection with the sale of commodity-based products.

Likely Regulatory Outcome: Prescott faces potential enforcement action for violations of Reg BI's care and disclosure obligations, FINRA suitability rules, anti-fraud provisions under the Exchange Act, and fiduciary duty under the Investment Advisers Act. Likely sanctions include disgorgement, fines, restitution to the customer, suspension, or a permanent bar from the industry. Gerald would also have strong grounds for a customer arbitration claim seeking recovery of his losses.

Hypothetical 11

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Houlihan, age 79, is a retired elementary school teacher in Scottsdale, Arizona, living on a fixed income of approximately \$3,200 per month from Social Security and a modest state pension. She has \$410,000 in savings, held primarily in certificates of deposit and a conservative balanced mutual fund at a

[NON-COM

regional broker-dealer. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is marked as 'low.' She has no prior experience with digital assets, blockchain technology, or alternative investments of any kind. Her only investment experience over the past two decades has been CDs and the single balanced fund.

In March 2023, Margaret's financial advisor, Derek Bowen, age 34, began discussing cryptocurrency opportunities with her during a routine portfolio review. Derek told Margaret that interest rates on her CDs were 'leaving money on the table' and that she could earn 7.5% annual percentage yield by depositing funds into a crypto lending platform called YieldStar Digital, which offered interest-bearing accounts funded by lending deposited cryptocurrency to institutional borrowers. Derek explained that the platform was 'like a high-yield savings account but better' and described the returns as 'essentially guaranteed' because institutional borrowers were required to post collateral.

Over three meetings between March and May 2023, Derek moved \$185,000 of Margaret's CD holdings - which had recently matured - into YieldStar Digital's interest-bearing crypto account. The funds were first converted into a stablecoin (USDC) and then deposited into YieldStar's 'Earn' program. Derek earned a \$3,700 referral fee from YieldStar Digital for the deposits, which he did not disclose to Margaret. He told her the principal was 'safe' and that she could withdraw at any time.

Derek did not provide Margaret with any written risk disclosures about the YieldStar platform. He did not explain that the interest-bearing accounts might constitute unregistered securities, that the platform was not a bank, that deposits were not insured by any government agency, or that YieldStar had been the subject of a multi-state regulatory inquiry. He also did not discuss the credit risk of the institutional borrowers, the potential for platform insolvency, or the fact that withdrawal rights could be suspended.

In September 2023, YieldStar Digital froze all customer withdrawals, citing 'extreme market conditions and counterparty defaults.' The platform filed for bankruptcy protection in November 2023. Margaret's \$185,000 in deposits became trapped in the bankruptcy estate. As of the present date, unsecured creditors have been told to expect recovery of between 15 and 25 cents on the dollar. Margaret, who had intended to use a portion of the funds for long-term care expenses, was forced to borrow money from her adult children to cover medical bills. Derek Bowen is still employed at the same broker-dealer and has not faced any internal disciplinary action.

Margaret's granddaughter, who works in financial services, discovered the situation during a Thanksgiving visit and helped Margaret file a complaint with Derek's broker-dealer and with state and federal regulators.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Bowen committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) - Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation. The recommendation must be in the retail customer's best interest and must not place

the advisor's financial interest ahead of the customer's. Derek recommended a high-risk, unregistered crypto yield product to a 79-year-old retiree on a fixed income with low risk tolerance and capital preservation objectives. This recommendation was fundamentally inconsistent with Margaret's investment profile. The 7.5% yield carried substantial credit risk, platform risk, and liquidity risk that were wholly inappropriate for a senior investor dependent on these funds. This is a clear violation of the Care Obligation under Reg BI.

****Reg BI - Disclosure Obligation:**** Derek failed to disclose the \$3,700 referral fee he received from YieldStar Digital, which represented a material conflict of interest. Reg BI's Disclosure Obligation requires full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest. The undisclosed referral fee created an incentive for Derek to recommend the product regardless of its appropriateness.

****FINRA Rule 2111 (Suitability):**** Under FINRA's suitability framework, including customer-specific suitability, Derek was required to have a reasonable basis for believing the recommendation was suitable for Margaret based on her investment profile - including age, financial situation, risk tolerance, liquidity needs, and investment objectives. A speculative crypto lending product with no government insurance, subject to withdrawal freezes, and operated by a platform under regulatory scrutiny fails every element of customer-specific suitability for this client.

****FINRA Rule 2210 and Rule 2020 (Communications and Fraud):**** Derek's characterization of YieldStar as 'like a high-yield savings account but better' and his description of returns as 'essentially guaranteed' constitute materially misleading statements. Crypto lending platforms are not banks, deposits are not insured, and returns are not guaranteed. These misrepresentations may also constitute fraud under Exchange Act Section 10(b) and Rule 10b-5.

****SEC Digital Asset Framework and Unregistered Securities:**** Under the SEC's 2019 Framework for Investment Contract Analysis and the Howey test, interest-bearing crypto lending accounts - where customer funds are pooled and lent to third parties with the expectation of profit derived from the efforts of the platform - likely constitute investment contracts (i.e., securities). The SEC has brought enforcement actions against platforms offering substantially similar products (e.g., BlockFi, Celsius, Gemini Earn/Genesis) for offering and selling unregistered securities. Derek recommended that Margaret invest in what was likely an unregistered security without conducting any due diligence on the product's regulatory status.

****Investment Advisers Act §206 (if advisory relationship exists):**** If Derek was acting in any advisory capacity, §206's anti-fraud provisions impose fiduciary duties that were clearly breached through the unsuitable recommendation, failure to disclose conflicts, and material misrepresentations.

****Senior Investor Exploitation:**** FINRA Rule 2165 and various state securities laws provide heightened protections for senior investors (generally age 65+). Margaret's age, cognitive vulnerability to misleading sales pitches, fixed income dependency, and lack of investment sophistication all triggered enhanced duties of care. Derek's conduct - aggressively moving nearly half of a 79-year-old retiree's life savings into an unregistered, uninsured, high-risk crypto product while earning an undisclosed referral fee - represents a

textbook case of senior investor exploitation.

****Likely Regulatory Outcome:**** Derek faces potential FINRA enforcement including fines, suspension, or a permanent bar. The broker-dealer faces supervisory failure charges under FINRA Rules 3110 and 3120 for failing to detect or prevent the unsuitable recommendation and undisclosed compensation. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of \$185,000 (less any bankruptcy recovery), plus potential punitive damages given the egregious nature of the misconduct. State securities regulators may also pursue action for elder financial exploitation, and the matter could be referred to the SEC or state attorney general for potential fraud charges.

Hypothetical 12

[NON-COMPLIANT]

Topic: *alternative_investments_unsuitable* | Difficulty: *hard*

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tucson, Arizona. He receives \$2,400 per month in pension income and \$1,870 per month from Social Security. His total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA rollover (\$210,000) and a savings account (\$75,000). He has no other significant assets besides his home, which is paid off. On his new account form completed in January 2023, Whitfield indicated his risk tolerance as 'conservative,' his investment objective as 'income and preservation of capital,' his time horizon as '1-5 years,' and his investment experience as 'limited - mostly CDs and savings bonds.' He also noted that he has no prior experience with digital assets, commodities, or alternative investments.

Whitfield's financial advisor, Derek Solis, age 34, had been managing Whitfield's IRA for approximately eight months when, in September 2023, he began recommending that Whitfield reallocate a significant portion of his portfolio into digital asset-related products. Specifically, Solis recommended that Whitfield move \$95,000 - roughly one-third of his total liquid net worth - into three positions: (1) \$40,000 into a crypto yield account offered by a platform called NovaCoin Earn, which promised 8.5% annual percentage yield on deposited USDC stablecoins; (2) \$30,000 into a fund marketed as a 'blockchain innovation basket' consisting of a mix of Solana, Avalanche, Polkadot, and several smaller-cap tokens; and (3) \$25,000 into a tokenized real estate product offered by a startup called ChainEstate, which purported to fractionalize commercial real estate ownership through ERC-20 tokens and advertised projected annual returns of 12%.

Solis presented these recommendations during a single 45-minute phone call. He told Whitfield that 'stablecoins are basically like a high-yield savings account but better,' that the blockchain basket was 'the next generation of tech investing, like getting into Amazon in 1998,' and that the ChainEstate tokens were 'backed by real buildings, so you can't really lose.' Solis did not provide Whitfield with any written risk disclosures specific to digital assets. He did not discuss the possibility that the NovaCoin Earn yield product might be an unregistered securities offering, nor did he explain that the platform had no federal deposit insurance or investor protection equivalent. He did not explain the volatility history of the altcoins in the blockchain basket, nor did he disclose that Solana had declined approximately 93% from its all-time high in the preceding 18 months. Regarding ChainEstate, Solis did not disclose that the startup had been

operating for only seven months, had not filed any registration statements, and had no audited financial statements.

Solis received a 2.5% upfront commission on the blockchain basket (\$750) and a 1.75% placement fee on the ChainEstate tokens (\$437.50). The NovaCoin Earn account carried no direct commission but Solis's firm had a revenue-sharing arrangement with NovaCoin under which the firm received 15 basis points on all referred deposits quarterly.

Whitfield, trusting his advisor, agreed to the recommendations. By February 2024, the NovaCoin Earn platform had halted all withdrawals after facing a liquidity crisis, with customer assets frozen indefinitely. The blockchain basket had declined in value to approximately \$11,400 - a 62% loss. ChainEstate had ceased operations and its tokens were trading at \$0.03, representing a nearly total loss from the original purchase price of \$1.00 per token. Whitfield's \$95,000 investment was now worth, at most, \$12,150 in accessible value (the blockchain basket), with the remaining \$82,850 either frozen or effectively wiped out.

Whitfield filed a written complaint with the firm in March 2024, stating he was never told these products could result in a near-total loss of his retirement funds and that he did not understand what he was buying.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Solis violated multiple regulatory standards in recommending these digital asset products to Gerald Whitfield.

****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile. Whitfield was a 71-year-old retiree with conservative risk tolerance, an income/preservation objective, limited investment experience, and no experience with digital assets. Recommending that he place one-third of his liquid net worth into unregistered crypto yield products, volatile altcoins, and a startup tokenized real estate offering with no audited financials is fundamentally inconsistent with his stated profile. Solis failed the reasonable-basis, customer-specific, and quantitative components of the care obligation.

****Investment Advisers Act §206 (Anti-Fraud):** To the extent Solis or his firm functioned in an advisory capacity, Section 206(1) and 206(2) of the Investment Advisers Act prohibit fraud and deceit. Solis's characterization of stablecoins as 'basically like a high-yield savings account,' his comparison of speculative altcoins to 'getting into Amazon in 1998,' and his claim that tokenized real estate means 'you can't really lose' constitute materially misleading statements that omit critical risks. These statements are deceptive within the meaning of §206(2) and potentially §206(1) if intent can be established.

****SEC Howey Test Application and Unregistered Securities:** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets, the NovaCoin Earn yield product - where customers

deposit assets with an expectation of profit derived from the efforts of the platform - likely constitutes an investment contract under SEC v. W.J. Howey Co. (1946). The SEC has brought enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, Gemini (re: Gemini Earn), and Genesis for offering materially identical unregistered crypto lending/yield products. Solis recommended an unregistered securities product without disclosing its regulatory status, violating Exchange Act §10(b) and Rule 10b-5's anti-fraud provisions regarding material omissions. Similarly, the ChainEstate token - a tokenized fractional real estate interest where returns depend on the startup's management - likely qualifies as an unregistered security under Howey.

****CFTC Jurisdiction:**** To the extent any of the digital assets in the blockchain basket (Solana, Avalanche, Polkadot) are classified as commodities rather than securities, the CFTC exercises anti-fraud and anti-manipulation authority under Sections 6(c)(1) and 9(a)(2) of the Commodity Exchange Act. Solis's misleading characterizations of these assets could constitute fraud in connection with commodity transactions.

****FINRA Guidance on Digital Assets:**** FINRA has issued multiple Regulatory Notices (including 22-08 regarding crypto communications) and has emphasized that communications about crypto-related products must be fair, balanced, and not misleading. FINRA Rule 2111 (Suitability) and its evolving standards under Reg BI require that recommendations be suitable based on the customer's profile. FINRA Rule 2210 (Communications with the Public) requires that promotional characterizations not omit material risks. Solis's verbal representations during the phone call violated these communication standards.

****Specific Violations Summary:****

1. Recommending high-risk, speculative, and illiquid digital asset products to a conservative, elderly, inexperienced retiree with a preservation objective - violating the Care Obligation under Reg BI and suitability under FINRA Rule 2111.
2. Making materially misleading oral representations and omitting critical risk disclosures - violating Reg BI's Disclosure Obligation, Exchange Act §10(b)/Rule 10b-5, and Investment Advisers Act §206.
3. Recommending what are likely unregistered securities (NovaCoin Earn yield product, ChainEstate tokens) without disclosure of their regulatory status.
4. Concentrating approximately 33% of the client's liquid net worth in highly speculative, correlated digital asset positions - an excessive concentration given the client profile.
5. Undisclosed or inadequately disclosed revenue-sharing arrangement with NovaCoin - a conflict of interest that should have been disclosed under Reg BI's Conflict of Interest Obligation.

****Likely Regulatory Outcome:**** Solis would likely face FINRA disciplinary action including fines, disgorgement of commissions, suspension or bar, and the firm could face supervisory failure charges. The client would have strong grounds for arbitration recovery. If referred to the SEC or state regulators, additional enforcement action is possible, particularly regarding the recommendation of unregistered securities products.

Hypothetical 13

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Dayton, Ohio, with a monthly pension of \$2,800 and Social Security income of \$1,950. His total liquid savings consist of approximately \$185,000 in a traditional IRA, \$32,000 in a savings account, and a paid-off home valued at \$165,000. Gerald has no prior experience with any investments beyond his pension and a certificate of deposit he held in the 1990s. He visited the office of financial advisor Marcus Tran in February 2023 after seeing an advertisement promising 'modern retirement income solutions.' During their initial and only meeting, which lasted approximately 35 minutes, Marcus asked Gerald a handful of general questions: his age, whether he was retired, and roughly how much he had in savings. Marcus did not ask about Gerald's monthly expenses, medical costs, risk tolerance, investment time horizon, existing debts, beneficiaries, or whether Gerald had any understanding of digital assets. Marcus did not provide Gerald with any written risk questionnaire or account opening documentation that would have captured these details. Instead, Marcus recommended that Gerald transfer \$110,000 from his IRA into a self-directed IRA and use those funds to purchase a mix of three cryptocurrencies-Bitcoin, Ethereum, and Solana-and place \$40,000 of that amount into a crypto yield-earning account offered by a platform called NovaYield, which advertised annual percentage yields of 9.5% on deposited digital assets. Marcus described this as 'basically like a high-interest savings account but in crypto' and told Gerald it would 'generate passive retirement income better than any CD.' Marcus did not explain how NovaYield generated its yields, did not mention that the platform was not insured by any federal deposit insurance program, and did not discuss the possibility of platform insolvency or asset lockups. Gerald, trusting Marcus, signed the paperwork. By August 2023, the value of the directly held cryptocurrencies had declined by approximately 38%, and NovaYield had frozen all customer withdrawals amid a liquidity crisis, rendering Gerald's \$40,000 inaccessible. Gerald filed a complaint in October 2023, stating he never understood what he was investing in, was never told about the risks, and would never have agreed to put the majority of his retirement savings into something so volatile had he known.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Tran committed multiple serious violations stemming from a fundamental failure to know his customer, compounded by unsuitable recommendations and material omissions.

****Failure to Know the Customer / Inadequate Customer Profile:****

Under FINRA Rule 2111 (Suitability), a financial professional must make reasonable efforts to gather and analyze a customer's investment profile before making any recommendation. This profile must include, at minimum, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Under Regulation Best Interest (Reg BI), the Care Obligation (17 CFR §240.15l-1(a)(2)(ii)) requires the advisor to exercise reasonable diligence, care, and skill in understanding the customer's investment profile and ensuring that a recommendation is in the customer's best interest. Marcus conducted a superficial 35-minute meeting, failed to use any risk assessment questionnaire, did not ascertain Gerald's monthly expenses, medical costs, liquidity needs, risk tolerance, time horizon, or investment knowledge. This constitutes a textbook failure to know the customer.

****Unsuitable Recommendation:****

Gerald was a 71-year-old retiree with modest fixed income, no investment experience beyond CDs, and a conservative profile by any reasonable inference. Recommending that he place roughly 59% of his liquid retirement savings (\$110,000 out of \$185,000 in his IRA) into highly volatile, speculative digital assets is grossly unsuitable under FINRA Rule 2111's customer-specific suitability component. The recommendation bore no reasonable relationship to Gerald's apparent income needs, risk capacity, or financial sophistication.

****Unregistered Yield Product / Material Omissions:****

The SEC has taken the position, as articulated in its 2019 Digital Asset Framework and enforcement actions against platforms such as BlockFi, Celsius, Gemini Earn, and Genesis, that crypto yield-earning accounts constitute securities under the Howey test because investors deposit assets with the expectation of profits derived from the efforts of a third party (the platform's lending and trading activities). NovaYield's yield product, offering 9.5% APY on deposited crypto, likely constitutes an unregistered security. Marcus's description of it as 'basically like a high-interest savings account' was materially misleading, violating the antifraud provisions of Exchange Act §10(b) and Rule 10b-5, as well as Investment Advisers Act §206 if Marcus was acting in an advisory capacity. He failed to disclose the lack of federal deposit insurance, counterparty risk, platform insolvency risk, and the nature of how yields were generated.

****CFTC Jurisdiction Consideration:****

Bitcoin and Ethereum have been classified as commodities by the CFTC. To the extent Marcus was advising on commodity transactions, the CFTC Act's antifraud provisions (7 U.S.C. §9(1)) also apply, prohibiting manipulation and fraud in connection with commodity sales.

****Likely Regulatory Outcome:****

Marcus faces potential FINRA disciplinary action for suitability violations (Rule 2111), potential SEC enforcement for Reg BI violations and antifraud violations under §10(b) and §206, customer arbitration liability for compensatory damages of the full \$110,000 plus interest, and potential state regulatory action. The failure to know the customer is the foundational violation that enabled all subsequent harm-had Marcus conducted a proper suitability analysis, no reasonable advisor would have recommended this portfolio allocation to this client.

Hypothetical 14

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Marcus Vellingham, age 59, is a recently retired municipal bus driver in Toledo, Ohio, with a pension of \$3,200 per month, a \$410,000 traditional IRA rollover from his employer's 403(b) plan, and approximately \$38,000 in a savings account. He has no other significant assets besides his home, which is paid off. In September 2023, Marcus met with Darren Coyle, a financial advisor at Ridgepoint Wealth Partners. Marcus told Darren that his primary goals were capital preservation, supplementing his pension with modest income, and ensuring he had enough money to last through retirement. He described himself as conservative and said he could not afford to lose principal. He also mentioned that he had heard about

[NON-COM

cryptocurrency on the news and was curious about it, though he admitted he did not really understand how it worked. Darren told Marcus that traditional fixed-income investments were paying very little and that there were 'much better options in the digital asset space.' Over two meetings, Darren recommended that Marcus allocate \$165,000 - roughly 40% of his IRA - into three investments: \$70,000 into a tokenized real estate fund called BrickVault Digital LP, which invested in commercial properties through blockchain-based fractional ownership tokens with a stated 3-year lock-up period and no secondary market; \$55,000 into a DeFi yield protocol called StableHarvest, which promised 11.2% annual percentage yield on deposits of USDC stablecoins, where funds were deployed into algorithmic lending pools with no guaranteed withdrawal timeline; and \$40,000 into a pre-sale allocation of a utility token called GridNode, marketed as powering a decentralized energy infrastructure network that was still in beta testing, with tokens subject to a 24-month vesting schedule and no exchange listing at the time of purchase. Darren's firm received a 4.5% placement fee on BrickVault, a 2% referral fee from StableHarvest's onboarding partner, and a 6% commission on the GridNode pre-sale allocation. Darren provided Marcus with summary marketing materials for each product but did not furnish detailed offering memoranda, nor did he discuss the lock-up periods, illiquidity risks, or the speculative nature of the GridNode token in any documented fashion. Marcus's signed new account form listed his risk tolerance as 'moderate growth,' which differed from what Marcus had verbally communicated. By June 2024, StableHarvest had suspended withdrawals following a smart contract exploit, and the platform entered a restructuring process with no clear timeline for returning depositor funds. BrickVault's quarterly statements showed a 14% decline in NAV due to falling commercial real estate valuations, and Marcus was unable to redeem any portion of his holdings. GridNode's token launch was delayed indefinitely after the development team announced a pivot in its business model. Marcus, now 60, had effectively lost access to \$165,000 of his retirement savings at a time when he needed to begin supplementing his pension income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Coyle committed multiple serious violations across several regulatory frameworks.

1. ****Regulation Best Interest (Reg BI) - Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill in making a recommendation, including understanding the risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Recommending that a 59-year-old conservative retiree with limited assets and an imminent need for income place 40% of his IRA into three illiquid, speculative, and largely unproven digital-asset-related investments is fundamentally inconsistent with the Care Obligation. Marcus's stated objectives - capital preservation and income supplementation - are diametrically opposed to products with multi-year lock-ups, no secondary markets, algorithmic yield exposure, and pre-sale token allocations in beta-stage technology projects.

2. ****Concentration and Illiquidity Risk:**** Even for investors with higher risk tolerances, a 40% allocation to illiquid, speculative digital-asset products would raise serious concerns. For a conservative retiree whose IRA constituted the majority of his liquid net worth, this level of concentration in illiquid investments with uncertain exit mechanisms was patently unsuitable. FINRA has repeatedly emphasized through regulatory

notices (e.g., Regulatory Notice 22-08 on complex products, and longstanding guidance under Rule 2111) that firms and representatives must perform rigorous suitability analysis before recommending complex, illiquid, or speculative products, particularly to retail investors with limited financial sophistication.

3. **Howey Test and Unregistered Securities:** Several of the recommended products likely constitute securities under the SEC's application of the Howey test and the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets. BrickVault Digital LP, a pooled investment in tokenized real estate with returns dependent on the efforts of a management team, almost certainly qualifies as a security. The GridNode pre-sale token - sold prior to any exchange listing, with value dependent on the development team's efforts to build and launch a functioning network - similarly bears the hallmarks of an investment contract. StableHarvest's yield product, where depositors provided capital expecting returns generated by the platform's lending activities, mirrors the fact patterns in recent SEC enforcement actions against companies like BlockFi, Celsius, and Gemini/Genesis for offering unregistered securities in the form of crypto yield/lending products. If these products were unregistered securities, Darren's recommendation and sale of them may have violated Exchange Act §10(b) and Securities Act §5's registration requirements.

4. **CFTC Jurisdiction:** To the extent StableHarvest involved the lending of USDC (a commodity under CFTC interpretation of digital assets that are not securities), the CFTC may also assert jurisdiction over the yield product as involving leveraged or margined retail commodity transactions under the Commodity Exchange Act §2(c)(2)(D), particularly if the product did not result in actual delivery within 28 days.

5. **Investment Advisers Act §206 - Fiduciary Duty:** If Darren or his firm operated in any advisory capacity with respect to these recommendations (as opposed to purely brokerage), the anti-fraud provisions of the Investment Advisers Act §206(1) and §206(2) impose a fiduciary duty requiring the advisor to act in the client's best interest. The undisclosed conflicts - 4.5% placement fees, 2% referral fees, and 6% commissions - constitute material conflicts that should have been fully and prominently disclosed. The failure to provide offering memoranda and to document the discussion of lock-ups, illiquidity, and speculative risk further evidences a breach of fiduciary duty.

6. **Falsified Customer Records:** The new account form listing Marcus's risk tolerance as 'moderate growth' despite his verbal statements indicating conservatism raises additional concerns about falsification of customer records in violation of FINRA Rule 4511 (books and records) and potentially FINRA Rule 2010 (standards of commercial honor).

Likely Regulatory Outcome: This fact pattern would likely result in FINRA enforcement for suitability violations and potential sanctions including fines, disgorgement of commissions, suspension or bar. The SEC could pursue action for recommending and selling unregistered securities and for breach of Reg BI. Marcus would have strong claims in FINRA arbitration for compensatory damages totaling the \$165,000 invested plus consequential damages related to his inability to access retirement income. The severity of the harm - effectively locking a conservative retiree out of 40% of his retirement funds - would likely result in significant sanctions and potential referral for further investigation regarding the firm's supervisory procedures under FINRA Rules 3110 and 3120.

Hypothetical 15

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Marcus Trent, a registered investment adviser representative based in Tampa, Florida, was introduced to a new client, Dorothy Huang, age 71, in March 2023. Mrs. Huang was a retired elementary school teacher with a monthly pension of \$3,200 and Social Security income of \$1,850 per month. She had \$410,000 in a traditional IRA, \$62,000 in a savings account, and owned her home outright, valued at approximately \$285,000. Mrs. Huang came to Trent after her previous advisor retired, and she brought a folder of account statements but no completed risk questionnaire or new account documentation. During their first meeting, Mrs. Huang mentioned she was 'curious about those digital coins my grandson keeps talking about' and said she wanted to 'make her money grow faster than the bank.' Trent did not ask Mrs. Huang about her investment experience, risk tolerance, time horizon, liquidity needs, existing debts, health conditions, or whether she had any beneficiaries or estate plan. He did not have her complete an investor profile questionnaire or any new account documentation. Instead, he spent the meeting showing her screenshots of Bitcoin and Ethereum price charts from 2020 to early 2021, emphasizing the dramatic gains. Within two days, without any further conversation, Trent recommended Mrs. Huang allocate \$175,000 - approximately 37% of her IRA - into a combination of Bitcoin, Ethereum, and a yield-bearing digital asset lending product offered through a platform that would later suspend customer withdrawals. The yield product promised 7.5% annual returns on deposited crypto assets. Trent earned a \$4,200 referral fee from the lending platform and his standard 1.25% advisory fee on the crypto allocation. He documented the transaction notes as: 'Client interested in crypto. Discussed potential. Allocated per client interest.' By November 2023, the lending platform had frozen all customer accounts and filed for bankruptcy protection. The value of Mrs. Huang's crypto holdings had declined to approximately \$94,000, and the \$60,000 placed in the yield product was entirely inaccessible. Mrs. Huang filed a complaint stating she never understood the risks, was never asked about her financial situation in detail, and believed her advisor was putting her money somewhere safe that paid better interest than her bank.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Trent committed multiple serious violations. First, under the Investment Advisers Act §206(1) and §206(2), an investment adviser owes fiduciary duties to clients, including the duty of care and the duty of loyalty. A foundational element of the duty of care is the obligation to conduct a reasonable inquiry into the client's financial situation, investment experience, risk tolerance, time horizon, liquidity needs, and investment objectives before making any recommendation. Trent's failure to collect any meaningful client profile information - no risk questionnaire, no new account form, no discussion of health, liquidity needs, time horizon, or investment experience - constitutes a textbook failure to know the customer.

Second, under Regulation Best Interest (Reg BI), if Trent were operating in a broker-dealer capacity for any portion of this transaction, the Care Obligation (Rule 15l-1(a)(2)(ii)) requires that the advisor exercise reasonable diligence, care, and skill to understand the customer's investment profile before making a recommendation. The Know Your Customer component is not optional; it is a prerequisite to any

recommendation. Trent's transaction notes - 'Client interested in crypto. Discussed potential. Allocated per client interest' - are woefully insufficient and suggest no inquiry was made.

Third, the recommendation itself was grossly unsuitable. A 71-year-old retired teacher living on fixed income with no documented investment sophistication or risk tolerance was allocated 37% of her retirement assets into highly volatile digital assets and an unregistered yield product. The yield-bearing crypto lending product bears hallmarks of an unregistered security under the Howey test framework articulated in the SEC's 2019 Digital Asset Framework and subsequent enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis. Recommending such a product without understanding its regulatory status, counterparty risk, and the client's ability to bear total loss is a severe breach.

Fourth, the \$4,200 referral fee from the lending platform creates an undisclosed material conflict of interest. Under §206 of the Investment Advisers Act and the Disclosure Obligation under Reg BI, all material conflicts - especially compensation from third-party product providers - must be fully and clearly disclosed to the client. There is no evidence Trent disclosed this fee.

FINRA Rule 2111 (Suitability) and its three component obligations - reasonable-basis, customer-specific, and quantitative suitability - were all violated. Trent had no reasonable basis for recommending crypto and yield products to any retail investor without understanding the product risks (reasonable-basis), had no customer-specific information to justify the recommendation (customer-specific), and the concentration level was excessive (quantitative). FINRA's targeted guidance on digital assets and complex products further emphasizes heightened scrutiny for recommendations involving novel, illiquid, or speculative instruments.

Under Exchange Act §10(b) and Rule 10b-5, the omission of material information about the risks of the yield product and the undisclosed referral fee could support a fraud claim if it can be shown Trent acted with scienter - his eager pitch of cherry-picked price charts and rapid execution without due diligence suggests, at minimum, reckless disregard for the client's interests.

Likely regulatory outcome: Trent faces potential enforcement action including disgorgement of fees, civil monetary penalties, suspension or bar from the industry, and private arbitration liability for Mrs. Huang's losses. The failure to know the customer is the foundational violation from which all other breaches flow.

Hypothetical 16

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Gerald Whitman, age 71, is a retired postal worker living in Dayton, Ohio, with a fixed monthly income of \$2,400 from his pension and \$1,850 from Social Security. His total liquid savings amount to approximately \$185,000, held primarily in a money market account and a small allocation of investment-grade municipal bonds. Whitman has no prior experience with digital assets, options trading, or speculative investments. On his new account form completed in January 2023, he indicated his investment objective as 'capital preservation and income generation,' his risk tolerance as 'conservative,' and his investment time horizon

[NON-COM

as '3-5 years.' He told his advisor, Marcus Dellacroix, that his primary concern was making sure his savings lasted through retirement and that he could cover potential medical expenses for his wife, who has early-stage Parkinson's disease.

Dellacroix, a registered representative with Meridian Wealth Partners, had recently attended a crypto conference in Miami and began actively promoting digital asset strategies to his book of clients. During a meeting in February 2023, Dellacroix recommended that Whitman move \$55,000-approximately 30% of his liquid savings-into a combination of positions: \$20,000 into Bitcoin, \$15,000 into Ethereum, and \$20,000 into a yield-bearing crypto lending account offered by a platform called NovaCoin Earn, which advertised annual percentage yields of 9.5% on stablecoin deposits. Dellacroix described the yield product as 'basically like a high-yield savings account but in crypto' and told Whitman the stablecoin deposits were 'pegged to the dollar, so there's no real downside.' He did not explain that NovaCoin Earn was not a registered entity, that deposits were not insured, or that the platform lent customer assets to institutional borrowers and DeFi protocols to generate the advertised yields.

Dellacroix's internal notes from the meeting stated: 'Client expressed interest in higher returns. Discussed crypto allocation to boost portfolio yield. Client agreed to proceed.' Whitman later testified that he trusted Dellacroix and believed the stablecoin product was equivalent to a certificate of deposit.

By June 2023, NovaCoin Earn froze customer withdrawals amid a liquidity crisis triggered by a collapse in the value of the collateral posted by its largest institutional borrower. Whitman's \$20,000 deposited in the yield account became inaccessible. Simultaneously, the crypto market experienced a significant downturn, and Whitman's combined Bitcoin and Ethereum positions declined to approximately \$22,500 from their original \$35,000 cost basis. In total, Whitman faced unrealized and potentially permanent losses of approximately \$32,500-roughly 17.5% of his entire liquid net worth. Whitman filed a complaint in August 2023 alleging that Dellacroix recommended investments completely inconsistent with his stated financial profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Dellacroix violated multiple applicable regulatory standards.

****Regulation Best Interest (Reg BI) - Care Obligation:**** Under Reg BI, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the customer's best interest and must not place the financial interest of the broker-dealer or representative ahead of the customer's interest. Specifically, the Care Obligation requires the advisor to consider the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon. Whitman was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, a modest fixed income, significant near-term medical expense liabilities, and a 3-5 year time horizon. Recommending a 30% allocation to highly volatile, speculative digital assets-including Bitcoin, Ethereum, and an unregistered yield product-was fundamentally inconsistent with every dimension of Whitman's investment profile. This constitutes a clear violation of the Care Obligation under Reg BI Rule 15l-1(a)(2)(ii).

****FINRA Rule 2111 - Suitability:**** To the extent suitability obligations apply (FINRA Rule 2111), the recommendation fails all three components: (1) Reasonable-basis suitability - Dellacroix failed to perform adequate due diligence on NovaCoin Earn, a platform that was not registered with the SEC or any prudential regulator, offered yields generated through opaque lending to institutional and DeFi counterparties, and provided no deposit insurance. Characterizing this product as equivalent to a 'high-yield savings account' or CD demonstrates either a fundamental lack of understanding or willful misrepresentation. (2) Customer-specific suitability - the recommendation was unsuitable for a conservative, elderly, income-dependent retiree with no crypto experience and immediate liquidity needs. (3) Quantitative suitability - while not a classic churning case, the concentration of 30% of liquid assets in a single speculative asset class raises concerns about excessive risk concentration.

****SEC Digital Asset Framework and Howey Test Application:**** The NovaCoin Earn yield product likely constitutes a security under the Howey test, as customers deposited money (stablecoin) in a common enterprise with the expectation of profits derived from the efforts of NovaCoin (which deployed the assets to generate yield). This mirrors enforcement actions the SEC has brought against platforms such as BlockFi (settled for \$100 million in February 2022), Celsius, Gemini Earn, and Genesis for offering unregistered securities in the form of crypto lending or yield products. By recommending an unregistered security to a retail customer without adequate disclosure, Dellacroix potentially facilitated a violation of Securities Act §5 (offer/sale of unregistered securities) and contributed to a violation of Exchange Act §10(b) and Rule 10b-5 through material misrepresentations and omissions about the nature and risks of the product.

****Investment Advisers Act §206 - Fiduciary Duty (if dual-registered or acting in advisory capacity):**** If Dellacroix was acting in an advisory capacity or is dual-registered, his conduct would also violate the anti-fraud provisions of the Investment Advisers Act §206(1) and §206(2), which impose fiduciary obligations including full and fair disclosure of all material facts and a duty to act in the client's best interest.

****Reg BI - Disclosure Obligation:**** Dellacroix failed to disclose material facts about the NovaCoin Earn product, including: (a) that deposits were not FDIC or SIPC insured; (b) that the platform was unregistered; (c) that the yield was generated through risky lending activities; and (d) that the stablecoin 'peg' could be disrupted, and the platform could freeze withdrawals. This violates the Disclosure Obligation under Reg BI.

****Likely Regulatory Outcome:**** Dellacroix and Meridian Wealth Partners face significant exposure. Probable outcomes include: (1) FINRA arbitration award in Whitman's favor for compensatory damages of approximately \$32,500, plus potential attorneys' fees; (2) FINRA enforcement action against Dellacroix for suitability violations under Rule 2111 and failure to observe Reg BI's Care and Disclosure Obligations, potentially resulting in fines, suspension, or a bar; (3) Potential SEC referral if the recommendation of unregistered securities is substantiated; (4) Supervisory failures by Meridian Wealth Partners for inadequate review of Dellacroix's crypto recommendations and for failing to have adequate policies and procedures governing digital asset recommendations to retail customers. The internal note that 'client expressed interest in higher returns' does not overcome the documented conservative profile and is insufficient to justify the recommendation.

Hypothetical 17

Topic: *crypto_assets_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Tolliver, age 71, is a retired elementary school teacher in Dayton, Ohio, living on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has \$340,000 in total liquid savings, the vast majority held in a money market account and a ladder CD portfolio at her local bank. She has no prior experience investing in equities, options, or alternative assets. Her stated investment objectives on her new account form, completed in March 2023 with advisor Derek Kingsley at Ridgeline Wealth Partners, were capital preservation and income generation. Her risk tolerance was marked as 'conservative.' Margaret told Derek during their initial meeting that she wanted to make sure her savings would last through her lifetime and cover potential long-term care expenses, as she had no long-term care insurance.

In April 2023, Derek recommended that Margaret allocate \$85,000-roughly 25% of her liquid net worth-into a combination of digital asset positions. Specifically, he recommended \$30,000 into Bitcoin, \$25,000 into Ethereum, and \$30,000 into a crypto yield product offered by a platform called VaultEarn, which promised an annualized return of 9.4% on deposited stablecoins. Derek told Margaret the yield product was 'basically like a high-interest savings account but on the blockchain' and described Bitcoin and Ethereum as 'digital gold that only goes up over time.' He did not explain the mechanics of how VaultEarn generated its yield, nor did he disclose that VaultEarn was not registered with any U.S. financial regulator and that deposited assets were being lent to institutional borrowers with no federal deposit insurance or investor protection. He did not discuss the volatility history of Bitcoin or Ethereum, the risks of exchange insolvency, or the possibility of total loss on the yield product.

Margaret agreed based on Derek's reassurances. By November 2023, VaultEarn halted withdrawals after its largest institutional borrower defaulted, freezing Margaret's \$30,000 in stablecoins indefinitely. Her Bitcoin and Ethereum positions had declined approximately 18% from her cost basis due to market conditions. Margaret's total unrealized and realized losses stood at roughly \$45,300. She filed a complaint with Ridgeline's compliance department in December 2023, stating she was never told these investments carried substantial risk and that she could not afford to lose this money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Kingsley committed multiple serious violations of applicable regulatory standards.

****Regulation Best Interest (Reg BI) - Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile-including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, no

investment sophistication, a fixed income, no long-term care insurance, and a need for liquidity. Recommending that 25% of her liquid net worth be allocated to highly volatile, speculative crypto assets and an unregistered yield product fundamentally contradicts every element of her investment profile. This is a clear violation of the Care Obligation under Reg BI.

****FINRA Rule 2111 (Suitability):**** To the extent suitability obligations apply, the recommendation fails all three components: (1) Reasonable-basis suitability-Derek does not appear to have understood how VaultEarn generated its yield or its risk profile; (2) Customer-specific suitability-the allocation was wholly inappropriate for a conservative, elderly, fixed-income investor; and (3) Quantitative suitability-concentrating 25% of liquid assets in speculative crypto for a capital-preservation client is excessive.

****Investment Advisers Act §206 (Anti-Fraud):**** If Derek was acting in an advisory capacity, his misrepresentations-describing the yield product as 'basically like a high-interest savings account' and Bitcoin as an asset that 'only goes up over time'-constitute material misstatements and omissions in violation of the anti-fraud provisions under §206(1) and §206(2). The failure to disclose that VaultEarn was unregistered, that assets were being lent to institutional borrowers, and that there was no deposit insurance constitutes omission of material facts necessary to make his statements not misleading.

****SEC Digital Asset Framework (2019) and Howey Test:**** The VaultEarn yield product, where customers deposit assets with an expectation of profit derived from the efforts of VaultEarn's management in lending those assets, likely constitutes a security under the Howey test (investment of money in a common enterprise with expectation of profits derived from the efforts of others). The SEC has brought enforcement actions against similar yield-bearing crypto platforms (BlockFi, Celsius, Gemini Earn/Genesis) on precisely this basis-that such products are unregistered securities. Recommending an unregistered security to a retail customer raises additional liability under Exchange Act §10(b) and Rule 10b-5.

****CFTC Jurisdiction:**** Bitcoin and Ethereum have been designated as commodities by the CFTC. Recommending commodity-based investments requires adequate risk disclosure and suitability analysis. Derek failed to provide any meaningful risk disclosure regarding the volatility of these digital commodities.

****Likely Regulatory Outcome:**** Derek faces potential FINRA disciplinary action including fines, suspension, or bar. Ridgeline Wealth Partners faces supervisory failure liability if it lacked adequate policies regarding digital asset recommendations. Margaret would have strong grounds for a FINRA arbitration claim seeking full compensatory damages of approximately \$45,300 plus consequential damages. The firm and advisor may also face SEC or state enforcement action for recommending an unregistered security (VaultEarn yield product) and for fraudulent misrepresentations.

Hypothetical 18

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in Baton Rouge, Louisiana. She receives

[NON-COM

\$2,200 per month in Social Security benefits and a \$1,100 per month pension, giving her a total annual income of approximately \$39,600. Her entire investable savings amount to \$148,000, held in a traditional IRA rollover account that she has relied upon since retiring in 2018. Margaret has described herself on her account paperwork as a conservative investor with a primary objective of capital preservation and supplemental income generation. She has no prior experience with cryptocurrency or digital assets and told her advisor, Derek Fontaine, that she finds technology confusing and is worried about losing her nest egg. In March 2023, Fontaine recommended that Margaret move \$74,000, representing exactly half of her IRA, into a crypto yield account offered through a third-party platform called ChainYield Pro. The platform advertised annual yields of 9% to 14% on deposited crypto assets, generated by lending those assets to institutional borrowers and engaging in liquidity pool activities across decentralized protocols. To fund the account, Fontaine instructed Margaret to liquidate her holdings in a low-cost bond index fund and convert the proceeds to USDC stablecoin, which would then be deposited into the ChainYield Pro platform. Fontaine earned a 3.2% referral commission from ChainYield Pro upon the deposit, totaling approximately \$2,368, which he did not disclose to Margaret. In addition, the ChainYield Pro platform charged a 1.5% annual management fee, and the conversion process involved exchange fees totaling roughly \$890. Fontaine told Margaret the investment was 'basically like a savings account but with much better interest' and that the platform was 'completely safe because it only uses stablecoins.' He did not explain that her deposited assets would be lent to third parties, that she would lose FDIC protection, that the platform itself was not a registered entity, or that similar platforms including BlockFi, Celsius, and others had recently collapsed or faced regulatory shutdown, leaving customers unable to withdraw funds. By September 2023, ChainYield Pro suspended all withdrawals citing 'liquidity constraints,' and Margaret's \$74,000 became inaccessible. She contacted a consumer attorney after seeing a news segment about crypto platform failures.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct presents multiple serious regulatory violations across several overlapping frameworks.

1. REGULATION BEST INTEREST (Reg BI) - SEC Release No. 34-86031: Reg BI requires broker-dealers to act in the best interest of a retail customer at the time of a recommendation, without placing the financial or other interest of the broker ahead of the retail customer. Fontaine's recommendation of a high-risk crypto yield product to a 71-year-old, conservative, capital-preservation-focused retiree whose entire livelihood depends on her IRA fails the Care Obligation under Reg BI Rule 15l-1(a)(2)(ii), which requires the advisor to have a reasonable basis for believing the recommendation is in the customer's best interest based on the retail customer's investment profile. A product with 9-14% advertised yields, operating through decentralized lending protocols, offered by an unregistered platform, does not align with any reasonable interpretation of Margaret's conservative, income-dependent profile.

2. DISCLOSURE OBLIGATION VIOLATION: Reg BI's Disclosure Obligation under Rule 15l-1(a)(2)(i) requires full and fair disclosure of all material facts relating to the recommendation, including conflicts of interest. Fontaine failed to disclose his 3.2% referral commission of approximately \$2,368, which constitutes an undisclosed conflict of interest. This omission is independently actionable. Additionally, under

Investment Advisers Act Section 206(2), advisers have a fiduciary duty requiring disclosure of all material conflicts. If Fontaine is registered as an investment adviser representative, this omission violates the anti-fraud provisions of Section 206.

3. CONFLICT OF INTEREST / UNDISCLOSED COMPENSATION: FINRA Rule 2010 (Standards of Commercial Honor) and Rule 2210 (Communications with the Public) both prohibit misleading statements and require fair dealing. Fontaine's characterization of the ChainYield Pro account as 'basically like a savings account' is a materially false and misleading statement. Stablecoin lending platforms are not savings accounts, carry no FDIC insurance, and expose depositors to counterparty risk, smart contract risk, and platform insolvency risk - all of which materialized here.

4. SEC HOWEY TEST / UNREGISTERED SECURITIES: The ChainYield Pro yield account almost certainly constitutes a security under the Howey test (investment of money in a common enterprise with expectation of profits from the efforts of others). The SEC's 2019 Digital Asset Framework confirms that yield-generating crypto products where returns depend on the managerial efforts of a third-party platform operator satisfy Howey. Enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Gemini Earn, and Genesis Earn all confirm that regulators treat these products as unregistered securities offerings. By recommending an unregistered security, Fontaine potentially facilitated a violation of Securities Act Section 5 and exposed himself to liability under Exchange Act Section 10(b) and Rule 10b-5 for material misstatements and omissions in connection with the purchase.

5. CFTC JURISDICTION: To the extent ChainYield Pro's liquidity pool operations involved crypto derivatives or leveraged positions in commodities (Bitcoin, Ether), the CFTC would assert jurisdiction under the Commodity Exchange Act. Recommending products involving CFTC-regulated instruments without appropriate disclosure adds a further layer of regulatory exposure.

6. CONCENTRATION RISK: Placing 50% of a 71-year-old retiree's entire investable assets into a single illiquid, unregistered digital asset platform is a textbook concentration risk failure. FINRA guidance on complex products and suitability principles (even prior to Reg BI) would have prohibited this level of concentration in a speculative product for a customer with this profile.

7. LIKELY REGULATORY OUTCOME: Fontaine faces potential enforcement by the SEC for facilitating the sale of unregistered securities and for violations of antifraud provisions. FINRA may pursue disciplinary action for the undisclosed compensation, misleading statements, and failure to perform adequate due diligence on ChainYield Pro. State securities regulators in Louisiana may bring parallel actions under the Louisiana Securities Law. Civil liability to Margaret is substantial: she has strong grounds for rescission under Securities Act Section 12(a)(1) for the sale of unregistered securities, plus damages claims under Section 10(b) and Rule 10b-5. The undisclosed \$2,368 referral commission may also trigger disgorgement obligations. This scenario is non-compliant across every applicable standard.

Hypothetical 19

Topic: senior_investor_exploitation | Difficulty: medium

[NON-COMPLIANT]

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, had accumulated approximately \$310,000 in retirement savings through a combination of a pension, Social Security income of \$1,850 per month, and a rollover IRA. She described herself to her financial advisor, Derek Fontaine, as a conservative investor who could not afford to lose principal, had never owned stocks beyond a small mutual fund in her 403(b), and whose primary goal was capital preservation to cover healthcare costs and assisted living expenses she anticipated needing within five to seven years. Fontaine, who was affiliated with a mid-size independent broker-dealer in Boca Raton, met with Margaret in March 2023 after she responded to a seminar he hosted at a local senior center titled 'New Opportunities in the Digital Economy.' During the meeting, Fontaine told Margaret that a product called the 'CryptoYield Advantage Account,' offered through a third-party digital asset platform, was paying 9.2% annual interest on deposited assets - far exceeding the 4.5% CDs her bank was offering. He told her the account worked 'just like a savings account but smarter,' and that her money would be 'backed by digital collateral.' He did not explain that the yield was generated by lending her deposited funds to institutional borrowers in exchange for crypto collateral, that the platform was not a bank, that deposits were not FDIC-insured, that the platform had not registered the product with any securities regulator, or that similar platforms - including Celsius and BlockFi - had either filed for bankruptcy or faced enforcement actions in the prior 18 months. Fontaine received a 2.1% referral fee from the digital asset platform for each customer he onboarded. Between April and June 2023, Margaret transferred \$187,000 of her IRA funds - over 60% of her total savings - into the CryptoYield Advantage Account. By September 2023, the platform suspended withdrawals citing 'liquidity constraints,' and Margaret was unable to access her funds. As of the date of the complaint filed with regulators in November 2023, she had recovered nothing and had been forced to reduce her monthly expenses significantly while awaiting resolution of the platform's insolvency proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct represents serious violations across multiple regulatory frameworks applicable to financial advisors and broker-dealer registered representatives.

****1. Reg BI (Regulation Best Interest) - Exchange Act Rule 15l-1****

Fontaine is subject to Reg BI as a registered representative of a broker-dealer. Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Fontaine was required to exercise reasonable diligence, care, and skill to understand the risks and costs of the CryptoYield Advantage Account and to have a reasonable basis to believe the recommendation was in Margaret's best interest. Recommending that a 74-year-old, capital-preservation-oriented investor with a five-to-seven-year healthcare spending horizon commit 60% of her total retirement savings to an unregistered, illiquid, high-yield crypto lending product fails this standard categorically. The product's risk profile - counterparty lending risk, liquidity risk, lack of insurance, regulatory uncertainty, and platform insolvency risk - was wholly incompatible with Margaret's stated objectives and financial condition.

Under the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Fontaine was required to disclose all material facts relating to the recommendation, including conflicts of interest. His failure to disclose the 2.1% referral fee is a clear violation. Characterizing an unregistered crypto yield product as working 'just like a savings account'

while omitting information about the bankruptcy of comparable platforms constitutes material omission and likely rises to fraudulent misrepresentation.

****2. Securities Act §5 and SEC Howey Test - Unregistered Security****

Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), the CryptoYield Advantage Account almost certainly constitutes a security: investors deposit money (investment of money) into a common platform (common enterprise) with an expectation of returns (9.2% yield) derived from the efforts of others (the platform's lending and collateral management activities). The SEC's 2019 Digital Asset Framework confirms this analytical approach. Fontaine recommending an unregistered security to retail customers exposes both him and his broker-dealer to liability under Securities Act §§5 and 12(a)(1), and potentially Exchange Act §10(b) and Rule 10b-5 for fraudulent misrepresentation and material omission.

This analysis is reinforced by the SEC's enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Genesis, and Gemini - all of which involved materially similar yield-bearing crypto products that the SEC determined were unregistered securities offerings.

****3. CFTC Jurisdiction****

To the extent the underlying crypto assets (likely Bitcoin or Ethereum) are commodities, the CFTC retains jurisdiction under the Commodity Exchange Act. If the platform engaged in leveraged or margined retail commodity transactions without proper registration, Fontaine's facilitation of customer participation could implicate CFTC anti-fraud provisions under CEA §6(c) and CFTC Rule 180.1.

****4. Investment Advisers Act §206 - Fraud****

If Fontaine provided investment advice within the meaning of the Investment Advisers Act, his failure to disclose the referral fee and material omissions regarding the product's risk could constitute fraudulent, deceptive, or manipulative conduct under §206(1) and §206(2), which apply regardless of scienter for negligent misrepresentation under subsection (2).

****5. FINRA Rules****

FINRA Rule 2111 (suitability, applicable pre-Reg BI and for non-Reg BI contexts) and FINRA Rule 2010 (standards of commercial honor) are both implicated. The recommendation of a concentrated, high-risk, illiquid, unregistered product to a senior investor who explicitly stated capital preservation needs, without adequate disclosure of conflicts or product risks, violates both rules. Additionally, FINRA Regulatory Notice 12-25 and subsequent guidance on senior investor protection would apply, as would heightened supervision obligations for recommendations to customers aged 65 and older under FINRA Rule 4512 and related guidance.

****6. Elder Financial Exploitation****

Margaret's profile - age 74, fixed income, limited financial sophistication - triggers additional protections under FINRA Rule 2165 (financial exploitation of specified adults), which permits but does not require holds on disbursements where exploitation is suspected. Fontaine's conduct in hosting a senior center seminar specifically to recruit elderly, conservative investors into high-commission unregistered products may constitute elder financial exploitation under both FINRA standards and applicable state securities laws (Florida's Securities and Investor Protection Act).

****Likely Regulatory Outcome:****

Fontaine faces probable enforcement action by FINRA for suitability and disclosure violations, possible SEC enforcement for facilitating the sale of unregistered securities, and potential referral to Florida state regulators for elder exploitation. Sanctions could include suspension or permanent bar from the industry, disgorgement of the \$3,927 referral fee, fines, and restitution to Margaret. His broker-dealer faces supervisory liability under FINRA Rule 3110 for failing to establish procedures adequate to detect and prevent the recommendation of unregistered crypto yield products to vulnerable senior investors. The compliant verdict is FALSE - this is a clear, multi-layered regulatory violation with significant harm to a vulnerable investor.

Hypothetical 20

Topic: senior_investor_exploitation | Difficulty: hard

[NON-COM]

Fact Pattern

Margaret Okonkwo, a 74-year-old retired schoolteacher living in Baton Rouge, Louisiana, approached her financial advisor, Derek Sunwall, at Sunwall Wealth Partners LLC in March 2023. Margaret's financial profile was straightforward: she had \$310,000 in a rollover IRA representing virtually her entire retirement savings, a monthly Social Security income of \$1,840, modest living expenses, and no other significant assets. She described herself during onboarding as 'very conservative' and indicated her primary goal was capital preservation so she could cover assisted living costs she anticipated needing within five to seven years. She had no prior investment experience beyond a basic 401(k) and had never purchased any cryptocurrency or digital asset product. Derek had recently begun offering clients exposure to what he described as 'high-yield digital savings accounts,' specifically a product offered through a now-defunct crypto lending platform that promised annualized yields of 8.5% on deposited stablecoins. During their April 2023 meeting, Derek told Margaret that these accounts were 'basically like a CD but with better returns' and that the underlying stablecoins were 'pegged to the dollar so there's no real risk of losing money.' He did not disclose that the platform was a crypto lending company, that the yield was generated by re-lending customer deposits to institutional borrowers, that the product had no FDIC or SIPC protection, or that regulators in multiple states had already issued cease-and-desist orders against similar yield products from comparable firms the prior year. Derek recommended Margaret transfer \$155,000-exactly half her IRA-into this yield account, which required converting IRA funds into stablecoins through a third-party crypto exchange and then depositing them into the platform's earn program. The conversion and deposit process took two weeks in April and May 2023. Derek received a one-time referral fee of \$2,300 from the crypto platform for the deposit, which he did not disclose to Margaret. By August 2023, the platform suspended all withdrawals citing 'liquidity constraints,' and by November 2023, it had filed for bankruptcy protection. Margaret's \$155,000 became illiquid and was subsequently valued at approximately \$19,000 in bankruptcy proceedings, representing a loss of roughly \$136,000. Margaret, who had by then been diagnosed with early-stage dementia, had no meaningful understanding of what had happened to her savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Sunwall committed multiple serious regulatory violations across several overlapping frameworks, each independently sufficient to warrant enforcement action.

1. Regulation Best Interest (Reg BI) - Care Obligation (17 C.F.R. § 240.15l-1)

Reg BI, effective June 30, 2020, requires broker-dealers and associated persons making recommendations to retail customers to act in the customer's best interest at the time of the recommendation. The Care Obligation under Reg BI Element 2 mandates that advisors exercise reasonable diligence, care, and skill to understand the product, understand the customer, and have a reasonable basis to believe the recommendation is in the customer's best interest given her investment profile. Here, Margaret's profile-74 years old, entirely conservative, capital preservation objective, 5-7 year horizon for assisted living needs, no crypto experience, fixed Social Security income, no backup assets-is categorically incompatible with a speculative, illiquid, uninsured crypto yield product. Allocating 50% of her total retirement savings to such a product is an egregious failure of the care obligation. The SEC's 2019 Digital Asset Framework made clear that advisors must conduct heightened due diligence when recommending digital assets, particularly to retail investors with limited sophistication.

2. Investment Advisers Act § 206 - Fiduciary Duty and Fraud

If Sunwall Wealth Partners is registered as an investment adviser (or if Derek functions as one under the facts), Section 206 of the Investment Advisers Act of 1940 imposes an unyielding fiduciary duty of loyalty and care. Section 206(1) prohibits employing any device, scheme, or artifice to defraud a client; Section 206(2) prohibits engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Derek's affirmative misrepresentations-characterizing an uninsured, speculative crypto yield account as 'basically like a CD'-constitute fraud under Section 206(1). His material omissions (platform identity, re-lending risk model, absence of deposit insurance, regulatory cease-and-desist history of comparable firms) compound this violation under Section 206(2).

3. Exchange Act § 10(b) and Rule 10b-5 - Securities Fraud

The crypto yield product at issue almost certainly qualifies as a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors deposited money (investment of money) into a common enterprise (pooled lending pool) with an expectation of profit (8.5% annualized yield) derived from the efforts of others (the platform's lending and risk management operations). This is precisely the theory under which the SEC brought enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini Earn/Genesis, and similar platforms for offering unregistered securities. By recommending an unregistered security and making materially false and misleading statements in connection with its purchase, Derek violated Exchange Act Section 10(b) and Rule 10b-5(b) (17 C.F.R. § 240.10b-5).

4. FINRA Rules - Suitability and Know Your Customer

FINRA Rule 2111 (suitability, applicable to recommendations made prior to Reg BI's full displacement of this framework, or in conjunction with it for non-Reg BI contexts) and FINRA Rule 2090 (Know Your Customer) required Derek to use reasonable diligence to know Margaret's financial situation, needs, and objectives, and to have reasonable grounds for believing the recommendation was suitable. No reasonable grounds exist here. FINRA has issued specific guidance (Regulatory Notice 22-08, January 2022) warning member firms that digital asset recommendations to retail investors require heightened scrutiny, including

disclosure of volatility, lack of insurance protections, and liquidity risks. Derek ignored every element of this framework.

****5. Undisclosed Conflict of Interest - Reg BI Conflict of Interest Obligation****

The \$2,300 referral fee Derek received from the crypto platform without disclosure to Margaret is an independent and serious violation. Reg BI's Conflict of Interest Obligation (Element 3) requires broker-dealers to establish, maintain, and enforce written policies to identify and disclose, or eliminate, all conflicts of interest associated with recommendations. An undisclosed referral payment is a textbook conflict that must be disclosed. Under Investment Advisers Act § 206, undisclosed compensation arrangements also constitute fraudulent conduct. This fee created a direct financial incentive for Derek to recommend a product that was affirmatively harmful to his client.

****6. Elder Financial Exploitation****

Margaret's subsequent diagnosis with early-stage dementia, while diagnosed after the transaction, raises questions about whether signs of cognitive decline were present or observable during the April-May 2023 interaction period. FINRA Rule 4512 requires firms to make reasonable efforts to obtain the name of a trusted contact person for accounts of customers who may be vulnerable. FINRA Rule 2010 (standards of commercial honor) and numerous state elder financial abuse statutes impose additional obligations. The totality of the facts-extreme age, cognitive vulnerability, total savings at risk, misleading sales narrative, hidden compensation-presents a case consistent with elder financial exploitation as defined under model state laws and NASAA's Model Act to Protect Vulnerable Adults.

****7. Likely Regulatory Outcomes****

The SEC's Division of Enforcement would likely pursue Derek and Sunwall Wealth Partners for violations of Exchange Act Section 10(b)/Rule 10b-5, and Investment Advisers Act Sections 206(1) and (2). FINRA would pursue disciplinary proceedings for violations of Rules 2111, 2090, 4512, and 2010, potentially resulting in a lifetime bar. State securities regulators in Louisiana could pursue parallel enforcement under state securities fraud statutes. Criminal referral to DOJ is plausible given the fraud elements. Civil liability to Margaret under Exchange Act Section 10(b) and state law is virtually certain. Restitution of approximately \$136,000, civil monetary penalties, disgorgement of the \$2,300 referral fee, and suspension or permanent bar from the securities industry are all probable outcomes. This scenario represents one of the most serious categories of retail investor harm in the digital asset enforcement landscape.

Hypothetical 21

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Holloway is a 61-year-old retired school librarian living in Tucson, Arizona. She has approximately \$310,000 in a rollover IRA, which represents the entirety of her retirement savings. Her stated investment objective is capital preservation with modest income, and she has consistently identified herself on account paperwork as a conservative investor with low risk tolerance. She has no prior experience with digital assets, options, or any leveraged products, and her financial literacy is limited to basic mutual funds and

[NON-COM

CDs. She relies on her portfolio to supplement a modest Social Security benefit of roughly \$1,450 per month.

In February 2022, her financial advisor, Dennis Caulfield, who works at a mid-sized independent broker-dealer in Scottsdale, began encouraging Margaret to reallocate a portion of her IRA into a crypto yield account offered through a third-party platform that promised annualized returns of 8.5% on USD-pegged stablecoin deposits. Caulfield described the product to Margaret as essentially 'a high-yield savings account in digital form' and told her the returns were 'practically guaranteed' because the underlying assets were pegged to the dollar. He did not explain that the platform was not a bank, that deposits were not FDIC-insured, that the platform was lending customer assets to institutional borrowers, or that the yield was generated through unsecured crypto lending activities.

Between March and April 2022, Margaret transferred \$95,000 from her IRA into the yield account. Caulfield received a referral fee of approximately \$1,900 from the platform operator for onboarding the account. He did not disclose this compensation to Margaret at any point. By July 2022, the platform suspended all withdrawals citing liquidity issues, and by November 2022 it had filed for bankruptcy. Margaret lost approximately \$88,000 - nearly 29% of her total retirement savings. Post-collapse investigation revealed that the platform had been operating without registering the yield accounts as securities, had commingled customer funds, and had misrepresented the risk profile of the product in its marketing materials, all of which Caulfield had access to in internal compliance bulletins that he disregarded.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Caulfield committed multiple serious violations across several regulatory frameworks.

****1. Reg BI (Best Interest Obligation - 17 CFR § 240.15l-1)****

Reg BI, which became effective June 30, 2020, requires broker-dealers to act in the best interest of retail customers when making a recommendation, placing the customer's interest ahead of the firm's or advisor's own. Caulfield's recommendation of a high-risk, unregistered crypto yield product to a 61-year-old retired conservative investor with capital preservation objectives plainly fails the Care Obligation under Reg BI's four-component framework. The Care Obligation (Rule 15l-1(a)(2)(ii)) requires the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. No reasonable basis existed here: the product was speculative, illiquid, uninsured, and dependent on unsecured crypto lending - characteristics directly at odds with Margaret's documented profile.

****2. Disclosure Obligation Under Reg BI****

Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)) requires material conflicts of interest to be disclosed prior to or at the time of the recommendation. Caulfield received a \$1,900 referral fee from the platform and failed to disclose it. This undisclosed compensation created a direct conflict of interest and constitutes a standalone violation of Reg BI's Disclosure Obligation, as well as potentially violating FINRA Rule 2010 (standards of commercial honor).

****3. FINRA Suitability - Rule 2111****

Although Reg BI largely supersedes traditional suitability analysis for retail customers, FINRA Rule 2111 remains applicable to institutional customers and provides additional analytical context. Under Rule 2111's reasonable-basis and customer-specific suitability prongs, recommending an unregistered, illiquid, speculative yield product to a conservative retiree with no crypto experience would fail on both grounds. Caulfield had no reasonable basis to believe the product was suitable for any retail conservative investor, and the specific characteristics of Margaret's profile (age, risk tolerance, sole retirement savings, income dependency) made the recommendation individually unsuitable.

****4. Securities Fraud - Exchange Act § 10(b) and Rule 10b-5****

Caulfield's affirmative misrepresentation that the product was 'practically guaranteed' and his characterization of it as a 'high-yield savings account in digital form' constitute material misstatements in connection with the purchase of a security. Under Rule 10b-5, it is unlawful to make any untrue statement of material fact or omit to state a material fact necessary to make statements not misleading. The omissions regarding lack of FDIC insurance, the unsecured lending structure, platform risk, and the referral fee were each independently material.

****5. The Howey Test and Unregistered Security****

The crypto yield accounts at issue closely resemble the enforcement targets in SEC v. BlockFi (February 2022) and the Celsius and Gemini Earn matters. Under the Howey test (investment of money in a common enterprise with expectation of profits from the efforts of others), the yield accounts constitute investment contracts and therefore securities. The platform's failure to register these products is a violation of Securities Act § 5. Caulfield, by recommending an unregistered security, potentially exposed himself and his firm to liability as a seller under Securities Act § 12(a)(1), which imposes strict liability for selling unregistered securities. His access to internal compliance bulletins warning about the product - which he disregarded - strengthens the case for willful or reckless conduct.

****6. Investment Advisers Act § 206 (if dual registrant)****

If Caulfield provided any advisory services in connection with this recommendation, the fiduciary duty under the Investment Advisers Act § 206 would also apply, prohibiting any device, scheme, or artifice to defraud a client and requiring full and fair disclosure of all material conflicts.

****7. CFTC Jurisdiction Considerations****

To the extent any assets in the platform's portfolio included commodity-based crypto assets (e.g., Bitcoin or Ether), the CFTC's anti-fraud authority under the Commodity Exchange Act § 6(c) could also apply, particularly given the misrepresentations made in connection with the product.

****Likely Regulatory Outcome:****

Caulfield and his broker-dealer face potential FINRA enforcement action for violations of Rules 2111, 2010, and 4511 (books and records if referral fee was not documented). The SEC could bring an enforcement action under Exchange Act § 10(b), Rule 10b-5, and Securities Act § 12 for selling an unregistered security with material misstatements. FINRA would likely seek suspension, fines, and a requirement to provide restitution to Margaret. The broker-dealer faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent the misconduct, particularly given the existence of ignored internal compliance bulletins.

Margaret may also have a private right of action under Securities Act § 12(a)(1) to rescind the transaction and recover her \$88,000 loss.

Hypothetical 22

Topic: *crypto_assets_unsuitable* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in Tucson, Arizona. She has a fixed income of approximately \$2,200 per month from Social Security and a small pension. Her total investable assets amount to \$187,000, held primarily in a conservative bond mutual fund and a money market account. Margaret has repeatedly described herself to her advisor, Derek Fontaine, as someone who cannot afford to lose principal, has no interest in speculative investments, and needs her savings to last through retirement. She has no prior experience with digital assets, technology investments, or any product more complex than a basic mutual fund. In early 2022, Derek began encouraging Margaret to move \$55,000 - nearly 30% of her total savings - into a crypto yield account offered through a third-party platform that promised annualized returns of 8% to 12% on deposited stablecoins and other cryptocurrencies. Derek told Margaret the returns were 'basically like a high-yield savings account but better' and described the platform as 'very safe because the coins don't really go up and down in value.' He did not explain that the platform was not insured by the FDIC or SIPC, that her deposited assets would be lent out to institutional borrowers and could be lost if the platform became insolvent, or that regulators in multiple states had already issued cease-and-desist orders against similar yield products. Derek also did not disclose that he received a \$1,500 referral incentive from the platform for every client he onboarded. Margaret transferred \$55,000 to the platform in March 2022. By July 2022, the platform suspended all withdrawals and filed for bankruptcy protection. Margaret lost approximately \$49,000 of her transferred funds and has been unable to recover those assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct constitutes multiple serious violations across several regulatory frameworks.

1. REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1): As a broker-dealer registered representative, Derek was required to act in Margaret's best interest at the time he made the recommendation, without placing his own financial interest ahead of hers. His recommendation to allocate nearly 30% of a 71-year-old retiree's fixed-income-dependent savings into a speculative, uninsured crypto yield product fails every component of Reg BI. Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Derek was required to have a reasonable basis to believe the recommendation was in Margaret's best interest based on her investment profile - her age, fixed income, conservative risk tolerance, lack of sophistication, and need to preserve capital made this recommendation objectively unreasonable. Under the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Derek failed to disclose material risks including lack of FDIC/SIPC insurance, counterparty lending risk, platform insolvency risk, and the regulatory enforcement environment surrounding yield products. Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), the \$1,500

referral incentive constituted a material conflict that Derek was required to disclose and mitigate, not conceal.

2. INVESTMENT ADVISERS ACT § 206 (15 U.S.C. § 80b-6): If Derek or his firm holds itself out as providing investment advice, § 206 prohibits fraudulent, deceptive, or manipulative conduct. Describing the crypto yield product as 'basically like a high-yield savings account' and 'very safe' while omitting material risks about lending arrangements and platform insolvency constitutes a deceptive practice under § 206(1) and (2). The SEC has consistently held that omissions of material fact violate § 206 even absent affirmative misstatements.

3. EXCHANGE ACT § 10(b) AND RULE 10b-5 (17 C.F.R. § 240.10b-5): Derek's misrepresentations - characterizing an uninsured, speculative lending product as akin to a savings account - and omissions of material facts (platform risk, regulatory actions against similar products, his personal financial incentive) in connection with the purchase of a security may give rise to liability under Rule 10b-5. The crypto yield product likely qualifies as a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) because investors deposited funds into a common enterprise with an expectation of profits derived from the managerial efforts of the platform operators. The SEC's 2019 Digital Asset Framework confirms that yield-generating crypto products structured this way typically satisfy all four Howey prongs.

4. SEC ENFORCEMENT PRECEDENT ON YIELD PRODUCTS: The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis are directly on point. In each case, the SEC found that crypto yield/lending products constituted unregistered securities offerings. Derek recommended an unregistered yield product to a retail customer without investigating whether that product was legally offered, which itself represents a failure of due diligence that Reg BI requires.

5. FINRA RULE 2210 AND COMMUNICATIONS STANDARDS: Derek's oral representations describing the product as 'very safe' and akin to a savings account constitute misleading communications under FINRA Rule 2210(d), which requires that all communications be fair, balanced, and not misleading. Omitting the risks of capital loss, illiquidity upon insolvency, and lack of regulatory insurance protections rendered his description materially incomplete.

6. FINRA RULE 2010 (STANDARDS OF COMMERCIAL HONOR): The concealment of the \$1,500 referral payment constitutes a failure to observe high standards of commercial honor and just and equitable principles of trade, an independent violation regardless of investment outcome.

7. CFTC JURISDICTION NOTE: Depending on the specific assets in the yield account, the CFTC may assert concurrent jurisdiction over certain crypto commodities (e.g., Bitcoin and Ether, which the CFTC has designated as commodities). If any portion of Margaret's funds involved commodity-based instruments, anti-fraud provisions under the Commodity Exchange Act § 4b (7 U.S.C. § 6b) would also apply.

LIKELY REGULATORY OUTCOME: Derek faces potential enforcement by FINRA (suspension, bar, fines), the SEC (civil fraud charges, disgorgement of referral fees), and possibly state securities regulators. His firm faces supervisory liability for failure to review the suitability of this recommendation and for permitting undisclosed referral arrangements. Margaret would have strong grounds for FINRA arbitration seeking full

compensatory damages of approximately \$49,000, plus interest, costs, and potentially punitive damages given the egregious nature of the misrepresentations. Derek's omission of the referral incentive alone constitutes a per se disclosure violation under Reg BI's conflict of interest rules.

Hypothetical 23

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM

Fact Pattern

Margaret Hollis, a 71-year-old retired school librarian living in Tucson, Arizona, has been a client of Pinnacle Wealth Strategies since 2018. Her financial profile at the time of the events in question, spanning from March through July 2023, showed total investable assets of approximately \$312,000, nearly all of which represented her life savings. Margaret's stated investment objective, documented in her client intake forms and annual update questionnaires, was capital preservation with modest income generation to supplement her Social Security payments of \$1,840 per month. She had no pension. Her documented risk tolerance was explicitly marked as 'conservative,' and she had noted in her own handwriting on a 2022 update form that she 'cannot afford to lose money' and 'needs this money to last.' Her monthly living expenses ran approximately \$2,600, meaning she relied on her portfolio to cover a \$760 monthly shortfall. She had no significant assets outside this portfolio and owned her home outright, valued at approximately \$180,000, which she considered off-limits for investment purposes. Margaret had no prior experience with cryptocurrency, had never owned digital assets, and described technology generally as confusing to her during client meetings. Her advisor of record at Pinnacle, Derek Fontaine, age 34, had been licensed for six years and had recently completed an internal firm training module on digital assets. In the spring of 2023, Derek became enthusiastic about yield-bearing crypto products after attending an industry conference where speakers discussed the potential for double-digit annual returns from crypto lending platforms. Beginning in late March 2023, Derek began a series of calls with Margaret, during which he described crypto lending accounts as 'essentially like a high-yield savings account but with better returns.' He did not explain that the platforms in question were not insured by any federal deposit insurance program, that several comparable platforms had recently frozen customer withdrawals and filed for bankruptcy, or that the assets would leave Margaret's custody and be lent to third-party borrowers with no guaranteed return of principal. Over three separate transactions in April and May 2023, Derek directed Margaret to liquidate \$87,000 of her existing conservative bond fund holdings and transfer those proceeds into two crypto yield accounts on platforms marketed as offering 9.5% and 11.2% annual percentage yields respectively. Derek received elevated internal performance recognition tied to client assets moved into higher-margin product categories, which included these crypto referral arrangements. By August 2023, one of the platforms suspended withdrawals citing 'liquidity constraints,' and the other reduced yields to near zero before also restricting access. Margaret's \$87,000 became effectively inaccessible, and her monthly income shortfall worsened significantly. She contacted Pinnacle's compliance department in September 2023 after receiving a notice that one platform had commenced restructuring proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine committed multiple and serious violations of applicable regulatory standards, and this fact pattern presents a strong case for regulatory enforcement and civil liability.

1. REGULATION BEST INTEREST (Reg BI, 17 CFR § 240.15l-1): Reg BI requires broker-dealers and their associated persons to act in the best interest of retail customers when making a recommendation of any securities transaction or investment strategy. Margaret is unambiguously a retail customer. Derek's recommendation to liquidate \$87,000 in conservative bond holdings and place the proceeds into crypto yield-bearing accounts must satisfy the four component obligations under Reg BI: (a) Disclosure Obligation - Derek failed to disclose material facts including the absence of FDIC or SIPC protection, the total loss of custody risk, the recent history of comparable platform failures including BlockFi (filed bankruptcy December 2022), Celsius (filed bankruptcy July 2022), and Gemini/Genesis Earn product disputes, and his own financial incentive tied to moving assets into higher-margin products. This constitutes a clear violation of the Disclosure Obligation under Reg BI. (b) Care Obligation - Derek was required to exercise reasonable diligence, care, and skill to understand the recommended product and its risks, and to recommend it only if it was in Margaret's best interest based on her investment profile. Margaret's profile - 71 years old, capital preservation objective, conservative risk tolerance, near-total dependence on her portfolio, explicit written notation that she cannot afford losses - categorically conflicts with a recommendation to place 28% of her total investable assets (\$87,000 of \$312,000) in speculative, uninsured, illiquid, high-risk crypto lending products. No reasonable care analysis supports this recommendation. (c) Conflict of Interest Obligation - Derek received internal performance recognition tied to moving client assets into these product categories. This conflict was not disclosed to Margaret, in direct violation of Reg BI's conflict identification, disclosure, and mitigation requirements. (d) Compliance Obligation - Pinnacle Wealth Strategies as the firm bears institutional liability for failing to establish, maintain, and enforce written compliance policies and procedures reasonably designed to achieve compliance with Reg BI, particularly given that firm-level incentive structures appear to have encouraged this behavior.

2. INVESTMENT ADVISERS ACT § 206 (15 U.S.C. § 80b-6): If Derek or Pinnacle are dually registered or registered as investment advisers, Section 206 imposes a fiduciary duty, prohibiting fraud, deceit, and any device or scheme to defraud a client. Recommending a product that is categorically misaligned with a client's documented needs, while concealing material risks and a personal financial incentive, constitutes a breach of fiduciary duty and potentially fraudulent conduct under Section 206(1) and 206(2).

3. EXCHANGE ACT § 10(b) AND RULE 10b-5: The crypto yield accounts, depending on their structure, are likely securities under the Howey test articulated in the SEC's 2019 Digital Asset Framework. These products involve (i) an investment of money, (ii) in a common enterprise (the lending pool), (iii) with an expectation of profits, (iv) derived from the efforts of others (the platform's lending and investment management activities). If these are securities, Derek's material misrepresentations - describing them as essentially equivalent to high-yield savings accounts while omitting platform insolvency risks, custody risks, and lack of deposit insurance - constitute fraud in connection with the purchase or sale of securities under Section 10(b) and Rule 10b-5.

4. CFTC JURISDICTION CONSIDERATIONS: To the extent any portion of the yield accounts involved crypto assets classified as commodities (Bitcoin, Ether under pre-Merge characterization), the CFTC may have concurrent jurisdiction. Fraudulent representations in connection with commodity transactions can

trigger CFTC Act Section 6(c) and 9(a)(2) liability.

5. **FINRA GUIDANCE ON CRYPTO ASSETS:** FINRA has issued multiple regulatory notices (including Regulatory Notice 18-20 and subsequent guidance) directing firms to apply heightened supervision and robust suitability analysis when recommending crypto-related products to retail investors. The concentration level here - 28% of a capital-preservation-oriented retiree's portfolio in speculative crypto products - would almost certainly be flagged as an egregious suitability failure under FINRA's framework, even if the products themselves were not securities.

6. **LIKELY REGULATORY OUTCOME:** This fact pattern would likely result in: (a) SEC enforcement action against Derek individually under Reg BI and potentially Section 10(b), with civil monetary penalties and a possible bar; (b) SEC or FINRA action against Pinnacle for supervisory failures and inadequate conflict-of-interest policies; (c) customer arbitration claim through FINRA with strong prospects for full compensatory damages of \$87,000 plus consequential damages for lost income; (d) state securities regulator involvement under Arizona securities law. The concealed conflict of interest combined with the blatant mismatch between product risk and client profile, and the specific harm to a vulnerable elderly investor with fixed income dependence, would be aggravating factors in any enforcement or arbitration proceeding, likely resulting in enhanced penalties and possible punitive damages in civil proceedings.

Hypothetical 24

[NON-COM]

Topic: *crypto_assets_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Olsen, a 71-year-old retired schoolteacher living in Duluth, Minnesota, has accumulated \$310,000 in savings over her 35-year career, representing virtually her entire net worth outside of her modest Social Security income of \$1,850 per month. Margaret visited her financial advisor, Derek Wulfson, at a regional broker-dealer in early 2022 after her certificate of deposit matured. She told Derek she was looking for something that would generate a little extra monthly income to help cover rising grocery and utility bills, that she had never invested in anything riskier than bank CDs and U.S. Treasury bonds, and that she could not afford to lose the principal because she had no other financial cushion. Derek acknowledged her concerns but told her he had been recommending a 'yield-bearing crypto account' product to several clients and that it was 'basically like a high-yield savings account but better.' He described the product as offering annualized yields of 8.5% on stablecoin deposits, explaining that the coins were pegged to the U.S. dollar so there was 'no real price risk.' He did not explain that the product involved lending her deposited funds to third-party institutional borrowers, that the platform was not a bank and carried no FDIC insurance, that the stablecoin peg could break under stressed market conditions, or that the platform itself could become insolvent. Derek invested \$175,000 of Margaret's savings - roughly 56% of her total nest egg - into the yield-bearing crypto account in March 2022. He collected a referral fee of \$1,400 from the platform operator, which he did not disclose to Margaret. By November 2022, the platform had suspended all withdrawals due to liquidity problems stemming from broader crypto market contagion following the collapse of several major crypto entities that year. Margaret's \$175,000 became entirely inaccessible and she later received notice that she might recover as little as 20 cents on the dollar through a bankruptcy

proceeding expected to last several years. She contacted Derek's firm to complain, and internal records revealed Derek had recommended the same product to 14 other retail clients totaling approximately \$2.1 million in aggregate deposits.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Wulfson's conduct presents multiple serious regulatory violations across several overlapping frameworks.

****Regulation Best Interest (Reg BI) - 17 C.F.R. § 240.15l-1:****

As a registered representative at a broker-dealer, Derek was subject to Reg BI, which became effective June 30, 2020. Reg BI requires that when a broker-dealer makes a recommendation of a securities transaction or investment strategy involving securities to a retail customer, the firm and its associated persons must act in the best interest of the retail customer at the time of the recommendation, without placing the financial or other interest of the broker-dealer ahead of the retail customer's interest. The regulation imposes four component obligations: (1) Disclosure Obligation; (2) Care Obligation; (3) Conflict of Interest Obligation; and (4) Compliance Obligation.

The Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)) requires the advisor to exercise reasonable diligence, care, and skill in understanding the potential risks, rewards, and costs associated with the recommendation and to have a reasonable basis to believe the recommendation is in the best interest of the retail customer based on their investment profile. Margaret's investment profile - age 71, fixed income reliance, conservative investment history, zero risk tolerance for principal loss, and dependence on the funds for day-to-day living expenses - made a 56% concentration in an uninsured, illiquid, crypto-based yield product wholly inconsistent with her stated needs and financial circumstances. Derek had no reasonable basis for recommending this product to a customer of Margaret's profile.

The Disclosure Obligation (Rule 15l-1(a)(2)(i)) required Derek to disclose material facts about the recommendation, including material risks. Derek's failure to disclose the lending structure of the product, the absence of FDIC insurance, the risk of platform insolvency, and the possibility of stablecoin de-pegging constitutes a clear breach. His characterization of the product as 'basically like a high-yield savings account' was affirmatively misleading and likely constitutes a material misrepresentation under Exchange Act Section 10(b) and Rule 10b-5, 17 C.F.R. § 240.10b-5.

The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)) required Derek to establish, maintain, and enforce written policies and procedures reasonably designed to identify and, at a minimum, disclose or eliminate conflicts of interest. Derek's undisclosed \$1,400 referral fee from the platform operator is a textbook conflict of interest that was required to be disclosed to Margaret and addressed within the firm's conflict management framework. The failure to disclose this fee independently violates Reg BI's conflict provisions and may also constitute a violation of the anti-fraud provisions under Section 17(a) of the Securities Act, 15 U.S.C. § 77q(a).

****SEC Digital Asset Framework - Howey Test and Security Classification:****

The yield-bearing crypto account product Derek recommended warrants analysis under the Howey test (from SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) as applied in the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets. The product involved customers depositing funds into a pooled platform, the platform deployed those funds to third-party institutional borrowers to generate returns, and profits were distributed back to depositors. This structure satisfies each Howey prong: (1) an investment of money; (2) in a common enterprise; (3) with an expectation of profits; (4) derived from the efforts of others (the platform's lending and asset management operations). The SEC has taken the position in enforcement actions against substantially similar products - including yield-bearing accounts at BlockFi (settled February 2022, \$100 million penalty), Celsius, and Genesis - that such products constitute securities requiring registration under the Securities Act of 1933. If this product was an unregistered security, Derek's recommendation and sale of it also implicates Securities Act Section 5, 15 U.S.C. § 77e, and his firm may have liability as an unregistered broker-dealer for those transactions.

****Investment Advisers Act Section 206 (if dual-registrant or IAR):****

If Derek or his firm also held investment adviser registration, Section 206 of the Investment Advisers Act of 1940, 15 U.S.C. § 80b-6, imposes a broad fiduciary duty prohibiting any device, scheme, or artifice to defraud clients or any transaction, practice, or course of business that operates as a fraud or deceit. The undisclosed referral fee would independently constitute a breach of fiduciary duty under Section 206(2), which does not require intent - a negligent failure to disclose a material conflict suffices.

****FINRA Rules (applicable to registered representatives):****

Under FINRA Rule 2010 (Standards of Commercial Honor), Derek's undisclosed referral compensation and misleading product description constitute conduct inconsistent with just and equitable principles of trade. FINRA Rule 4512 requires member firms to maintain accurate records of customer account information, and the firm's apparent failure to supervise Derek across 15 client accounts totaling \$2.1 million raises serious supervisory deficiency concerns under FINRA Rule 3110, which requires member firms to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws and regulations.

****CFTC Jurisdiction Considerations:****

To the extent any component of the product involved commodity interests or the platform dealt in commodity derivatives (common in crypto yield platforms that hedge using futures), the Commodity Exchange Act and CFTC jurisdiction may also be implicated, particularly if the stablecoin involved had commodity characteristics. The CFTC has asserted broad jurisdiction over crypto assets as commodities under 7 U.S.C. § 1 et seq.

****Likely Regulatory Outcome:****

Derek and his firm face substantial regulatory exposure. The firm would likely face a FINRA enforcement action for supervisory failures given the pattern of 15 similar recommendations. Derek individually faces potential sanctions including fines, suspension, or bar from the industry under FINRA Rules, as well as potential SEC enforcement for the securities law violations. Margaret and the other affected clients would have strong arbitration claims through FINRA's dispute resolution forum seeking rescission and compensatory damages. The undisclosed referral fee creates independent grounds for disgorgement. The SEC could also refer the matter to the Department of Justice if the misrepresentations were intentional,

potentially implicating wire fraud statutes. The concentration alone - 56% of a 71-year-old retiree's life savings in an illiquid, uninsured crypto product - would be viewed by regulators as a prima facie unsuitable recommendation requiring no further analysis to establish a basic violation.

Hypothetical 25

Topic: *senior_investor_exploitation* | Difficulty: *hard*

[NON-COM

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Tucson, Arizona, came to financial advisor Derek Stanton at Pinnacle Wealth Advisors in March 2023 after her husband of 47 years passed away. Margaret inherited approximately \$610,000 in a rollover IRA and a joint brokerage account containing \$215,000, representing the entirety of her liquid savings. She had no pension beyond a modest monthly Social Security payment of \$1,840. Margaret had never owned stocks until her late husband managed the finances, and during her onboarding interview she repeatedly told Stanton she was 'terrified of losing money' and that she needed the savings to cover living expenses, potential nursing home costs, and to leave something for her two adult children. She described herself as having no understanding of technology or investing. Stanton noted her conservative risk profile in her account paperwork but then spent three meetings persuading Margaret that a 'new category of high-yield digital savings accounts' offered by a platform called YieldBridge - a crypto lending intermediary - was essentially equivalent to a federally insured bank CD but paying 9.2% annually. He showed her printed marketing materials and did not mention that YieldBridge was an unregistered platform, that customer funds would be lent to institutional crypto borrowers, that deposits were not insured by any government agency, or that the underlying assets held by the platform included volatile cryptocurrencies such as Bitcoin and Ether as collateral. Between April and June 2023, Stanton moved \$310,000 from Margaret's rollover IRA - executed as a distribution rather than a direct transfer, triggering approximately \$68,000 in federal income tax liability - and deposited the proceeds into YieldBridge's 'MaxYield Earn' product. He earned a \$9,300 referral commission paid directly to him by YieldBridge, which he did not disclose to Margaret. By November 2023, YieldBridge suspended all withdrawals citing 'liquidity constraints,' and by February 2024 the platform filed for bankruptcy. Margaret recovered approximately \$41,000 through bankruptcy proceedings, representing a loss of roughly \$269,000 in principal, in addition to the tax liability she incurred on the forced distribution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Stanton's conduct represents egregious, multi-layered regulatory violations that implicate federal securities law, investment adviser standards, and elder financial exploitation statutes.

1. **HOWEY TEST AND UNREGISTERED SECURITY:** YieldBridge's 'MaxYield Earn' product almost certainly constitutes a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). The product involved (i) an investment of money, (ii) in a common enterprise (pooled lending to institutional crypto borrowers), (iii) with an expectation of profits (9.2% annual yield), (iv) derived from the efforts of others (YieldBridge's lending and asset management operations). This analysis is directly consistent with

the SEC's enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, Gemini Earn/Genesis, and others offering materially identical crypto yield products. Because YieldBridge's product was an unregistered security, Stanton's recommendation and facilitation of the investment constituted participation in the offer and sale of an unregistered security under Securities Act Section 5, exposing both Stanton and Pinnacle Wealth Advisors to significant liability.

2. INVESTMENT ADVISERS ACT SECTION 206 - FRAUD AND FIDUCIARY BREACH: Under Investment Advisers Act Section 206(1) and 206(2), a registered investment adviser owes a fiduciary duty to clients that includes a duty of loyalty and a duty of care. Stanton violated both prongs. His failure to disclose (a) the unregistered nature of the YieldBridge product, (b) the absence of deposit insurance, (c) the crypto collateral exposure underlying the yield, and (d) his \$9,300 undisclosed referral commission constitute material omissions actionable as fraud under Section 206(1) (scienter-based) and Section 206(2) (negligence-based). The undisclosed commission is particularly damaging: the SEC's 2019 Digital Asset Framework and longstanding fiduciary guidance require advisers to disclose all conflicts of interest, and an undisclosed referral fee from an issuer is a per se conflict requiring either disclosure and informed consent or elimination. See also SEC Release IA-5248 (Form ADV and Investment Adviser Regulation).

3. REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1): If Stanton or Pinnacle operated through a broker-dealer arm, Reg BI's Care Obligation would independently require that any recommendation of a security be in the retail customer's best interest at the time of the recommendation, considering cost, risk, and the customer's investment profile. Recommending a 100% uninsured, illiquid, unregistered crypto yield product - representing over 50% of a 74-year-old's total liquid assets, with a self-described conservative risk tolerance and income-dependence - fails this standard on every dimension. The Conflict of Interest Obligation under Reg BI further required disclosure of the referral commission, which was not made.

4. EXCHANGE ACT SECTION 10(b) AND RULE 10b-5: Stanton's affirmative misrepresentation that YieldBridge functioned 'essentially like a federally insured CD' while omitting material facts about the product's structure, risks, and his own financial interest constitutes a fraudulent device, scheme, or misrepresentation in connection with the purchase or sale of a security under Exchange Act Section 10(b) and Rule 10b-5(b). Scienter is evidenced by the fact that Stanton was receiving a commission from YieldBridge and therefore had actual knowledge of the product's commercial nature.

5. CFTC JURISDICTION CONSIDERATIONS: To the extent YieldBridge's collateral pool included Bitcoin or Ether, the CFTC has asserted jurisdiction over those assets as commodities under the Commodity Exchange Act. Depending on the platform's operational structure, CFTC anti-fraud provisions (CEA Section 6(c) and Regulation 180.1) may also have been violated by the misrepresentations made in connection with commodity-linked instruments.

6. UNSUITABLE IRA DISTRIBUTION / ROLLOVER MISCONDUCT: Stanton structured the transaction as a distribution rather than a direct rollover, generating an estimated \$68,000 tax liability for a 74-year-old client on a fixed income. This serves no legitimate purpose for the client and strongly suggests the structure was chosen to facilitate the transaction outside custodial oversight. Department of Labor guidance on rollovers, as well as IRS rules governing IRA distributions, impose heightened scrutiny on advisers who

recommend taxable IRA distributions. FINRA Regulatory Notice 13-45 addresses IRA rollover recommendations and requires a documented best-interest analysis - none of which was performed or preserved here.

7. ELDER FINANCIAL EXPLOITATION: At the state level, Arizona's Adult Protective Services Act (A.R.S. § 46-454) and securities statutes governing senior investor protections would likely apply. NASAA's Model Rule on Financial Exploitation of Specified Adults and FINRA Rule 2010 (standards of commercial honor) both provide additional bases for sanction. Stanton targeted a recently widowed, financially unsophisticated 74-year-old who had explicitly communicated fear of loss - a profile that should have triggered heightened due diligence obligations, not an aggressive placement into an unregistered high-risk product.

8. LIKELY REGULATORY OUTCOMES: Stanton faces potential SEC enforcement action for investment adviser fraud (disgorgement of commission plus civil penalties), FINRA disciplinary action including possible bar from the industry, state securities regulator action in Arizona, and potential criminal referral under 18 U.S.C. § 1348 (securities fraud) and 18 U.S.C. § 1343 (wire fraud) given the deliberate misrepresentations. Pinnacle Wealth Advisors faces supervisory liability under Investment Advisers Act Section 203(e) and Exchange Act Section 15(b) for failing to supervise Stanton, particularly given the size and nature of the transaction relative to the client's profile. Margaret's civil claims would include breach of fiduciary duty, negligence, fraudulent misrepresentation, and potentially elder abuse - all of which carry strong evidentiary support given the documented client profile notes, the undisclosed commission, and the affirmative CD comparison misrepresentation. This scenario is unambiguously non-compliant at every level of analysis.

Hypothetical 26

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, came to financial advisor Derek Pullman at Clearwater Wealth Management in March 2022. Margaret had accumulated \$310,000 in retirement savings across a rollover IRA and a small brokerage account. She described herself to Pullman during their onboarding meeting as someone who 'cannot afford to lose any of this money' and indicated she needed the funds to cover living expenses and medical costs over the next 15 to 20 years. Her stated investment objective on her new client form was 'capital preservation with modest income.' She had no prior experience with digital assets, had never owned cryptocurrency, and told Pullman she found the topic confusing and intimidating. Her monthly Social Security income was \$1,840, and she had no pension. In April 2022, Pullman called Margaret and recommended she move \$75,000, approximately 24% of her total savings, into a crypto yield account offered through a third-party platform called 'YieldChain Pro,' which promised annualized returns of 9.5% on deposited stablecoins. Pullman described the product to Margaret as 'basically a high-yield savings account but using newer technology,' and told her the stablecoin component meant 'there was no real price risk like with Bitcoin.' He did not explain that the yield was generated by lending her deposited assets to institutional borrowers, that the platform was not insured by the FDIC or SIPC, that the assets would leave her custody entirely, or that the platform had no regulatory

oversight. He also did not disclose that he received a 1.2% referral fee from YieldChain Pro for each client he directed to the platform. Margaret transferred \$75,000 to the account in May 2022. By November 2022, YieldChain Pro suspended all withdrawals citing 'liquidity constraints,' and by January 2023 the platform filed for bankruptcy. Margaret lost the entire \$75,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pullman committed multiple serious violations across several regulatory frameworks.

1. **SUITABILITY AND BEST INTEREST UNDER REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1):** Pullman recommended a high-risk, illiquid, uninsured crypto yield product to a 71-year-old retiree whose stated objective was capital preservation and who explicitly said she could not afford losses. Under Reg BI's Care Obligation, a broker-dealer representative must have a reasonable basis to believe a recommendation is in the retail customer's best interest based on that customer's investment profile, including age, financial situation, investment experience, risk tolerance, and liquidity needs. Recommending that Margaret allocate nearly 25% of her life savings to an unregulated crypto lending platform-given her profile-fails this standard categorically. This is an 'easy' violation on the facts but carries medium-level analytical complexity because of the stablecoin misrepresentation layer.

2. **INVESTMENT ADVISERS ACT §206 - FRAUD AND MISREPRESENTATION:** If Pullman is acting as an investment adviser (or a dually registered representative), Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit employing any device, scheme, or artifice to defraud a client, and engaging in any transaction or practice that operates as a fraud. Pullman's characterization of the YieldChain Pro account as 'basically a high-yield savings account' was materially misleading. Stablecoin-denominated crypto lending products are fundamentally different from savings accounts: the assets leave client custody, are exposed to counterparty insolvency risk, are uninsured, and are subject to withdrawal freezes-all of which materialized here. This misrepresentation likely constitutes fraud under §206.

3. **UNDISCLOSED CONFLICT OF INTEREST:** Pullman received a 1.2% referral fee from YieldChain Pro and did not disclose this to Margaret. Under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)), broker-dealer representatives must disclose all material facts relating to the conflict of interest associated with a recommendation. Under the Investment Advisers Act and the fiduciary duty applicable to investment advisers, undisclosed compensation that creates a conflict of interest is a per se violation. The referral fee created a direct financial incentive to recommend the product regardless of its suitability, and concealing it is both a Reg BI violation and a potential §206 fraud.

4. **SEC DIGITAL ASSET FRAMEWORK (April 2019) AND HOWEY TEST:** The YieldChain Pro yield account almost certainly constitutes a security under the Howey test: (a) there is an investment of money, (b) in a common enterprise, (c) with an expectation of profits, (d) derived solely from the efforts of others (YieldChain Pro's lending operations). The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Genesis, and Gemini's Earn product all confirm that crypto yield accounts of this structure are unregistered securities. Recommending an unregistered security to a retail investor without disclosing its unregistered status violates Exchange Act §10(b) and SEC Rule 10b-5, as well as

Securities Act §5 (unregistered offer and sale).

5. CFTC JURISDICTION CONSIDERATIONS: To the extent the stablecoin underlying the product is deemed a commodity (as the CFTC has asserted jurisdiction over certain digital assets including some stablecoins), Pullman's recommendation may also implicate CFTC anti-fraud authority under Commodity Exchange Act §6(c) and CFTC Rule 180.1, which prohibit fraud in connection with commodity transactions.

6. FINRA GUIDANCE ON CRYPTO ASSETS: FINRA has issued multiple regulatory notices warning member firms that recommendations involving crypto asset products must comply with suitability obligations under FINRA Rule 2111 and, post-June 2020, Reg BI. FINRA has specifically flagged crypto yield products as high-risk and noted that failure to understand the product's structure, risks, and regulatory status before recommending it constitutes a per se suitability failure.

7. LIKELY REGULATORY OUTCOME: Pullman faces exposure to SEC enforcement for recommending an unregistered security, material misrepresentation, and failure to disclose conflicts. He faces FINRA disciplinary action including potential bar, fines, and disgorgement of the referral fees received. Clearwater Wealth Management faces supervisory liability under Exchange Act §15(b) and FINRA Rule 3110 for failing to supervise Pullman's crypto-related recommendations and for not having adequate policies to screen unregistered digital asset products. Margaret would have strong grounds for FINRA arbitration and a private civil action. The \$75,000 loss is likely fully recoverable given the fraudulent misrepresentation and the clear unsuitability of the recommendation.

Hypothetical 27

Topic: *senior_investor_exploitation* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Holloway is a 74-year-old retired schoolteacher living in Tucson, Arizona. She lives on a fixed income consisting of a \$2,100 monthly Social Security payment and a small teacher's pension of \$890 per month, totaling approximately \$35,880 per year. Her total investable assets amount to \$312,000, which represent her entire life savings accumulated over four decades. Margaret has no other real estate equity, no inheritance prospects, and her adult children live out of state and are not involved in her financial affairs. She describes herself as a conservative investor whose primary goals are capital preservation and generating modest income to supplement her fixed monthly income. She has never invested in anything beyond certificates of deposit and a simple balanced mutual fund held in her IRA. In early 2022, Margaret's financial advisor, Derek Paulson, a registered representative at a mid-sized regional broker-dealer in Phoenix, began recommending that Margaret move a substantial portion of her savings into a crypto-based yield product. Specifically, Paulson recommended that Margaret transfer \$140,000—approximately 45% of her total life savings—into a high-yield crypto lending account offered by a now-defunct centralized crypto lending platform. The platform promised annual yields of between 8% and 10% on deposited stablecoins, which Paulson represented to Margaret as 'basically just like a high-yield savings account but better.' Paulson explained to Margaret that the stablecoin used by the platform was 'pegged to the dollar' and therefore carried no meaningful price risk. He did not disclose to Margaret that the platform was not a bank,

that her deposits were not insured by any government-backed deposit insurance program, that the platform was lending her assets to institutional crypto borrowers and hedge funds, that the platform had no obligation to return her assets on demand, or that the platform had been under scrutiny by multiple state regulators for offering what those regulators characterized as unregistered securities. Paulson also did not disclose that he was receiving a referral incentive from the platform for each customer he onboarded. Margaret transferred the \$140,000 in October 2022. By November 2022, the platform had frozen all customer withdrawals citing 'extreme market conditions' following broader crypto market turmoil, and by early 2023 the platform had filed for bankruptcy. Margaret's \$140,000 became illiquid and was unlikely to be recovered in full through the bankruptcy proceedings. When Margaret attempted to reach Paulson after the freeze, he initially told her to 'be patient' and that the platform would 'work things out.' Margaret ultimately lost an estimated \$95,000 of her original deposit based on preliminary bankruptcy recovery estimates.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson committed multiple serious regulatory violations in connection with his recommendation to Margaret Holloway.

****1. Regulation Best Interest (Reg BI) - Care Obligation [17 CFR § 240.15l-1]****

Reg BI requires broker-dealers and their associated persons to act in the best interest of a retail customer when making a recommendation of any securities transaction or investment strategy. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the best interest of the retail customer based on their investment profile. Margaret's profile - age 74, fixed income of approximately \$35,880 annually, total life savings of \$312,000, conservative risk tolerance, capital preservation objectives, no prior experience with digital assets - is wholly incompatible with concentrating 45% of her life savings in an unregistered crypto yield product. There was no reasonable basis for Paulson to believe this recommendation served her best interest. This is a clear violation of the Care Obligation.

****2. Concentration Risk and Customer-Specific Suitability****

Even if the product type were appropriate for some investors, placing 45% of a 74-year-old's entire life savings - her sole financial resource - in a single illiquid, uninsured crypto lending account represents a catastrophic concentration risk. FINRA Rule 2111, which preceded and informs the Reg BI framework, requires that recommendations be suitable based on the customer's specific investment profile. The concentration alone, without regard to the nature of the product, would fail both quantitative and qualitative suitability analysis for a customer of Margaret's profile.

****3. Material Misrepresentations and Omissions - Exchange Act Section 10(b) and Rule 10b-5 [15 U.S.C. § 78j(b); 17 CFR § 240.10b-5]****

Paulson's characterization of the crypto yield account as 'basically just like a high-yield savings account' constituted a material misrepresentation. His failure to disclose (a) the absence of deposit insurance, (b) the platform's unregistered securities status, (c) the illiquidity and withdrawal restrictions, (d) the lending and counterparty risk to institutional crypto borrowers, and (e) his own financial incentive in the form of a

referral fee each constitute material omissions under Rule 10b-5. Under the antifraud provisions of the Exchange Act, omissions are actionable where the advisor had a duty to disclose, which arises from the broker-customer relationship.

****4. Howey Test and Unregistered Securities [SEC v. W.J. Howey Co., 328 U.S. 293 (1946); Securities Act § 5]****

The crypto yield product recommended by Paulson almost certainly constitutes a security under the Howey test. The product involved (i) an investment of money, (ii) in a common enterprise (the platform's lending pool), (iii) with a reasonable expectation of profits, (iv) derived from the efforts of others (the platform's management of lending operations). The SEC's 2019 Digital Asset Framework and subsequent enforcement actions against comparable platforms - including BlockFi, Celsius, and Gemini/Genesis - confirm that yield-bearing crypto lending products of this type are treated as securities subject to registration requirements under the Securities Act of 1933. Paulson recommended an unregistered security to a retail investor, which independently violates the Securities Act's registration requirements and raises broker-dealer liability under Section 15 of the Exchange Act.

****5. Reg BI Disclosure Obligation - Conflict of Interest****

Reg BI's Disclosure Obligation requires that material facts relating to the relationship between the broker and the customer, including material conflicts of interest, be disclosed in writing prior to or at the time of the recommendation. Paulson's receipt of a referral incentive from the platform was a material conflict of interest that was never disclosed to Margaret. This is a direct violation of the Disclosure Obligation.

****6. Investment Advisers Act § 206 - Fiduciary Duty [15 U.S.C. § 80b-6]****

If Paulson or his firm provided advisory services (as opposed to purely transactional brokerage), Section 206 of the Investment Advisers Act imposes a fiduciary duty prohibiting fraud and requiring full and fair disclosure of all material conflicts of interest. The undisclosed referral incentive and misrepresentations about the nature of the product would independently violate § 206(1) and § 206(2).

****7. FINRA Rules - Supervision and Seniority Protections****

FINRA Rule 4512 requires maintenance of accurate customer account information, and FINRA Rule 2010 requires observance of high standards of commercial honor. Paulson's conduct also implicates FINRA's guidance on protecting senior and vulnerable investors, including its Notice to Members on the particular care required when recommending complex or high-risk products to elderly customers with fixed incomes. Many states, including Arizona, have enacted senior financial exploitation statutes that may give rise to additional civil liability.

****8. Likely Regulatory Outcome****

Paulson faces potential enforcement by the SEC for recommending unregistered securities, violations of antifraud provisions, and undisclosed conflicts of interest. FINRA may bring disciplinary proceedings resulting in suspension or permanent bar from the industry. His broker-dealer faces potential liability for failure to supervise under Exchange Act Section 15(b) and FINRA Rule 3110. Margaret may pursue FINRA arbitration for breach of fiduciary duty, negligent misrepresentation, and unsuitability, with strong prospects of recovery given the egregious mismatch between her investor profile and the recommendation. Criminal referral to the DOJ for wire fraud is also possible given the deliberate nature of the misrepresentations and

the exploitation of a vulnerable elderly investor.

Hypothetical 28

[NON-COM]

Topic: *senior_investor_exploitation* | Difficulty: *hard*

Fact Pattern

Margaret Hollenbeck, a 79-year-old retired schoolteacher living in Flagstaff, Arizona, contacted Pinnacle Wealth Strategies in early 2023 after seeing an online advertisement promising "inflation-proof retirement income through next-generation digital assets." Margaret had approximately \$410,000 in total savings, the majority of which sat in a traditional IRA accumulated over 34 years of teaching. She owned her home outright but had no other meaningful income beyond a \$1,850 monthly Social Security payment and a small pension of \$620 per month. Margaret told her assigned advisor, Derek Calloway, that she was terrified of outliving her money, that she had never owned stocks or mutual funds, and that she described herself as someone who "just wants to keep what I have safe." She had no prior experience with any investment product beyond savings accounts and certificates of deposit. During their initial meeting, Calloway spent approximately 40 minutes explaining that traditional savings instruments were "losing ground to inflation" and that a new category of digital asset yield accounts offered returns of 8 to 11 percent annually with "minimal downside risk." He showed Margaret a glossy brochure describing a third-party crypto lending platform - structured similarly to programs that had operated under names like BlockFi and Celsius before their high-profile collapses - where customer deposits were pooled, lent to institutional borrowers, and used to generate yield paid back to depositors in cryptocurrency. Calloway did not disclose that the platform was not insured by the FDIC or SIPC, did not explain that the yield-bearing accounts had been the subject of regulatory scrutiny nationally, and did not mention that similar platforms had filed for bankruptcy within the prior 18 months leaving customers unable to access their funds. Calloway told Margaret the product was "essentially like a high-yield savings account but better." Over two meetings in March and April 2023, Calloway facilitated the rollover of \$280,000 from Margaret's IRA into a self-directed IRA custodian that then transferred the funds to the digital asset yield platform. Calloway received a one-time referral fee of \$4,200 from the platform operator and a 1.2% ongoing advisory fee charged against the account. He documented her risk tolerance internally as "moderate" despite her expressed preference for capital preservation and despite her intake form clearly checking "I cannot afford to lose any of my principal." By November 2023, the platform suspended withdrawals citing liquidity issues. Margaret was unable to access her \$280,000. She contacted Calloway, who told her to "be patient" and that "these things take time to sort out." As of the date of the complaint filed with state regulators in February 2024, Margaret had recovered nothing and the platform remained in insolvency proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) - 17 C.F.R. § 240.15l-1****

Reg BI, effective June 30, 2020, requires broker-dealers (and by extension investment professionals

operating under equivalent standards) to act in the best interest of retail customers at the time of a recommendation and not place the financial or other interest of the firm ahead of the customer. Calloway's recommendation fails every component of Reg BI's four-part obligation:

- ***Care Obligation***: Calloway recommended a high-risk, illiquid, uninsured crypto yield product to a 79-year-old investor with zero risk tolerance, no investment experience, fixed income dependency, and an express stated need for capital preservation. A reasonable advisor exercising diligence would recognize that a crypto lending platform offering 8-11% yield carries substantial credit risk, counterparty risk, liquidity risk, and the near-certain classification as an unregistered security - none of which are consistent with Margaret's investor profile.

- ***Conflict of Interest Obligation***: Calloway received a \$4,200 referral fee from the platform operator. This undisclosed compensation created a direct financial incentive to recommend the product regardless of client suitability. Reg BI requires that such conflicts be disclosed and mitigated. The failure to disclose the referral fee is an independent violation.

- ***Disclosure Obligation***: Calloway affirmatively misrepresented the product as "essentially like a high-yield savings account," omitted material facts about the lack of FDIC/SIPC coverage, concealed the recent collapse of comparable platforms, and failed to disclose his own compensation. Under Exchange Act § 10(b) and Rule 10b-5 (17 C.F.R. § 240.10b-5), these omissions and misrepresentations in connection with the purchase of a security constitute fraud.

****2. Investment Advisers Act § 206 - Fiduciary Duty****

If Calloway or Pinnacle Wealth Strategies qualifies as an investment adviser under the Investment Advisers Act of 1940, § 206 imposes a broad fiduciary duty that prohibits any device, scheme, or artifice to defraud a client and requires full and fair disclosure of all material conflicts. The undisclosed referral fee and material misrepresentations about the product's risk profile are textbook § 206(1) and § 206(2) violations. The SEC has consistently held that investment advisers must affirmatively disclose compensation arrangements that create conflicts, and that recommending products that benefit the adviser at the client's expense is a breach of fiduciary duty. See SEC Interpretation: Commission Interpretation Regarding Standard of Conduct for Investment Advisers, Release No. IA-5248 (June 5, 2019).

****3. The Howey Test and Unregistered Securities****

The crypto yield platform described here almost certainly constitutes an investment contract under SEC v. W.J. Howey Co., 328 U.S. 293 (1946). The platform pooled customer funds, deployed them in lending operations managed by third parties, and promised returns derived from those efforts - satisfying all four Howey prongs: (i) investment of money, (ii) in a common enterprise, (iii) with an expectation of profit, (iv) derived from the efforts of others. The SEC's 2019 Digital Asset Framework ("Framework for 'Investment Contract' Analysis of Digital Assets," FinHub, April 3, 2019) directly supports this analysis. If the yield accounts constitute unregistered securities, recommending them to retail investors violates Securities Act § 5 (15 U.S.C. § 77e), and any adviser who facilitates such transactions may face liability as a statutory seller under § 12(a)(1). The SEC's enforcement actions against BlockFi (settled February 2022, \$100 million penalty) and the investigations into Celsius and Genesis for their yield programs directly parallel the product here.

****4. FINRA Suitability and Elder Financial Exploitation****

FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, including age, risk tolerance, liquidity needs, and investment objectives. FINRA Rule 2010 (Standards of Commercial Honor) and FINRA Rule 4512 (Customer Account Information) further require accurate documentation of customer risk profiles. Calloway's internal classification of Margaret as a "moderate" risk investor directly contradicts her documented responses and verbal representations - a manipulation of records that independently constitutes a Rule 2010 violation and may trigger additional sanctions under FINRA's elder financial exploitation rules. FINRA Regulatory Notice 07-43 and subsequent guidance emphasize heightened scrutiny for recommendations to senior investors, and FINRA Rule 2165 permits (and in some contexts requires) that member firms place temporary holds on disbursements when financial exploitation of a senior is suspected.

****5. CFTC Jurisdiction Considerations****

To the extent any assets on the platform were characterized as commodities (e.g., Bitcoin or Ether), CFTC Act § 6(c) and the CFTC's anti-fraud authority under 7 U.S.C. § 9 may apply. The CFTC has asserted jurisdiction over fraud in connection with spot commodity transactions, and pooled crypto lending arrangements may implicate commodity pool operator registration requirements under CFTC regulations.

****6. State Law - Senior Investor Protections and Suitability****

Arizona, like most states, has adopted enhanced protections for senior investors under its securities statutes and elder abuse statutes (A.R.S. § 46-456 et seq. - Vulnerable Adult Abuse). Recommending unsuitable investments to a 79-year-old on a fixed income with no risk tolerance, resulting in total loss of \$280,000 representing her life savings, may constitute financial exploitation of a vulnerable adult under state criminal and civil statutes, in addition to state securities violations.

****Likely Regulatory Outcome:****

Calloway faces potential enforcement by the SEC for § 206 fiduciary violations and possible § 10(b) fraud, FINRA for suitability and documentation violations, state securities regulators for elder financial exploitation, and potential CFTC referral depending on asset classification. Pinnacle Wealth Strategies faces supervisory liability for failing to detect or prevent the unsuitable recommendation and for failure to establish adequate conflict-of-interest disclosure policies. Civil liability to Margaret under Reg BI's private right of action framework and state law is substantial. Regulatory sanctions would likely include disgorgement of advisory fees and referral compensation, civil monetary penalties, and potential suspension or bar from the industry for Calloway. This is among the most serious categories of retail investor harm regulators prioritize for enforcement.

Hypothetical 29

Topic: *complex_products_unsophisticated_investor* | Difficulty: *hard*

Fact Pattern

Margaret Osei, a 61-year-old retired schoolteacher living in Columbus, Ohio, approached her financial

[NON-COM

advisor, Derek Calloway, at a mid-sized independent broker-dealer in January 2023. Margaret had accumulated \$310,000 in retirement savings, held primarily in a rollover IRA consisting of low-cost index funds and a small allocation to municipal bonds. Her stated investment objective was capital preservation with modest income generation to supplement her \$1,850 monthly pension. She had repeatedly described herself to Derek as 'not a risk-taker' and noted she had no experience with technology investments, had never purchased individual stocks, and did not own a smartphone. Margaret came to Derek because she had read a newspaper article about crypto accounts paying high interest rates and asked whether such products were safe for someone in her position. Derek, who had recently attended a two-day continuing education seminar on digital assets hosted by a third-party marketing firm with financial ties to several crypto lending platforms, told Margaret that certain crypto yield accounts were 'essentially like high-yield savings accounts but better' and 'totally safe for retirees.' In February 2023, Derek recommended that Margaret transfer \$95,000, representing approximately 30% of her total retirement savings, from her IRA into a taxable brokerage account and then wire those funds to an account on a crypto lending platform called YieldMax Digital - a platform that was not registered with any federal financial regulator - which promised a fixed 11.5% annual yield on deposited stablecoins. Derek did not disclose that YieldMax Digital had no federal deposit insurance, that the 'yield' was generated by re-lending customer assets to third-party crypto borrowers with no disclosed creditworthiness criteria, that the platform had no bankruptcy-remote structure protecting customer funds, or that similar platforms had already collapsed in 2022 resulting in total customer losses. Derek did not document any analysis of whether the product was appropriate for Margaret's age, income dependency on savings, or risk profile. He also did not obtain a prospectus, offering circular, or any third-party financial audit of YieldMax Digital before making the recommendation. Derek received a one-time referral payment of \$1,425 from YieldMax Digital for each customer he onboarded - a compensation arrangement he never disclosed to Margaret. By August 2023, YieldMax Digital suspended all withdrawals after suffering an undisclosed counterparty default, and Margaret's \$95,000 became inaccessible. She was unable to meet a significant home repair expense and was forced to take out a personal loan at 14% interest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Calloway's conduct reflects multiple serious and compounding violations of federal securities law, broker-dealer conduct standards, and investment adviser fiduciary obligations.

****1. Howey Test and Securities Classification****

YieldMax Digital's yield accounts almost certainly constitute investment contracts under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (1) there is an investment of money, (2) in a common enterprise, (3) with the expectation of profits, (4) derived from the efforts of others (YieldMax's lending operations). This analysis is consistent with the SEC's Digital Asset Framework (April 2019) and directly mirrors the SEC's enforcement posture in actions against BlockFi Lending LLC (settled February 2022, \$100M penalty), Celsius Network, and Gemini/Genesis, all of which offered yield-bearing crypto accounts the SEC determined were unregistered securities. If YieldMax's yield accounts are securities, recommending them without registration violates Section 5 of the Securities Act of 1933. Derek's recommendation of an unregistered security to a retail customer in the absence of an applicable exemption creates liability exposure for both the advisor and the broker-dealer under Section 15(b) of the Exchange

Act.

****2. Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1)****

Derek is a registered representative subject to Reg BI, which requires that any recommendation of a securities transaction or investment strategy to a retail customer reflect the broker's reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The Care Obligation under Reg BI (Element 2) requires the broker to understand the potential risks, rewards, and costs of the recommended product and to have a reasonable basis for believing it is in the specific customer's best interest given her investment profile. Derek failed all dimensions of this analysis:

- Margaret was 61, retired, capital-preservation oriented, financially unsophisticated, and dependent on her savings for living expenses.
- A 30% allocation of total retirement savings into a single, unregistered, illiquid, uninsured crypto lending platform generating yield through opaque third-party lending is facially unsuitable for this profile.
- Derek failed to conduct any due diligence on YieldMax Digital's financial condition, counterparty exposure, or regulatory standing.
- Derek characterized the product as 'essentially like a high-yield savings account,' a materially misleading description that understated risk in violation of the Disclosure Obligation under Reg BI (Element 1).

****3. Undisclosed Conflict of Interest - Reg BI Conflict of Interest Obligation****

Derek received a \$1,425 referral fee from YieldMax Digital without disclosing this material conflict to Margaret. Reg BI's Conflict of Interest Obligation (Element 3) requires broker-dealers to establish, maintain, and enforce written policies and procedures to identify and disclose or eliminate material conflicts of interest. An undisclosed referral arrangement that financially incentivizes recommendations to an unregistered, high-risk product is a paradigmatic conflict of interest violation. This conduct may also independently violate Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder as a fraudulent omission of a material fact in connection with the purchase of a security.

****4. Investment Advisers Act § 206 - Antifraud****

If Derek's advisory activities bring him within the definition of an investment adviser under the Investment Advisers Act of 1940, Section 206(1) and (2) prohibit any investment adviser from employing any device, scheme, or artifice to defraud a client, or from engaging in any transaction or practice that operates as a fraud or deceit. The undisclosed referral fee, the false characterization of risk, and the failure to perform due diligence each independently support a Section 206 violation. Under the fiduciary duty that attaches to investment advisers, Derek had an affirmative obligation to disclose all material conflicts and to place Margaret's interest ahead of his own - an obligation he plainly disregarded.

****5. CFTC Jurisdiction Considerations****

To the extent YieldMax Digital operated in connection with commodity interests - including stablecoins that regulators may treat as commodities - the CFTC may assert concurrent jurisdiction under the Commodity Exchange Act § 4b, which prohibits fraud in connection with commodity transactions. The CFTC has historically asserted jurisdiction over Bitcoin and Ether as commodities and has brought enforcement actions against unregistered leveraged crypto platforms. Derek's conduct in directing customer funds to such a platform could implicate CFTC fraud provisions.

****6. FINRA Conduct Rules****

Under FINRA Rule 2010 (Standards of Commercial Honor), Derek's failure to disclose the referral fee and his misleading characterization of the product's risk profile constitute conduct inconsistent with just and equitable principles of trade. FINRA Rule 4511 requires member firms to maintain accurate books and records; the absence of any documented suitability analysis for this recommendation constitutes a recordkeeping violation attributable to both Derek and his sponsoring firm. The broker-dealer's failure to supervise Derek's crypto product recommendations may independently violate FINRA Rule 3110.

****7. Likely Regulatory Outcome****

Derek faces potential SEC enforcement for recommending an unregistered security, violating Reg BI's Care and Conflict of Interest obligations, and making materially misleading statements. FINRA could initiate a disciplinary proceeding resulting in suspension or bar from the securities industry, disgorgement of the referral fees, and civil monetary penalties. The broker-dealer faces supervisory liability and potential customer restitution obligations. Margaret may pursue FINRA arbitration seeking recovery of the \$95,000 principal loss, consequential damages including the cost of her 14% personal loan, and additional damages for unsuitable recommendation and fraud. This hypothetical represents one of the most severe compliance failures in the crypto yield product context: an unsophisticated, near-elderly retail investor placed in an unregistered, uninsured, illiquid crypto lending product by an advisor who was financially incentivized to do so, performed no due diligence, and actively misrepresented the nature of the risk.

Hypothetical 30

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

Margaret Hollis, a 71-year-old retired schoolteacher living in rural Tennessee, opened an account with Pinnacle Wealth Advisors in January 2023. Margaret's intake paperwork documented her financial profile clearly: she had a fixed monthly income of \$2,100 from Social Security and a small pension, total investable assets of \$94,000 representing her entire life savings, zero prior investment experience beyond a basic savings account, and an explicitly stated investment objective of capital preservation. She told her advisor, Derek Cannon, during their onboarding meeting that she was terrified of losing money and that this savings was all she had to cover potential nursing home or medical costs as she aged. Derek acknowledged her concerns verbally but did not update her risk profile in the firm's system beyond the default moderate setting that populated automatically when her account was created. In March 2023, Derek attended an internal webinar hosted by a third-party crypto marketing firm that had partnered with Pinnacle, promoting a crypto yield product called StableYield Pro, which offered 9.5% annual returns by lending client funds to institutional crypto borrowers. The product was unregistered, had a 12-month lock-up period, and carried no FDIC or SIPC protection. Derek was told by the marketing representative that the product was 'basically like a high-yield savings account, just in crypto.' Two weeks later, Derek called Margaret and described StableYield Pro as a 'safe, modern savings tool' that would significantly boost her returns compared to her current bank CD earning 4.2%. He did not provide Margaret with any written disclosure about the lock-up period, the unregistered nature of the product, the counterparty credit risk, or the possibility of total loss. Margaret, trusting Derek completely, agreed to invest \$47,000, exactly half her life savings, into StableYield

[NON-COM]

Pro in April 2023. By October 2023, the platform suspended withdrawals citing liquidity issues, and Margaret was unable to access her funds. As of December 2023, recovery prospects were described by the platform as 'uncertain.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Cannon's conduct presents multiple serious regulatory violations across several overlapping frameworks.

****1. Failure to Know the Customer - Reg BI and Investment Advisers Act §206****

Under Regulation Best Interest (17 CFR §240.15l-1), broker-dealers must make a reasonable effort to obtain information about the customer's financial situation, investment experience, and investment profile before making a recommendation. Derek's failure to correct the automatically populated 'moderate' risk setting - despite Margaret's explicit, documented preference for capital preservation and her stated fear of loss - constitutes a foundational failure to know the customer. The customer's actual profile (age 71, fixed income, no investment experience, capital preservation objective, entire life savings at stake) was diametrically opposed to the moderate risk classification Derek left unchanged. This failure infected every subsequent recommendation.

****2. Violation of the Care Obligation Under Reg BI****

Reg BI's Care Obligation requires that a recommendation be in the best interest of the retail customer based on their investment profile. Recommending that a 71-year-old retiree with zero investment experience place 50% of her entire life savings into an unregistered, illiquid, 12-month lock-up crypto yield product offering 9.5% returns cannot satisfy this standard under any reasonable analysis. The product's risk profile - unregistered status, counterparty credit exposure to institutional crypto borrowers, no deposit insurance, total loss potential - was wholly inconsistent with Margaret's documented need for capital preservation and liquidity for potential medical expenses.

****3. Unregistered Security / Howey Test Analysis****

StableYield Pro's structure - pooling investor funds, lending to institutional third parties, and promising fixed returns - likely satisfies the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) for an investment contract: (i) investment of money, (ii) in a common enterprise, (iii) with expectation of profits, (iv) derived from the efforts of others. The SEC's Digital Asset Framework (April 2019) specifically flags yield-bearing crypto products where returns depend on a third party's managerial efforts as likely securities. This is consistent with SEC enforcement actions against BlockFi (settled February 2022 for \$100M), Celsius, Gemini/Genesis, and others for offering unregistered crypto lending yield products. Recommending an unregistered security to a retail investor without appropriate disclosures implicates Securities Act §5 and Exchange Act §10(b) (15 U.S.C. §78j(b)) and Rule 10b-5, particularly given Derek's materially misleading description of the product as 'basically like a high-yield savings account.'

****4. Material Misrepresentation - Exchange Act §10(b) and Rule 10b-5****

Derek described an illiquid, unregistered, uninsured crypto lending product as a 'safe, modern savings tool.' This characterization omits and affirmatively misrepresents material facts including: the 12-month lock-up

restriction, the unregistered status, the absence of FDIC/SIPC protection, the counterparty credit risk, and the risk of total loss. Under Rule 10b-5 (17 CFR §240.10b-5), it is unlawful to make any untrue statement of a material fact or to omit a material fact necessary to make statements made not misleading in connection with the purchase of a security. Derek's statements clearly satisfy this threshold.

****5. Investment Advisers Act §206 Antifraud Provisions****

If Derek or Pinnacle Wealth Advisors qualifies as an investment adviser, §206 of the Investment Advisers Act of 1940 imposes a broad fiduciary duty and prohibits any device, scheme, or artifice to defraud clients or any act that operates as a fraud upon clients. Recommending an unsuitable, misrepresented, unregistered product to a vulnerable elderly client with a clearly documented capital preservation objective would constitute a violation of this antifraud provision.

****6. FINRA Obligations****

If Derek is a registered representative, FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, and FINRA Rule 4512 requires that customer account information be kept current and accurate. Derek's failure to update Margaret's risk profile and his recommendation of a speculative, illiquid product to a risk-averse elderly investor violates both rules. FINRA has issued specific guidance (Regulatory Notice 22-08) cautioning firms about crypto asset recommendations to retail investors and highlighting the particular risks of yield-bearing crypto products.

****7. Aggravating Factors****

Several aggravating factors would likely increase regulatory and enforcement exposure: Margaret's age and vulnerability as a retiree on fixed income; the magnitude of the recommendation (50% of total life savings); the complete absence of written risk disclosures; Derek's reliance on a promotional webinar from a third-party marketing firm as his primary due diligence; and the foreseeable harm that materialized when the platform froze withdrawals.

****Likely Regulatory Outcome:****

Derek and Pinnacle face potential enforcement by the SEC for recommending an unregistered security and for material misrepresentation, FINRA disciplinary action including possible bar and disgorgement, state securities regulator action under applicable blue sky laws, and civil liability to Margaret for the approximately \$47,000 loss. The firm faces supervisory liability for failing to maintain accurate customer records and for inadequate due diligence on a third-party crypto product marketed through an internal webinar. Margaret would likely have strong grounds for FINRA arbitration and civil recovery.

Hypothetical 31

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher living in Tucson, Arizona, approached her financial advisor, Derek Paulson, at Meridian Wealth Partners in March 2023. Margaret had accumulated \$310,000 in retirement savings, consisting primarily of a rollover IRA and a small taxable brokerage account. She

[NON-COM

lived on a fixed income of approximately \$2,200 per month from Social Security and a modest pension. Margaret had repeatedly told Derek that she was 'terrified of losing money' and that her primary goal was capital preservation so she could cover medical expenses and assisted living costs if needed in the future. Her written investor profile, last updated in January 2023, explicitly listed her risk tolerance as 'conservative' and her investment time horizon as 'short-term, under three years.' During a meeting in late March 2023, Derek told Margaret that he had been following the cryptocurrency market closely and that, despite recent volatility, certain crypto yield products offered 'essentially risk-free' returns well above what her current money market funds and short-duration bond holdings were generating. He specifically recommended she move \$75,000 - nearly 24% of her total retirement savings - from her IRA into a crypto yield-bearing account offered through a third-party digital asset platform that promised annual yields of 8.5% on deposited assets. Derek described the product as 'like a high-yield savings account, just built on blockchain technology.' He did not disclose that the platform had no federal deposit insurance, that the yield was generated through the platform lending her crypto holdings to institutional borrowers, that the platform itself had faced regulatory scrutiny in other states, or that several comparable platforms offering nearly identical products had recently been forced to freeze customer withdrawals and file for bankruptcy protection. Derek processed the transaction in early April 2023. By August 2023, the third-party platform suspended all withdrawals citing liquidity issues, and Margaret's \$75,000 became inaccessible. As of the date she filed a written complaint with Meridian's compliance department in October 2023, she had received only \$4,200 in yield payments and faced an uncertain recovery timeline on her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson almost certainly violated multiple applicable regulatory standards governing the recommendation of crypto and digital asset products to retail investors.

****Regulation Best Interest (Reg BI) - Exchange Act Rule 15l-1****

Derek is subject to Reg BI, which requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the financial or other interest of the firm or advisor ahead of the customer. Reg BI's Care Obligation requires that the advisor have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and liquidity needs.

Margaret's profile was among the most conservative imaginable: 71 years old, fixed income, explicit capital preservation objectives, short investment horizon, and self-described fear of loss. Allocating 24% of her total retirement savings to a speculative, uninsured, unregistered crypto yield product is facially inconsistent with every dimension of her stated profile. A concentration of this magnitude in a single high-risk alternative product would fail the Care Obligation even for a moderate-risk investor; for Margaret, it is an egregious mismatch.

****Disclosure Obligation under Reg BI****

Derek separately violated Reg BI's Disclosure Obligation by characterizing the crypto yield account as 'essentially risk-free' and analogizing it to a high-yield savings account. He failed to disclose material facts

including: (1) absence of FDIC or SIPC protection; (2) the lending mechanism that generated yield and its associated counterparty risk; (3) the platform's regulatory history; and (4) the recent collapse of comparable platforms. These omissions rendered the recommendation misleading in violation of both Reg BI and the antifraud provisions of Exchange Act Section 10(b) and Rule 10b-5.

****Investment Advisers Act Section 206 - Fiduciary Duty****

If Derek or Meridian Wealth Partners is registered as an investment adviser, Section 206 of the Investment Advisers Act imposes a broad fiduciary duty encompassing both a duty of loyalty and a duty of care. Recommending an unsuitable speculative instrument to a vulnerable elderly client while omitting material risks constitutes a breach of both prongs. The SEC's 2019 Digital Asset Framework makes clear that yield-bearing crypto lending products of this nature may constitute securities, meaning the full suite of adviser obligations applies.

****Howey Test and Unregistered Securities****

The crypto yield product Derek recommended bears strong resemblance to the products at the center of the SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million) and Celsius and Genesis. Under the Howey test - investment of money in a common enterprise with an expectation of profits derived from the efforts of others - such yield accounts likely constitute investment contracts and thus securities. If the platform offering the product was not registered with the SEC, Derek's recommendation of that product may have facilitated the distribution of an unregistered security, compounding the regulatory exposure for both Derek and Meridian.

****FINRA Suitability and Supervision****

FINRA Rule 2111 (Suitability), applicable to FINRA member firms, would independently require that Derek have a reasonable basis for the recommendation given Margaret's specific profile. The recommendation fails both the 'reasonable basis' prong (the product category is unsuitable for conservative elderly investors generally) and the 'customer-specific' prong (it is wildly inconsistent with Margaret's documented objectives). FINRA Rule 4512 requires that customer account information be current and accurate; the recommendation ignored the very profile data on file.

FINRA has also issued specific guidance - including Regulatory Notice 22-08 - warning member firms that crypto asset recommendations to retail investors require heightened scrutiny and that the volatility, liquidity risk, and regulatory uncertainty of such products must be fully disclosed and weighed against client profiles.

****Elder Financial Exploitation Concerns****

Margaret's age and vulnerability also implicate FINRA Rule 4512 and the senior investor protection provisions embedded in Rule 2165, which permit (and in some circumstances require) firms to place temporary holds on disbursements where there is a reasonable belief of financial exploitation of a specified adult. While Rule 2165 is triggered by suspected exploitation, the pattern here - an elderly fixed-income client directed into high-risk unregistered instruments by a trusted advisor - warrants supervisory review under elder protection frameworks.

****Likely Regulatory Outcome****

Derek and Meridian Wealth Partners face substantial exposure. Regulators would likely find violations of

Reg BI's Care and Disclosure Obligations, potential Section 10(b) antifraud liability for material misrepresentations, possible Advisers Act Section 206 fiduciary breaches, and FINRA suitability violations. Remedies could include disgorgement of any commissions or fees earned on the transaction, full restitution of Margaret's \$75,000 principal loss (less amounts recovered), civil monetary penalties, and potential suspension or bar of Derek's registration. The firm faces supervisory liability for failing to detect and prevent the unsuitable recommendation. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory and potentially punitive damages.

Hypothetical 32

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Elspeth Kowalski, a 71-year-old retired school librarian living in Tucson, Arizona, had accumulated \$340,000 in savings over her career, representing the entirety of her retirement nest egg. Her fixed income consisted of Social Security payments of \$1,640 per month and a small pension of \$820 per month, totaling approximately \$29,520 annually before taxes. Margaret had previously described herself to her advisor, Derek Fontaine, as someone who could not afford to lose more than 5% of her principal in any given year and explicitly told him she needed her savings to generate steady income to cover living expenses. She had no prior experience with cryptocurrency or digital assets of any kind and had repeatedly told Derek she found technology confusing. In March 2022, Derek, who worked as an independent investment advisor operating under a registered investment advisory firm in Phoenix, began recommending that Margaret allocate \$95,000, roughly 28% of her total savings, into a basket of what he described as 'digital yield products' that would generate between 9% and 14% annual returns paid monthly. The products consisted of three components: \$35,000 placed into a yield-bearing crypto lending account with a now-troubled centralized crypto lender that promised 11.5% APY on stablecoin deposits; \$30,000 used to purchase a collection of 47 NFTs from an emerging digital art marketplace that Derek claimed were 'rapidly appreciating collectibles' with a secondary market he described as 'extremely active'; and \$30,000 deposited into a tokenized real estate platform that issued blockchain-based tokens representing fractional interests in commercial properties, with a stated 5-year lock-up period and no redemption mechanism during that term. Derek told Margaret during a video call in March 2022 that the NFT collection could be liquidated within days if she needed cash, and that the tokenized real estate platform was 'basically like owning REITs but better.' He did not disclose that the NFT marketplace had seen trading volume drop 97% from its January 2022 peak, that only 3 of the 47 NFTs had recorded any secondary market sale in the prior 90 days, or that the tokenized real estate platform had explicitly warned in its offering documents that there was no guaranteed secondary market and that investors should expect their capital to be completely illiquid for the full 5-year term. Derek did not provide Margaret with the offering documents for the tokenized real estate platform prior to the investment, telling her they were 'too technical' and that he had reviewed them on her behalf. By July 2022, the crypto lending account had frozen all withdrawals amid a liquidity crisis, leaving Margaret unable to access her \$35,000. The NFT collection had declined in estimated value to approximately \$4,200 based on the few comparable sales that could be identified, and the tokenized real estate tokens had no active secondary market whatsoever. Margaret's total losses on the \$95,000 investment were estimated at approximately \$71,000 within four months, representing nearly 21% of her

entire life savings. She contacted a state securities regulator after seeing a news story about frozen crypto accounts and filed a complaint against Derek and his firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across overlapping federal and state frameworks. The analysis below addresses each layer of applicable law.

****1. Regulation Best Interest (Reg BI) - Care Obligation Violations****

Derek is subject to Regulation Best Interest under Exchange Act Rule 15l-1 because he is a registered investment advisor who made recommendations to a retail customer. The Care Obligation under Reg BI requires that a recommendation be in the retail customer's best interest based on a reasonable understanding of the customer's investment profile, including financial situation, investment objectives, risk tolerance, investment horizon, and liquidity needs. Margaret's profile - 71 years old, fixed income of approximately \$29,520/year, total savings of \$340,000, self-described inability to tolerate more than 5% principal loss, zero prior crypto experience, and explicit need for liquidity - is fundamentally incompatible with a 28% allocation into illiquid, speculative digital assets. Derek violated the Care Obligation on at least three independent grounds: (a) he recommended products with extreme illiquidity risk to a customer with explicit near-term liquidity needs; (b) he failed to understand or disclose the material characteristics of the NFT market collapse; and (c) he recommended a 5-year locked-up tokenized real estate product to a 71-year-old investor without any redemption mechanism, exposing her to the risk that she would need those funds within the lock-up period for health, housing, or basic living expenses.

****2. Investment Advisers Act Section 206 - Fiduciary Duty and Fraud****

As a registered investment advisor, Derek owed Margaret a fiduciary duty of care and loyalty under Section 206 of the Investment Advisers Act of 1940. The fiduciary standard requires advisors to act in the client's best interest and to provide full and fair disclosure of all material facts. Derek breached this duty in several specific ways. First, he affirmatively misrepresented the liquidity of the NFT portfolio, telling Margaret the collection could be liquidated within days when in fact trading volume had collapsed 97% from peak and only 3 of 47 NFTs had seen any secondary market activity in the prior 90 days. This constitutes a material misstatement under Section 206(2), which prohibits engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon a client. Second, Derek's failure to provide Margaret with the tokenized real estate offering documents, substituting his own characterization that they were 'too technical,' deprived her of material information about the 5-year lock-up and absence of any secondary market - a clear breach of the disclosure component of his fiduciary duty. Withholding material offering documents from an investor who lacks sophistication, while making affirmative representations inconsistent with those documents, likely rises to the level of fraudulent conduct under Section 206(1), which prohibits employing any device, scheme, or artifice to defraud a client.

****3. Securities Act and Exchange Act - Unregistered Securities and Howey Test****

The tokenized real estate tokens likely constitute investment contracts under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors contribute money (prong 1) to a common enterprise (prong 2) with an expectation of profits (prong 3) derived from the managerial efforts of others (prong 4). The platform

pools investor funds into commercial real estate managed by the platform operator, satisfying all four Howey prongs. If these tokens were not registered as securities and no exemption applied, Derek's recommendation to invest in them may have facilitated the sale of unregistered securities in violation of Securities Act Section 5. Additionally, the crypto lending yield product bears characteristics similar to the products at issue in the enforcement actions against BlockFi (settled with the SEC in February 2022 for \$100 million) and Celsius, both of which the SEC found to be offering unregistered securities in the form of yield-bearing lending products. Recommending a product structurally identical to products contemporaneously subject to enforcement action, without performing adequate due diligence on the product's registration status, further evidences Derek's failure to meet his fiduciary obligations.

****4. CFTC Jurisdiction Considerations****

To the extent the stablecoin used in the crypto lending product constitutes a commodity under the Commodity Exchange Act, CFTC Act Section 4b's anti-fraud provisions may also apply. The CFTC has asserted jurisdiction over spot commodity transactions involving fraud and manipulation, and stablecoins backed by fiat reserves have been treated as commodities in certain CFTC enforcement contexts. This creates a potential parallel enforcement exposure for Derek beyond the SEC framework.

****5. NFTs as Potential Securities****

The SEC's 2019 Digital Asset Framework outlines factors relevant to determining whether a digital asset is a security. While pure collectible NFTs generally have not been deemed securities, NFTs marketed with investment return expectations - as Derek explicitly did when he described them as 'rapidly appreciating collectibles' - may satisfy the Howey test if the purchaser's expectation of profit is premised on the managerial or promotional efforts of the marketplace or creator. Derek's sales pitch to Margaret framed the NFTs as investments rather than collectibles, which could bring them within the securities framework and expose him to additional liability for recommending unregistered securities.

****6. FINRA Suitability and Supervision (If Applicable)****

If Derek or his firm is also a FINRA member broker-dealer (a common dual registration structure), FINRA Rule 2111 suitability obligations and the heightened standards under Reg BI would apply simultaneously. Under Rule 2111, a recommendation must be suitable based on reasonable diligence regarding the customer's investment profile. The recommendation here fails every dimension of the suitability analysis: age-appropriateness, liquidity needs, risk tolerance, investment experience, and time horizon. The firm may also face supervisory liability under FINRA Rule 3110 for failing to implement adequate review procedures that would have flagged a 71-year-old retiree's 28% allocation into speculative, illiquid crypto assets.

****7. State Securities Law****

Margaret's complaint to the Arizona state securities regulator triggers potential liability under the Arizona Securities Act, which incorporates anti-fraud provisions substantially similar to federal law. Arizona, like most states, imposes fiduciary duties on investment advisors registered in the state and provides private rights of action for defrauded investors, including potential rescission of the transactions and recovery of losses.

****8. Likely Regulatory Outcome****

This fact pattern presents a strong enforcement case. Derek faces potential liability for: (a) willful

misrepresentation of liquidity in violation of his fiduciary duty and Section 206; (b) recommending investments wholly inconsistent with the client's documented risk tolerance and liquidity needs; (c) withholding material offering documents; (d) potentially facilitating the sale of unregistered securities; and (e) making materially false statements about market conditions. Regulators would likely pursue disgorgement of commissions or fees earned on the transactions, civil penalties, a cease-and-desist order, possible suspension or revocation of Derek's investment advisor registration, and referral for criminal investigation if intentional fraud is established. Margaret would likely have a viable private civil claim for damages approximating the \$71,000 in realized losses, with potential for additional damages if the remaining positions continue to deteriorate. The firm faces vicarious liability and potential independent supervisory violations. This scenario is non-compliant across all applicable regulatory frameworks.

Hypothetical 33

[NON-COMPLIANT]

Topic: alternative_investments_unsuitable | Difficulty: medium

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, approached her financial advisor, Derek Pullman, at a regional broker-dealer in early 2022. Margaret had approximately \$310,000 in total investable assets, consisting primarily of a rollover IRA worth \$265,000 and a small taxable brokerage account with \$45,000. Her stated investment objective was capital preservation and income generation to supplement her monthly Social Security payment of \$1,840. She described herself as a conservative investor and had no prior experience with digital assets or cryptocurrency. During their meeting, Derek told Margaret that he had been researching 'the next generation of savings products' and enthusiastically described a crypto-based yield account offered through a third-party platform that promised annual returns of 8.5% on stablecoin deposits - roughly four times what her current money market fund was paying. He explained that the platform held customer crypto deposits and lent them to institutional borrowers, generating the advertised yield. Derek did not disclose that the platform was not a bank, that deposits were not FDIC insured, that the yield-generating mechanism had not been registered with any federal authority, or that the platform's ability to honor withdrawals depended entirely on continued institutional demand for crypto lending. In March 2022, with Derek's encouragement, Margaret transferred \$95,000 - approximately 30% of her total savings - from her IRA into the yield account. Derek received a referral fee of \$1,200 from the platform for the introduction. By July 2022, the platform suspended all withdrawals and customer funds were frozen indefinitely. Margaret's \$95,000 remained inaccessible as of the end of 2023, with recovery prospects described by the platform's bankruptcy trustee as uncertain and likely partial at best.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pullman's recommendation almost certainly violated multiple applicable regulatory standards governing broker-dealer conduct and investment adviser obligations.

****Regulation Best Interest (Reg BI) - SEC Rule 15l-1:**** Under Reg BI, which became effective June 30, 2020, broker-dealers recommending securities to retail customers must act in the customer's best interest

at the time of the recommendation, without placing their own financial interest ahead of the customer's. Derek's conduct fails this standard on multiple grounds. First, the Care Obligation under Reg BI (Element 2) requires the broker to have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile. Margaret was 71, retired, conservative, income-dependent, and had no crypto experience. Placing 30% of her life savings in an illiquid, uninsured, unregistered crypto yield product bearing substantial counterparty and liquidity risk was plainly inconsistent with her capital preservation objective. Second, the Conflict of Interest Obligation (Element 4) required Derek to identify and disclose the \$1,200 referral fee he received from the platform. His failure to disclose this material financial incentive is an independent violation. The referral fee created a direct conflict of interest that influenced his recommendation.

****Investment Advisers Act §206 (Anti-Fraud Provisions):**** If Derek was acting in an advisory capacity, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any investment adviser from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon clients. His failure to disclose material risks - including the unregistered nature of the yield product, the absence of deposit insurance, the liquidity risk, and his own financial interest - constitutes actionable omissions under this provision.

****SEC Howey Test and Securities Classification:**** The crypto yield account at issue bears the hallmarks of an investment contract under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The platform collected customer deposits, pooled them, and deployed them in lending operations managed entirely by the platform's operators. Customers had no control over the lending activities generating their promised returns. This structure closely mirrors the yield accounts that the SEC found to be unregistered securities in enforcement actions against comparable crypto lending platforms in 2022. If the product was an unregistered security, Derek's recommendation and the referral arrangement may implicate broker-dealer registration requirements under Exchange Act Section 15(a) and securities offering registration requirements under Securities Act Section 5.

****CFTC Jurisdiction Considerations:**** To the extent the underlying assets included commodity-based crypto tokens (e.g., Bitcoin or Ethereum deposited as collateral), the Commodity Exchange Act and CFTC jurisdiction may also be implicated. The CFTC has asserted broad jurisdiction over crypto commodities and the spot and derivatives markets in which they trade. Yield products layered on top of commodity-based crypto could trigger CFTC anti-fraud authority under CEA Section 6(c)(1).

****FINRA Suitability and Supervision:**** Under FINRA Rule 2111 (suitability, applicable to conduct predating full Reg BI implementation or in conjunction with it), recommendations must be suitable based on reasonable diligence into the customer's financial situation, risk tolerance, and investment objectives. Even setting aside Reg BI, recommending a speculative, illiquid, uninsured yield product to a 71-year-old conservative retiree would fail the quantitative and qualitative suitability analysis. Additionally, FINRA Rule 3110 imposes supervisory obligations on the broker-dealer firm; the firm's failure to have procedures in place to detect and prevent recommendations of unregistered crypto yield products to vulnerable retail investors is an independent supervisory violation.

****Material Omissions and Disclosure Failures:**** Derek failed to disclose: (a) the unregistered status of the yield product; (b) the absence of FDIC or SIPC protection; (c) the platform's dependence on continued institutional crypto lending demand; (d) withdrawal suspension risk; and (e) his own referral compensation. Each omission is independently material under Exchange Act Section 10(b) and Rule 10b-5, which prohibit material misstatements and omissions in connection with the purchase or sale of a security.

****Likely Regulatory Outcome:**** Regulators would likely find Derek liable for recommending an unsuitable and unregistered product to a vulnerable retail investor without adequate disclosure of risks or conflicts. The broker-dealer firm faces potential liability for failure to supervise. Derek could face suspension, fines, disgorgement of the referral fee, and a bar from the industry. The firm may face restitution obligations to Margaret for her losses. The fact that the platform subsequently failed and froze customer assets vindicates the materiality of the undisclosed risks. This scenario is substantially analogous to the regulatory treatment of BlockFi's interest accounts, which the SEC found to be unregistered securities requiring registration under the Securities Act, resulting in a \$100 million settlement in February 2022 - the same period in which Derek made his recommendation.

Hypothetical 34

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Tucson, Arizona, had accumulated approximately \$310,000 in retirement savings over four decades of work. Her savings were held in a traditional IRA invested primarily in a laddered bond portfolio and two dividend-paying utility ETFs. Margaret had described herself consistently across three annual reviews as a conservative investor with a primary goal of capital preservation and generating steady income to supplement her \$1,850 monthly Social Security check. She had no prior experience with digital assets of any kind, no tolerance for speculative investments, and repeatedly told her advisor, Dennis Carver of Carver Wealth Partners, that she was terrified of losing her principal. In early 2022, Dennis began transitioning his book of business toward crypto-related products after receiving an undisclosed referral arrangement with a now-defunct yield platform called HarborChain Yield Solutions, which promised 11.5% annual yields on customer deposits of Bitcoin and Ethereum. Between February and April 2022, Dennis held three meetings with Margaret in which he described HarborChain as 'basically a high-yield savings account but in the digital space' and told her the 11.5% yield would 'more than double' the income she was getting from her bonds. He downplayed volatility concerns by telling her the platform had 'insurance protections' and that her principal was 'locked up safe.' He never disclosed that HarborChain was not a bank, that her deposits would not be FDIC insured, that the platform was offering what appeared to be unregistered securities, or that the yield was generated by lending her crypto assets to third-party borrowers with no disclosed collateral requirements. Dennis also did not disclose his referral compensation arrangement, which paid him 0.75% of all assets he directed to the platform. In May 2022, Dennis liquidated \$185,000 of Margaret's IRA bond holdings and directed the proceeds - after conversion to Bitcoin and Ethereum - into HarborChain. By November 2022, HarborChain had suspended all withdrawals citing 'liquidity constraints,' and by January 2023 the platform had filed for bankruptcy. Margaret lost approximately \$162,000 of her \$185,000 investment. She was 75

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years old at the time of the loss, with no ability to recover the funds through future employment income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Dennis Carver committed multiple serious regulatory violations that span anti-fraud, suitability, disclosure, and fiduciary duty frameworks.

1. INVESTMENT ADVISERS ACT SECTION 206 - FIDUCIARY BREACH AND FRAUD

If Carver is a registered investment adviser or associated person, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 impose an affirmative fiduciary duty that prohibits any device, scheme, or artifice to defraud a client, and any conduct operating as a fraud or deceit. Carver's misrepresentation that HarborChain was 'basically a high-yield savings account' and that her principal was 'locked up safe' constitutes actionable fraud under Section 206(1). His failure to disclose the referral compensation arrangement constitutes a material omission under Section 206(2) because a reasonable investor would consider undisclosed compensation directly relevant to the advice given. The SEC has consistently held that undisclosed conflicts of interest violate the adviser's duty of loyalty under Section 206.

2. REGULATION BEST INTEREST (17 C.F.R. § 240.15l-1) - IF BROKER-DEALER CAPACITY

If Carver was operating as a broker-dealer or associated person at the time of the recommendation, Regulation Best Interest required him to act in Margaret's best interest at the time of the recommendation. The Care Obligation under Reg BI (Reg BI § (a)(2)(ii)) required him to have a reasonable basis to believe the recommendation was in the best interest of Margaret based on her investment profile. Recommending a speculative, illiquid, unregistered crypto yield product to a 74-year-old capital preservation investor with a conservative risk profile and no digital asset experience fails this standard entirely. The Disclosure Obligation under Reg BI (§ (a)(2)(i)) required full and fair written disclosure of all material facts, including the undisclosed referral compensation, which constitutes a per se violation. The Conflict of Interest Obligation under Reg BI (§ (a)(2)(iii)) required policies to identify, disclose, and mitigate conflicts - the undisclosed 0.75% referral fee is precisely the type of conflict that must be disclosed and addressed.

3. SEC DIGITAL ASSET FRAMEWORK (2019) - HOWEY TEST APPLICATION

HarborChain's yield product almost certainly constitutes a security under the Howey test (investment of money, in a common enterprise, with expectation of profits, from the efforts of others). Investors deposited crypto assets expecting to earn 11.5% returns generated by the platform's lending activities - a paradigmatic example of a passive investment in a common enterprise. Carver recommended an unregistered security in violation of Section 5 of the Securities Act of 1933. His failure to conduct any due diligence on the registration status of the product - or to disclose that it appeared to be an unregistered offering - compounds this violation. The SEC's enforcement actions against BlockFi (February 2022), Celsius, Gemini Earn, and Genesis established clearly that crypto yield products of this structure are securities subject to registration requirements, making Carver's 2022 conduct particularly egregious given the enforcement environment that existed at the time.

4. EXCHANGE ACT SECTION 10(b) AND RULE 10b-5

Carver's affirmative misrepresentations - that HarborChain had 'insurance protections,' that the platform

was akin to a savings account, and that principal was secure - constitute material misstatements made in connection with the purchase of a security. These statements were objectively false and made with apparent scienter, satisfying the elements of a 10b-5 violation. The omission of FDIC non-coverage, the unregistered nature of the product, and the referral compensation are material omissions under Rule 10b-5(b).

5. FINRA RULE 2111 / SUITABILITY (LEGACY STANDARD) AND RULE 2010

If Carver held FINRA registration, his recommendation violated suitability obligations under FINRA Rule 2111, which required a reasonable basis for the recommendation based on the customer's investment profile. Margaret's age, conservative risk tolerance, capital preservation objective, reliance on fixed income, and complete lack of crypto experience made this recommendation unsuitable on every dimension. The failure to disclose his compensation arrangement also independently violates FINRA Rule 2010 (standards of commercial honor) and potentially Rule 2040 (payments to unregistered persons, if HarborChain was unregistered).

6. ELDER FINANCIAL EXPLOITATION

Margaret was 74 years old, retired, and had no ability to recover losses through future income. Approximately 52% of her total retirement savings were liquidated and placed into a speculative unregistered digital asset product. Many states have elder financial exploitation statutes that would apply here, and FINRA Rule 2010 and state investment adviser act provisions independently impose heightened obligations when dealing with senior investors. The concentration risk alone - placing over half of a conservative senior's IRA into a single speculative product - would constitute exploitation under most state elder investor protection frameworks.

7. LIKELY REGULATORY OUTCOME

Carver faces potential enforcement by the SEC under Sections 206(1), 206(2), and 10(b); civil liability to Margaret for rescission and damages; FINRA disciplinary proceedings including potential bar and fine; and state securities fraud claims. The undisclosed referral compensation, affirmative misrepresentations about insurance and safety, and recommendation of an unregistered yield product to a vulnerable senior investor represent aggravating factors that would likely result in significant sanctions, disgorgement of compensation, and possible referral for criminal fraud prosecution under 18 U.S.C. § 1348. The \$162,000 loss suffered by a 75-year-old fixed-income retiree with no recovery pathway would likely be treated as a significant aggravating factor in any penalty calculation.

Hypothetical 35

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Okonkwo, a 61-year-old retired schoolteacher from Columbus, Ohio, had accumulated approximately \$310,000 in a rollover IRA following her retirement in early 2022. Her stated investment objectives were capital preservation and modest income generation to supplement her monthly pension of \$2,200. She described herself as a conservative investor and told her financial advisor, Derek Paulson, that

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she was 'terrified of losing money' and had never owned anything riskier than a balanced mutual fund. She had no prior experience with cryptocurrency, blockchain technology, or digital assets of any kind. In March 2022, Paulson, who worked for a mid-sized independent broker-dealer in suburban Columbus, recommended that Margaret move \$95,000 - roughly 31% of her total retirement savings - out of a diversified bond fund and into a high-yield crypto lending product offered through a third-party platform that promised annualized returns of 8.5% on stablecoin deposits. Paulson explained to Margaret that the product was 'basically like a savings account but better' and that stablecoins were 'not really crypto' because their value was pegged to the U.S. dollar. He did not explain how the platform generated the advertised yield, did not disclose that the platform was not a bank and that deposits were not FDIC-insured, and did not mention that the platform had received regulatory scrutiny in multiple states. Paulson earned a referral fee of approximately \$1,900 from the platform for directing Margaret's funds. By November 2022, the lending platform had frozen customer withdrawals and filed for bankruptcy protection, leaving Margaret unable to access her \$95,000. She received a notice from the bankruptcy trustee indicating that unsecured creditors, including retail depositors like herself, were unlikely to recover more than 20 to 30 cents on the dollar. Margaret contacted her state securities regulator after seeing a news report about the platform's collapse.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) - Exchange Act Rule 15l-1****

Paulson is a registered representative subject to Reg BI, which requires him to act in Margaret's best interest at the time of the recommendation and not place his own financial interests ahead of hers. His failure is pronounced on all four component obligations:

- ****Care Obligation****: Paulson was required to exercise reasonable diligence to understand the product, its risks, and its likely costs before recommending it. A crypto lending yield product is a highly complex instrument involving counterparty credit risk, liquidity risk, and platform insolvency risk. Recommending that a 61-year-old conservative retiree place 31% of her IRA in such a product directly contradicts her stated objectives of capital preservation and income. The allocation concentration alone would likely be unreasonable for this profile.
- ****Conflict of Interest Obligation****: Paulson received a \$1,900 referral fee from the platform - a material conflict he was required to disclose and mitigate. His failure to disclose this fee, and the fact that it may have motivated the recommendation, is a direct violation. Reg BI explicitly requires that financial incentives not cause a representative to recommend products that are not in the customer's best interest.
- ****Disclosure Obligation****: Reg BI's Form CRS and related disclosure requirements obligated Paulson to clearly explain the nature of the product, associated risks including the absence of FDIC insurance, the platform's regulatory status, and the illiquidity risk. His characterization of the product as 'basically like a savings account but better' and his misleading statement that stablecoins are 'not really crypto' constitute material misrepresentations.

- **Compliance Obligation**: The broker-dealer had a duty to establish policies ensuring Reg BI compliance, including supervision of referral arrangements with third-party crypto platforms.

2. Investment Advisers Act §206 - Anti-Fraud Provisions

If Paulson had any advisory capacity in this transaction, §206(1) and §206(2) of the Investment Advisers Act prohibit fraudulent, deceptive, or manipulative conduct by investment advisers. Describing a high-risk, uninsured lending product as equivalent to a savings account to a vulnerable retail investor is arguably a deceptive device under §206(2), which does not require intent - negligent misrepresentation is sufficient.

3. Securities Act and Exchange Act - Unregistered Securities (Howey Test)

The crypto lending yield product at issue closely resembles those offered by platforms that have faced enforcement action from the SEC for offering unregistered securities. Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an investment contract exists where there is (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. Margaret invested money into a pooled lending platform, expected an 8.5% annual return generated by the platform's lending and investment activities - not her own efforts. The product almost certainly qualifies as a security under Howey. If the platform was not registered as a securities issuer and Paulson recommended it without disclosing this status or conducting appropriate due diligence on its regulatory standing, he may have facilitated the offer and sale of an unregistered security, exposing himself and his broker-dealer to liability under Exchange Act §10(b) and Securities Act §5.

The SEC's Digital Asset Framework (April 2019) reinforces this analysis, directing staff to apply Howey to yield-bearing digital asset products. Platforms offering fixed yields on deposited crypto assets - particularly where the platform pools assets and deploys them for lending or trading - have been repeatedly found to be offering investment contracts requiring registration.

4. FINRA Suitability and Supervision Obligations

Under FINRA Rule 2111 (suitability, still applicable for non-Reg BI contexts and informing the standard of care analysis), a recommendation must be suitable based on the customer's investment profile. Three elements apply here:

- **Reasonable-basis suitability**: Paulson failed to understand the product well enough to recognize its risks before recommending it.
- **Customer-specific suitability**: The product was objectively unsuitable for a 61-year-old conservative retiree with capital preservation objectives.
- **Quantitative suitability**: A 31% concentration of retirement assets in a single high-risk illiquid platform is excessive for this profile.

FINRA Rule 3110 requires the broker-dealer to supervise Paulson's recommendations. The referral arrangement with the crypto lending platform and the concentration recommendation should have triggered supervisory review and approval processes that, if properly followed, would have prevented the recommendation.

5. CFTC Jurisdiction Considerations

Depending on the composition of assets deployed by the lending platform, the CFTC may assert jurisdiction if the platform traded commodity derivatives using customer deposits. Under the Commodity Exchange Act, the CFTC has broad authority over commodity interests, and certain stablecoin and crypto lending structures have been scrutinized under CFTC jurisdiction. This could create additional exposure for Paulson's broker-dealer if it knowingly directed customer assets to a platform operating outside regulatory bounds.

****6. Likely Regulatory Outcome****

Based on the facts, Paulson faces significant exposure including: (a) FINRA enforcement for suitability violations and failure to disclose the referral fee conflict; (b) SEC enforcement under Reg BI's Care and Conflict of Interest obligations; (c) potential state securities regulator action given Margaret filed a complaint; (d) civil liability to Margaret for the approximately \$67,000 to \$76,000 she is likely to lose in the bankruptcy. The broker-dealer faces supervisory failures liability. Paulson's conduct is non-compliant on multiple independent grounds, and the vulnerability of the client - a retired, unsophisticated, conservative investor on a fixed income - would likely be treated as an aggravating factor in any enforcement proceeding.

Hypothetical 36

Topic: *illiquid_investments* | Difficulty: *hard*

[NON-COM]

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher living in rural Ohio, had accumulated \$340,000 in savings over her 35-year career, which represented essentially her entire net worth outside of her modest home and a small monthly pension of \$1,850. Margaret had no investment experience beyond a conservative 401(k) that had been managed by her school district, and she described herself to her financial advisor, Derek Stanton, as someone who 'cannot afford to lose any of this money' and who needed her savings to supplement her pension income for living expenses. During an initial consultation in March 2022, Margaret explicitly told Derek she needed monthly liquidity and had no tolerance for risk. Derek, who worked for a mid-sized independent broker-dealer, was enthusiastic about a new digital asset product called the 'CryptoYield Vault,' offered by a startup called NovaCoin Capital. The product promised annual yields of 14% to 18% generated through a combination of cryptocurrency lending, staking of various altcoins including Solana, Avalanche, and a proprietary token called NVCT, and participation in automated liquidity pools on decentralized exchanges. NovaCoin's marketing materials, which Derek received but did not thoroughly review, disclosed in fine print that investor funds would be locked for a minimum of 24 months with no early redemption option, that the underlying altcoin positions could decline significantly in value, and that NVCT tokens had no established secondary market. Derek recommended that Margaret invest \$200,000, representing approximately 59% of her liquid savings, into the CryptoYield Vault. He framed the product to her as 'basically a high-yield savings account but on the blockchain,' and told her verbally that she could 'probably get your money out in a few months if you really need it,' a statement directly contradicted by the product documents. Derek earned a placement fee of 4.5% on the investment, amounting to \$9,000, which he did not disclose to Margaret. He completed a customer profile form for Margaret but selected 'moderate' risk tolerance and 'growth' as her investment objective, despite her having

clearly communicated conservative risk tolerance and income generation as her goals. By October 2022, the broader crypto market had declined sharply, NVCT lost approximately 91% of its value, and NovaCoin Capital suspended all redemptions indefinitely, citing liquidity constraints within their lending and staking operations. Margaret's \$200,000 investment was effectively frozen and had declined in estimated value to approximately \$38,000 based on NovaCoin's last published net asset calculation. Margaret contacted Derek seeking to access her funds to pay for a medical procedure and was told redemptions remained suspended with no timeline for restoration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) - 17 CFR § 240.15l-1****

Derek's recommendation of the CryptoYield Vault to Margaret constitutes a clear violation of Reg BI's Care Obligation (Element 2) and Disclosure Obligation (Element 1). Under the Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended security or investment strategy and must have a reasonable basis to believe the recommendation is in the retail customer's best interest. Margaret's profile - 71 years old, fixed income of \$1,850/month, entire liquid net worth of \$340,000, explicit statement of zero risk tolerance and need for liquidity - made any recommendation of an illiquid, 24-month locked digital asset product objectively inconsistent with her best interest. Allocating 59% of her liquid savings to a single illiquid crypto product is indefensible under any reasonable diligence standard.

Derek's misrepresentation that she could 'probably get her money out in a few months' directly contradicts the product's documented 24-month lock-up, compounding the Care Obligation violation with a potentially fraudulent misstatement.

****2. Disclosure Obligation and Conflict of Interest Obligation under Reg BI****

Derek failed to disclose the \$9,000 placement fee, which constitutes a material conflict of interest that must be disclosed under Reg BI's Disclosure Obligation prior to or at the time of the recommendation. The failure to disclose this compensation is a textbook violation. Additionally, the Conflict of Interest Obligation requires broker-dealers to establish policies to identify and mitigate conflicts; here the conflict was neither disclosed nor mitigated.

****3. Investment Advisers Act § 206 - Antifraud Provisions****

If Derek or his firm qualifies as an investment adviser under the Investment Advisers Act of 1940, Section 206(1) and 206(2) prohibit any device, scheme, or artifice to defraud a client and any transaction or practice that operates as a fraud or deceit. Falsely characterizing a 24-month locked, high-risk altcoin staking and lending product as 'basically a high-yield savings account' constitutes a fraudulent misrepresentation under § 206. The undisclosed placement fee also implicates § 206(3) regarding principal transactions and compensation disclosure.

****4. Exchange Act § 10(b) and Rule 10b-5****

Derek's affirmative misstatement regarding liquidity - telling Margaret she could 'probably get her money out in a few months' when the documents clearly stated a 24-month lock-up with no early redemption - constitutes a material misrepresentation in connection with the purchase of a security. If the CryptoYield Vault interests constitute securities (highly likely under the Howey test, as investors are pooling funds in a common enterprise - crypto lending and staking operations - with an expectation of profit derived entirely from NovaCoin's efforts), Rule 10b-5 applies. The elements of a 10b-5 violation are substantially met: material misstatement, scienter (at minimum recklessness in not reviewing product documents), connection to a securities transaction, reliance, and damages.

****5. Howey Test and Unregistered Securities Concerns****

The CryptoYield Vault likely constitutes an investment contract under SEC v. W.J. Howey Co., 328 U.S. 293 (1946): (i) investment of money - Margaret paid \$200,000; (ii) common enterprise - pooled with other investors in NovaCoin's lending and staking operations; (iii) expectation of profits - the 14-18% yield promise; (iv) derived from the efforts of others - NovaCoin's management of the lending pools, staking strategies, and liquidity operations. The structure closely parallels enforcement actions taken against Celsius Network, BlockFi, and Gemini Earn, where the SEC found yield-bearing crypto accounts to be unregistered securities offerings. If the CryptoYield Vault is an unregistered security, Derek's recommendation and sale may constitute participation in an unregistered offering in violation of Securities Act § 5.

****6. CFTC Jurisdiction - Commodity Exchange Act****

To the extent the underlying altcoins (Solana, Avalanche) are treated as commodities rather than securities, the CFTC would have jurisdiction over fraud in connection with commodity transactions under CEA § 6(c) and CFTC Rule 180.1. Derek's misrepresentations regarding liquidity could constitute fraud in connection with commodity transactions if these assets are deemed commodities.

****7. Falsification of Customer Records****

Derek's alteration of Margaret's risk profile to 'moderate' and her investment objective to 'growth,' in direct contravention of her expressed preferences, constitutes falsification of customer account records - a violation of FINRA Rule 4511 (books and records) and potentially a basis for fraud claims under state securities law. FINRA Rule 2010 (standards of commercial honor) would also be implicated.

****8. Illiquidity and Concentration Risk****

FINRA has issued guidance (Regulatory Notice 12-03 and related guidance on complex products) emphasizing that illiquid products require heightened scrutiny before recommendation to retail investors, particularly seniors. Concentrating 59% of an elderly, fixed-income investor's liquid net worth in a 24-month locked digital asset product with no secondary market, where the investor has explicitly stated the need for liquidity, is a paradigmatic suitability failure and, under current standards, a Reg BI Care Obligation failure.

****9. Senior Investor Protections****

Margaret's age (71) and her fixed-income dependency trigger heightened supervisory obligations under FINRA guidance on senior investors, including FINRA Rule 2165 (financial exploitation of specified adults) and the requirement under Reg BI to give particular weight to the financial situation of retail customers who are near or in retirement. The recommendation of a 24-month illiquid product to a 71-year-old with

immediate liquidity needs represents a textbook violation of these protections.

****Likely Regulatory Outcome:****

Derek faces potential enforcement by the SEC for violations of Reg BI, § 10(b)/Rule 10b-5, and participation in an unregistered securities offering. His broker-dealer faces supervisory liability under Exchange Act § 15(b) for failure to establish adequate supervisory procedures. FINRA would likely pursue a disciplinary proceeding including potential bar, substantial fines, and disgorgement of the \$9,000 placement fee. Margaret would have strong civil claims for rescission and damages. If NovaCoin Capital's product is deemed an unregistered security, Derek's broker-dealer faces additional liability for selling away or failing to conduct adequate due diligence under FINRA Rule 3110. This scenario closely mirrors the regulatory and investor harm patterns seen in the Celsius and BlockFi enforcement actions, and regulators would likely treat it with corresponding seriousness.

Hypothetical 37

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

In March 2022, Raymond Delacroix, a 71-year-old retired postal worker living in Baton Rouge, Louisiana, opened an investment account with Pinnacle Wealth Advisors, a registered investment advisory firm. Delacroix had provided the firm with a new account form indicating he had approximately \$112,000 in total savings, nearly all of which represented his lifetime retirement nest egg. He listed his monthly income as \$1,840 from Social Security and a small pension. On the form, Delacroix checked boxes indicating his investment objective was 'capital preservation' and his risk tolerance was 'conservative.' He noted he had no prior experience with stocks beyond a small 401(k) that had been cashed out years earlier, and he explicitly wrote in the comments section: 'I cannot afford to lose this money. I need it to live on.' His assigned advisor, Marcus Thibodaux, reviewed the account form briefly during a 20-minute onboarding call but did not ask any follow-up questions about Delacroix's monthly expenses, outstanding debts, health status, or liquidity needs. Thibodaux had recently attended a two-day cryptocurrency conference and was enthusiastic about digital asset yield products. In April 2022, Thibodaux called Delacroix and described a crypto yield-bearing account offered through a third-party platform, explaining that customers could deposit funds and earn between 7% and 9% annual interest, which he characterized as 'basically like a high-yield savings account but better.' Thibodaux did not explain that the platform was not a bank, that deposits were not FDIC insured, that the underlying assets would be lent to institutional borrowers, or that the customer would be transferring legal title of the assets to the platform. He told Delacroix the product was 'very safe' and 'a great way to make your money work harder in retirement.' Relying entirely on Thibodaux's representations, Delacroix transferred \$74,000, representing approximately 66% of his total savings, into the yield account in May 2022. The platform suspended withdrawals in June 2022 amid a liquidity crisis and filed for bankruptcy in July 2022. By November 2022, it was estimated that account holders would recover less than 30 cents on the dollar. Delacroix lost approximately \$52,000 and was left with roughly \$60,000 in total assets to fund the remainder of his retirement. Internal records later showed that Thibodaux had not updated or supplemented Delacroix's customer profile after the onboarding call, had not flagged the account for any supervisory review prior to the recommendation, and had not documented any rationale for

why the product was appropriate given the client's stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Thibodaux committed multiple serious violations of applicable regulatory standards governing the know-your-customer obligation, the best interest standard, and the antifraud provisions applicable to investment advisers and broker-dealers.

****1. Failure to Know the Customer****

The foundational obligation for any financial professional recommending investments to retail clients requires a thorough understanding of the customer's financial situation, investment experience, risk tolerance, time horizon, liquidity needs, and investment objectives. FINRA Rule 2090 imposes an explicit 'know your customer' obligation, requiring firms to use reasonable diligence to know and retain the essential facts about every customer. Thibodaux's conduct was deficient from the outset: he conducted only a 20-minute onboarding call, asked no follow-up questions about monthly expenses, liquidity requirements, health status, or debt obligations, and never supplemented the customer profile before making a high-risk recommendation. Delacroix's account form clearly communicated capital preservation objectives and conservative risk tolerance, and his handwritten comment - that he could not afford to lose the funds - was unambiguous. A reasonably diligent advisor would have treated this profile as essentially prohibiting speculative or illiquid recommendations without extraordinary justification.

****2. Regulation Best Interest Violations****

Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers recommending securities to retail customers must act in the customer's best interest at the time of the recommendation. The Care Obligation under Reg BI (Element 3) requires the advisor to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on their investment profile. Thibodaux failed every component of this standard. The product - a crypto yield-bearing account operated by an unregistered platform - was structurally incompatible with a 71-year-old retiree's capital preservation objectives. Concentrating 66% of a client's life savings in a single uninsured, illiquid digital asset yield product is facially inconsistent with a conservative profile. Thibodaux documented no rationale, performed no independent due diligence on the platform's financial stability, and did not analyze the product's risk structure before recommending it.

****3. Crypto Yield Product as Unregistered Security****

The crypto yield-bearing account at issue bears the hallmarks of a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): customers invested money in a common enterprise with the expectation of profits derived primarily from the efforts of others (the platform's lending operations). The SEC's Digital Asset Framework (April 2019) and enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini, and Genesis all confirm that yield-bearing crypto accounts of this

structure are securities. Recommending an unregistered security to a retail customer without disclosing its legal status and associated risks compounds the advisor's liability.

****4. Antifraud Violations Under the Investment Advisers Act****

Section 206 of the Investment Advisers Act of 1940 prohibits any investment adviser from employing any device, scheme, or artifice to defraud clients or engaging in any practice that operates as a fraud or deceit upon clients. Thibodaux's characterization of the product as 'basically like a high-yield savings account' and 'very safe' while omitting material facts - including the absence of FDIC insurance, the transfer of legal title, the lending risk, the absence of regulatory registration, and the platform's liquidity vulnerabilities - constitutes material misrepresentation and omission in violation of §206(1) and §206(2). Investment advisers owe fiduciary duties of loyalty and care; Thibodaux breached both.

****5. Exchange Act Section 10(b) and Rule 10b-5****

If the yield account constitutes a security, Thibodaux's affirmative misrepresentations ('very safe,' 'like a savings account') and material omissions in connection with its sale may also implicate Exchange Act §10(b) and Rule 10b-5, which prohibit fraud and material misstatements in connection with the purchase or sale of any security.

****6. Supervisory Failure****

Pinnacle Wealth Advisors faces potential liability for failure to supervise under FINRA Rule 3110 and the Investment Advisers Act. The absence of any supervisory review, concentration flag, or pre-approval process for a recommendation to concentrate 66% of a vulnerable elderly client's savings in a novel crypto product reflects a systemic supervisory breakdown.

****Likely Regulatory Outcome****

Thibodaux and Pinnacle Wealth Advisors would likely face SEC and FINRA enforcement for: (1) Reg BI violations (failure of care and disclosure obligations); (2) §206 Investment Advisers Act fraud; (3) FINRA Rule 2090 know-your-customer violations; (4) potential Rule 2111 legacy suitability violations; and (5) failure to supervise. Remedies could include disgorgement of commissions, civil monetary penalties, suspension or bar from the industry for Thibodaux, and a cease-and-desist order against the firm. FINRA arbitration by Delacroix for compensatory damages of approximately \$52,000, plus punitive damages, would likely succeed. The elderly client's profile, explicit written statement of loss aversion, and the catastrophic concentration loss would make this a compelling case for full restitution.

Hypothetical 38

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

[NON-COM]

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, came to her financial advisor, Derek Saunders, in March 2022 seeking help managing her \$310,000 in retirement savings. Margaret had a fixed income of approximately \$2,200 per month from Social Security and a small pension. She described herself to Saunders as someone who 'could not afford to lose money' and indicated her primary goals were capital preservation and generating modest income to supplement her monthly expenses. Her written investor profile documented a conservative risk tolerance, and she had no prior experience with digital assets, cryptocurrency, or blockchain-based financial products. She had never previously invested in anything beyond CDs, money market accounts, and a modest portfolio of blue-chip dividend stocks. Saunders, who had recently begun promoting a crypto yield platform called 'YieldVault Digital,' told Margaret during an in-person meeting in April 2022 that YieldVault was 'basically like a high-yield savings account, but better' and that it was 'completely safe' because her crypto holdings would be 'fully backed.' He explained that if she converted \$180,000 of her savings into USD Coin, a stablecoin, and deposited those funds into YieldVault, she would earn an annualized return of 9.5 percent - dramatically higher than the 0.5 percent she was earning on her existing CD. Saunders did not disclose that YieldVault was an unregistered lending product that pooled customer funds and re-lent them to institutional borrowers, that the platform had no FDIC or SIPC protection, that her principal was not guaranteed, or that YieldVault was under preliminary inquiry by federal regulators at the time of his recommendation. He also did not disclose that he was receiving a 1.2 percent referral commission from YieldVault on assets he directed to the platform. Margaret, trusting Saunders completely, liquidated \$180,000 of her CD and dividend stock holdings and transferred the funds to YieldVault in May 2022. By November 2022, YieldVault had suspended withdrawals following liquidity problems linked to the broader crypto market collapse. Margaret's \$180,000 was frozen on the platform. As of early 2023, she had recovered less than \$14,000 through a partial liquidation process, representing a loss of approximately \$166,000 - more than half of her total life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders committed multiple serious violations of applicable regulatory standards, and this scenario presents a compelling enforcement case.

1. REGULATION BEST INTEREST (Reg BI, Exchange Act Rule 15l-1): Saunders was obligated under Reg BI to act in Margaret's best interest at the time of the recommendation and to place her interests ahead of his own. He failed this standard on multiple dimensions. First, his Care Obligation required him to understand the product, understand Margaret's investor profile, and have a reasonable basis to believe the recommendation was in her best interest. Recommending that a 74-year-old, conservative, capital-preservation-focused retiree with no crypto experience place 58 percent of her total life savings into an unregistered crypto yield platform is facially unreasonable. Second, his Conflict of Interest Obligation required him to disclose and mitigate material conflicts. The undisclosed 1.2 percent referral commission is a textbook material conflict that distorted his recommendation and was never disclosed to Margaret. Third, his Disclosure Obligation required him to provide full and fair disclosure of all material facts about the recommendation. Describing an unregistered, uninsured, illiquid crypto lending product as 'basically a high-yield savings account' and 'completely safe' constitutes affirmatively misleading disclosure. The failure to disclose the absence of FDIC/SIPC protection, the unregistered status of the product, the re-lending

mechanics, and the ongoing regulatory inquiry were all independent disclosure failures.

2. INVESTMENT ADVISERS ACT §206 (ANTI-FRAUD): If Saunders was acting in an advisory capacity, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any device, scheme, or artifice to defraud a client, and any practice that operates as a fraud or deceit. Describing the product as 'completely safe' and omitting material risks constitutes fraudulent and deceptive conduct under this provision. The undisclosed commission, which created an incentive to steer Margaret into a high-risk product against her interests, reinforces the §206(1) and §206(2) exposure. Courts and the SEC have consistently held that omissions of material conflicts of interest satisfy the fraud elements under §206.

3. HOWEY TEST AND UNREGISTERED SECURITIES: YieldVault's yield product almost certainly constitutes an investment contract under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). The four elements are satisfied: (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others. Margaret invested cash, pooled with other investors, expecting the 9.5 percent yield, which was generated by YieldVault's institutional lending operations - efforts entirely attributable to the platform. This analysis mirrors the SEC's enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini Earn/Genesis, and similar platforms offering yield on crypto deposits. Recommending an unregistered security to a retail investor, without registration or a valid exemption, exposes both the issuer and the recommending broker to enforcement. Saunders' recommendation of an unregistered security to Margaret is independently actionable.

4. CFTC JURISDICTION CONSIDERATIONS: To the extent YieldVault involved leveraged crypto derivatives or commodity interest contracts as part of its lending strategy, CFTC jurisdiction under the Commodity Exchange Act could overlay additional regulatory exposure. Bitcoin and certain other digital assets have been classified as commodities by the CFTC, and unregistered retail commodity transactions can trigger CEA violations. This would not directly implicate Saunders unless he had visibility into YieldVault's internal strategy, but it compounds the overall legal jeopardy surrounding the product he recommended.

5. FINRA RULES (Rules 2010, 2020, 2111 predecessor standards, and current Reg BI framework): Even under legacy suitability principles codified in FINRA Rule 2111, the recommendation would fail all three suitability tests: reasonable basis suitability (no reasonable advisor could find this product suitable for a conservative retiree), customer-specific suitability (Margaret's profile - age, income, risk tolerance, objectives - directly contraindicated this recommendation), and quantitative suitability (concentrating 58 percent of a retiree's savings in a single unregistered digital asset product). FINRA Rule 2010 requires members to observe high standards of commercial honor, and Rule 2020 prohibits manipulative and deceptive practices - both triggered by the affirmative misrepresentations about safety and the undisclosed commission.

6. ELDER FINANCIAL EXPLOITATION: Most states, including Florida, have enacted senior investor protection statutes requiring financial professionals to flag, delay, or report suspected financial exploitation of investors over 65. Margaret's profile - age 74, fixed income, conservative investor, large concentrated loss - triggers these reporting obligations. Saunders' failure to recognize and address the heightened

vulnerability of this client compounds his regulatory exposure and may give rise to state enforcement action as well.

7. **LIKELY REGULATORY OUTCOME:** Saunders faces significant exposure across multiple regulators. The SEC could bring an enforcement action for fraud under §10(b) of the Exchange Act and Rule 10b-5 for material misstatements and omissions, and for recommending an unregistered security. FINRA could initiate a disciplinary proceeding resulting in suspension or permanent bar from the industry, restitution, and substantial fines. State securities regulators in Florida could pursue parallel enforcement. Civil liability to Margaret through FINRA arbitration or civil litigation is also highly likely. The undisclosed commission, the affirmative misrepresentation of safety, the failure to disclose regulatory scrutiny of the platform, and the catastrophic outcome for a vulnerable senior investor collectively present one of the most serious categories of advisor misconduct in the retail crypto space.

Hypothetical 39

[NON-COM

Topic: complex_products_unsophisticated_investor | Difficulty: hard

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher living in Boise, Idaho, had accumulated \$310,000 in a rollover IRA following 34 years of service in the public school system. Her stated investment objective was capital preservation with modest income generation to supplement her Social Security payments of \$1,840 per month. She had no earned income, owned her home outright, and had approximately \$22,000 in a separate savings account for emergencies. Margaret had described herself to her financial advisor, Derek Pullen, as someone who 'doesn't really understand the stock market' and had historically held only FDIC-insured CDs and money market funds. She had never owned equities, bonds, or any alternative investment products. In early 2022, Derek, who worked for a mid-sized independent broker-dealer in the Pacific Northwest, began recommending that Margaret move a significant portion of her IRA into yield-generating cryptocurrency products. Specifically, Derek recommended allocating \$155,000-exactly 50% of her entire retirement savings-into a crypto lending platform that promised annualized yields of 8.6% on stablecoin deposits and 6.1% on Bitcoin holdings. Derek told Margaret during a recorded phone call in February 2022 that the stablecoin product was 'basically like a high-yield savings account, just built on newer technology' and that it was 'as safe as a bank CD but pays way more.' He did not explain that the platform was not FDIC-insured, that stablecoins carried de-pegging risk, or that the lending platform itself operated without registration as a securities offering. Derek earned a 1.2% referral fee from the platform for assets directed through his unique affiliate link, a compensation arrangement he did not disclose to Margaret. He processed the transaction in March 2022, moving \$95,000 into the stablecoin yield product and \$60,000 into the Bitcoin yield account. By November 2022, the crypto lending platform had suspended withdrawals and filed for bankruptcy protection amid a broader crypto market collapse, freezing Margaret's entire \$155,000. Her recovery in the bankruptcy proceeding was estimated at between 20 and 35 cents on the dollar. Derek's written notes in her client file described her risk tolerance as 'moderate-aggressive' and her investment objective as 'growth,' both of which conflicted directly with the conservative, income-preservation profile she had verbally communicated and that was reflected in her prior account history. Derek had altered her profile in the firm's CRM system approximately one week before executing

the crypto transaction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pullen committed multiple serious regulatory violations that collectively represent one of the most egregious fact patterns in retail crypto advisory misconduct.

****1. Reg BI - Best Interest Obligation (Care Component)****

Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers making recommendations to retail customers must act in the customer's best interest at the time of the recommendation without placing their own financial interests ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the retail customer's best interest given their investment profile. Margaret's profile-age 71, fixed income, no investment experience, explicit capital preservation objective, history of only insured deposit products-made a 50% concentration in unregistered crypto lending products categorically unsuitable. No reasonable basis existed to characterize this allocation as consistent with her interests. This is a clear violation of Reg BI's Care Obligation.

****2. Reg BI - Conflict of Interest / Disclosure Component****

The 1.2% undisclosed referral fee represents a direct violation of Reg BI's Disclosure Obligation, which requires full and fair disclosure of all material facts relating to the scope of the relationship, including all material conflicts of interest. An undisclosed compensation arrangement that incentivizes a specific product recommendation is a textbook conflict of interest that Reg BI was specifically designed to address. Derek's failure to disclose this fee to Margaret before executing the transaction is independently actionable.

****3. Investment Advisers Act Section 206 - Fraud and Fiduciary Duty****

If Derek is deemed to be acting in an advisory capacity (which regulators may argue given the personalized nature of the recommendation and the ongoing relationship), Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any investment adviser from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Describing an uninsured, unregistered crypto lending product as 'basically like a high-yield savings account' and 'as safe as a bank CD' constitutes a material misrepresentation and likely rises to the level of fraudulent conduct under Section 206.

****4. Exchange Act Section 10(b) and Rule 10b-5****

Derek's affirmative misrepresentations-characterizing the crypto yield product as equivalent to an insured bank CD-and his omissions-failing to disclose the absence of FDIC insurance, de-pegging risk, platform insolvency risk, unregistered securities status, and his own referral fee-satisfy the elements of securities fraud under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder. The crypto yield products at issue almost certainly qualify as securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors contributed money to a common enterprise (the lending platform's pooled lending operations) with a reasonable expectation of profits derived from the managerial efforts of others (the platform's deployment of pooled assets into lending markets). The SEC's enforcement actions against

BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis all proceeded on precisely this theory-that crypto yield/lending products constitute unregistered securities offerings. By recommending an unregistered security and misrepresenting its nature, Derek exposed both himself and his firm to Section 10(b) liability.

****5. SEC Digital Asset Framework (2019)****

The SEC's Framework for 'Investment Contract' Analysis of Digital Assets (April 2019) provides detailed guidance on applying Howey to crypto assets and yield products. The stablecoin yield product and Bitcoin yield account both satisfy each Howey prong. The platform pooled customer assets, deployed them in lending and yield-generation activities managed by the platform's team, and distributed returns to depositors based on the platform's operational success. This framework should have placed any reasonably diligent advisor on notice that recommending such products without confirming their registration status was impermissible.

****6. FINRA Suitability (Rule 2111) and Know Your Customer (Rule 2090)****

Although Reg BI supersedes traditional suitability analysis for retail recommendations, FINRA Rule 2111 remains instructive and Rule 2090 (KYC) independently applies. Derek's falsification of Margaret's risk tolerance and investment objective in the CRM system-changing her profile from conservative/capital preservation to 'moderate-aggressive/growth' immediately before the transaction-is a separate and severe violation. FINRA Rule 4511 requires firms to maintain accurate books and records. Deliberately altering a customer's investment profile to manufacture post-hoc justification for an unsuitable transaction constitutes potential securities fraud, document falsification, and a violation of the firm's supervisory obligations under FINRA Rule 3110.

****7. CFTC Jurisdiction****

To the extent Bitcoin is characterized as a commodity (which the CFTC has consistently maintained), the Bitcoin yield account may implicate CFTC jurisdiction under the Commodity Exchange Act. Recommending retail participation in a yield product linked to a commodity through an unregistered platform potentially violates CFTC regulations governing commodity pool operators and commodity trading advisors, depending on the structure of the product.

****8. Concentration and Vulnerability****

Beyond the specific regulatory violations, the 50% concentration of a 71-year-old retiree's entire IRA in a single illiquid, unregistered, uninsured crypto platform is independently indefensible under any reasonable construction of retail investor protection standards. The lack of diversification, the absence of any liquidity provision for a client entirely dependent on fixed income, and the failure to consider the sequence-of-returns risk for a retiree with no ability to recover losses all reflect a fundamental breakdown in basic advisory care.

****Likely Regulatory Outcome:****

Derek faces potential enforcement by the SEC for Section 10(b) and Rule 10b-5 violations, Reg BI violations, and possible aiding and abetting an unregistered securities offering. FINRA would likely pursue disciplinary proceedings for the falsification of records, undisclosed compensation, and suitability violations, potentially resulting in a bar from the industry. His broker-dealer faces supervisory liability under FINRA

Rule 3110 and potential Section 15(b) proceedings if the firm failed to implement reasonable supervisory procedures around crypto product recommendations. Margaret would likely have viable civil claims for fraud, breach of fiduciary duty (if advisory relationship established), and negligence, and may recover against the firm under respondeat superior. Criminal referral for document falsification is also plausible. This fact pattern closely mirrors the conduct targeted in the SEC's 2022-2023 crypto yield enforcement sweep.

Hypothetical 40

[NON-COMPLIANCE]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, a 71-year-old retired schoolteacher living in Boise, Idaho, had accumulated \$310,000 in retirement savings over four decades of work. Her savings were held primarily in a rollover IRA invested in a mix of government bond funds and dividend-paying equity mutual funds. Margaret had no background in technology, had never owned cryptocurrency of any kind, and described her investment goals to her advisor as 'keeping what I have and maybe earning a little more than my savings account.' She rated herself as a conservative investor on every intake form she had ever completed, and her annual income from Social Security and a small pension totaled approximately \$38,000. In early 2022, Margaret met with her financial advisor, Derek Calloway, at a regional broker-dealer office in Boise. Derek had recently attended a firm-sponsored webinar on digital assets and was enthusiastic about the yield opportunities he believed they presented for clients looking to supplement fixed income returns. During their meeting, Derek told Margaret that he had found 'a much better alternative to CDs' that was paying around 8.6% annually. He explained that a company called Celsius Network offered interest-bearing accounts where customers deposited cryptocurrency - in this case, he suggested she convert funds into Bitcoin and Ethereum and deposit them into a Celsius 'Earn' account. Derek minimized the risks involved, telling Margaret that the returns were 'pretty stable' and that the crypto would be 'working like a high-yield savings account.' He did not explain that Celsius was not a bank, that deposits were not FDIC insured, that the assets would be lent out to third parties in ways that could result in total loss, or that the legal status of such yield products was actively contested by multiple state and federal regulators at the time. He also did not disclose that Celsius had received cease-and-desist orders from several state securities regulators in 2021 related to the unregistered offering of these exact accounts. Derek helped Margaret liquidate \$95,000 of her IRA bond fund holdings, move the proceeds to a self-directed IRA custodian, purchase Bitcoin and Ethereum, and transfer those assets into a Celsius Earn account in January 2022. By July 2022, Celsius had frozen all customer withdrawals and filed for bankruptcy. Margaret lost approximately \$87,000 of her original \$95,000 investment, representing more than 28% of her total retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Calloway committed multiple serious violations of applicable regulatory standards, and this scenario presents a clear case of non-compliance across several dimensions.

****1. Regulation Best Interest (Reg BI) - Care Obligation (17 CFR § 240.15l-1)****

Reg BI, which became effective June 30, 2020, requires broker-dealers and their associated persons to act in the best interest of a retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the retail customer. The Care Obligation under Reg BI requires the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance.

Margaret was 71 years old, had a conservative risk profile documented on every intake form, had no cryptocurrency experience, and was dependent on her retirement savings for living expenses. Recommending that she liquidate nearly one-third of her retirement savings to purchase volatile cryptocurrency and deposit it into an unregistered, uninsured yield product was facially inconsistent with her stated profile. There was no reasonable basis for the recommendation under any objective assessment of her investor profile.

****2. FINRA Rule 2111 - Suitability****

Although Reg BI superseded much of Rule 2111 for retail customer recommendations as of June 30, 2020, FINRA Rule 2111 still applies to institutional customers and to the quantitative suitability prong. More broadly, FINRA's suitability framework and guidance informed the structure of Reg BI and remains instructive. Under Rule 2111, a member must have a reasonable basis to believe a recommended transaction is suitable for the customer based on information obtained through reasonable diligence. Derek's recommendation fails under reasonable-basis, customer-specific, and quantitative suitability prongs.

****3. Omission of Material Facts - Exchange Act § 10(b) and Rule 10b-5****

Derek's characterization of the Celsius Earn account as functioning 'like a high-yield savings account' was materially false and misleading. He omitted: (a) that Celsius was not a bank and deposits were not FDIC insured; (b) that deposited assets would be lent to third parties and could be lost entirely; (c) that the product was an unregistered security under the Howey test; and (d) that Celsius had received cease-and-desist orders from multiple state regulators in 2021 for offering these accounts as unregistered securities. Each of these omissions was material - a reasonable investor would consider them important in deciding whether to invest. Under Exchange Act § 10(b) and Rule 10b-5, making material misstatements or omissions in connection with the purchase or sale of a security is unlawful.

****4. SEC Howey Test and the Classification of Celsius Earn Accounts as Securities****

Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an instrument is a security if it involves (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The Celsius Earn account satisfies all four prongs: customers invested cryptocurrency, pooled into Celsius's enterprise, expected to earn yield (the advertised 8.6%), and those returns depended entirely on Celsius's lending and investment activities. The SEC later confirmed this analysis in its enforcement action against Celsius. By recommending an unregistered security, Derek also exposed himself and his firm to liability for facilitating the offer or sale of an unregistered security under Securities Act §§ 5 and 12(a).

****5. Investment Advisers Act § 206 - Fiduciary Duty****

If Derek was acting in an advisory capacity (which the nature of the IRA rollover recommendation and ongoing relationship suggests), he was subject to the fiduciary duties imposed by the Investment Advisers Act § 206, including the duties of care and loyalty. Recommending a speculative, unregistered, uninsured yield product to a 71-year-old conservative investor with no crypto experience, without full and fair disclosure of the material risks, constitutes a breach of both the duty of care and the duty of loyalty.

****6. FINRA Guidance on Digital Assets****

FINRA's 2018 and subsequent guidance on cryptocurrency reminded member firms that digital asset recommendations are subject to the same suitability analysis as any other product, that volatility and lack of regulatory protection are material risk factors, and that firms must ensure that associated persons understand the products they recommend. Derek's recommendation of a crypto-based yield product to a conservative retiree, without understanding the legal and regulatory risk surrounding that specific product, violates this guidance.

****7. CFTC Jurisdiction Considerations****

While the Celsius Earn account implicated SEC jurisdiction through the securities analysis, Bitcoin (as a commodity under CFTC Act § 1a(9)) also falls under CFTC oversight. To the extent Derek's recommendation involved the purchase of Bitcoin specifically, any fraudulent conduct in connection with that purchase could also implicate CFTC anti-fraud provisions under CFTC Act § 6(c) and Regulation 180.1, which mirror the broad anti-fraud standard of Rule 10b-5.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA including suspension or bar, financial penalties, and restitution to Margaret. His broker-dealer faces supervisory liability for failing to maintain adequate procedures governing the recommendation of digital asset products and unregistered yield products to retail customers. The firm could face SEC enforcement for facilitating the offer of unregistered securities. The failure to disclose the state cease-and-desist orders against Celsius is particularly egregious and could support findings of willful misconduct. Margaret would likely be entitled to full restitution of her \$87,000 loss through FINRA arbitration or regulatory restitution proceedings.

Hypothetical 41

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holloway is a 74-year-old retired schoolteacher living in Tucson, Arizona. Her annual income consists of \$24,000 in Social Security benefits and a \$1,100 monthly pension from the state teachers' retirement system, totaling approximately \$37,200 per year. Her investable assets amount to \$310,000, held primarily in a traditional IRA containing conservative bond funds and a money market account. Margaret completed a client risk profile questionnaire in January 2023 that identified her investment objective as 'capital preservation' and her risk tolerance as 'conservative.' She noted on the questionnaire that she has no prior experience with alternative investments and depends on her savings to cover

[NON-COM

healthcare costs and living expenses in retirement. Her financial advisor, Derek Pruitt, is a registered representative at a mid-sized independent broker-dealer in Phoenix. In March 2023, Derek contacted Margaret by phone and told her about a 'crypto lending program' offered through a third-party digital asset platform that promised annual yields of 8.5% on deposited USD Coin, a stablecoin. Derek described the product as 'basically like a high-yield savings account but backed by crypto,' and told Margaret that because USDC is pegged to the U.S. dollar, 'there's really no risk of losing your principal.' Derek did not disclose that the platform had no deposit insurance, that the yield-bearing accounts had been the subject of regulatory scrutiny similar to enforcement actions taken against BlockFi and Celsius, or that the platform's terms of service allowed it to rehypothecate customer assets. He also did not disclose that he would receive a 1.2% referral fee from the platform for each customer he onboarded. In April 2023, Margaret transferred \$95,000 from her IRA - approximately 31% of her total investable assets - into the crypto lending product after Derek assisted her with the rollover paperwork. By August 2023, the platform suspended all withdrawals citing 'liquidity constraints,' and by October 2023 it filed for bankruptcy protection. Margaret's \$95,000 became illiquid and subject to bankruptcy proceedings, with recovery estimates from the trustee projecting that unsecured creditors would receive between 15 and 40 cents on the dollar. Margaret contacted Derek seeking an explanation, and he told her that 'crypto markets are unpredictable and there are no guarantees in investing,' a statement directly contradicting his earlier assurances about principal safety.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pruitt's conduct involves multiple serious regulatory violations across several frameworks.

****Regulation Best Interest (Reg BI) - 17 CFR § 240.15l-1:****

Reg BI requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the financial or other interest of the broker-dealer or associated person ahead of the retail customer. Derek violated several component obligations:

1. ***Care Obligation (§ 240.15l-1(a)(2)(ii)):*** Derek was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended strategy and to have a reasonable basis to believe the recommendation was in Margaret's best interest given her profile. Margaret's documented conservative risk tolerance, capital preservation objective, age (74), income dependency on savings, and zero prior alternative investment experience made a crypto yield product representing 31% of her investable assets wholly inappropriate. The crypto lending product exposed her to platform insolvency risk, rehypothecation risk, regulatory risk, and complete illiquidity - risks fundamentally inconsistent with her needs.
2. ***Conflict of Interest Obligation (§ 240.15l-1(a)(2)(iii) and (iv)):*** Derek received a 1.2% referral fee from the platform - a material conflict of interest that he was required to disclose and mitigate. Instead, he concealed it entirely. This constitutes a direct violation of the disclosure and conflict-mitigation prongs of Reg BI.
3. ***Disclosure Obligation (§ 240.15l-1(a)(2)(i)):*** Derek was required to disclose all material facts relating to

the scope and terms of the recommendation, including conflicts of interest and material risks. He failed to disclose the referral fee, the absence of deposit insurance, the platform's asset rehypothecation practices, and the ongoing regulatory scrutiny of yield-bearing crypto accounts.

****FINRA Rules - Suitability and Related Obligations:****

Although Reg BI now governs retail customer recommendations, FINRA Rule 2111 (Suitability) and its reasonable-basis, customer-specific, and quantitative prongs remain instructive and enforceable in the context of FINRA-member broker-dealers. Derek failed all three prongs: he lacked a reasonable basis to recommend the product (no due diligence on platform solvency), the recommendation was not suitable for this specific customer, and assisting in the rollover of 31% of retirement assets into a single illiquid crypto product may constitute excessive concentration. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by Derek's affirmative misrepresentation that the product carried 'no risk of losing principal.'

****SEC Digital Asset Framework (April 2019) and Howey Test:****

The yield-bearing crypto lending product almost certainly qualifies as a security under the Howey test: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The 8.5% annual yield was generated by the platform's lending and trading activities - i.e., the efforts of the platform operators, not the investor. The SEC has taken enforcement actions against materially identical products at BlockFi (settled February 2022 for \$100 million) and Celsius (sued July 2023), confirming that such products are securities. If the product was an unregistered security, recommending it to retail clients compounds Derek's violations, as the broker-dealer may also face liability under Exchange Act § 5 for facilitating the sale of unregistered securities.

****Investment Advisers Act § 206 (Antifraud):****

If Derek is deemed to be providing investment advice (as opposed to purely brokerage services), Section 206(1) and 206(2) of the Investment Advisers Act prohibit any investment adviser from employing any device, scheme, or artifice to defraud, or engaging in any transaction that operates as a fraud upon a client. Derek's affirmative misrepresentation that the product was akin to a 'high-yield savings account' with no principal risk, combined with his concealment of the referral fee, would constitute fraud under this standard.

****Exchange Act § 10(b) and Rule 10b-5:****

Derek's affirmative misstatements - that the product was 'basically like a savings account' and carried 'no risk of losing principal' - and his material omissions regarding the referral fee, rehypothecation, lack of insurance, and regulatory risk constitute actionable misrepresentations and omissions in connection with the purchase of a security, violating Exchange Act § 10(b) and Rule 10b-5.

****CFTC Jurisdiction Considerations:****

To the extent USDC or associated derivatives are characterized as commodities or commodity interests, the CFTC may assert concurrent jurisdiction. However, SEC jurisdiction is more directly implicated given the yield/profit-sharing structure.

****Elder Financial Exploitation:****

MAGNIFYING the severity of these violations is Margaret's status as a 74-year-old retiree. FINRA has issued explicit guidance (Regulatory Notice 07-43, 12-25, and the Senior Safe Act framework) requiring

heightened scrutiny when recommending complex or illiquid products to senior investors who depend on their savings for living expenses and healthcare. Derek's conduct - cold-calling a senior widow, misrepresenting risk, concealing compensation, and facilitating the liquidation of 31% of her retirement savings into a bankrupt crypto platform - represents a paradigmatic case of elder financial exploitation.

****Likely Regulatory Outcome:****

Derek faces potential enforcement action by the SEC (Reg BI violations, § 10(b) fraud), FINRA (Rules 2010, 2111, and supervision failures), and state securities regulators under NASAA's Model Rule on unregistered securities. His broker-dealer faces supervisory liability under Exchange Act § 15(b) and FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations. Margaret would likely have a viable FINRA arbitration claim for compensatory damages (the full \$95,000 less any bankruptcy recovery), punitive damages in states permitting them for elder abuse, and possibly attorneys' fees under applicable elder financial abuse statutes. Derek's registration could be suspended or revoked, and he may face civil monetary penalties and disgorgement of the referral fees received.

Hypothetical 42

[NON-COM

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Kowalski is a 79-year-old retired schoolteacher living in Scottsdale, Arizona. She has a fixed income consisting of a \$1,840 monthly Social Security payment and a small pension of \$620 per month from the Maricopa County school district. Her total investable assets are approximately \$214,000, held primarily in a conservative bond ladder and a money market account. She owns her home outright and has no mortgage debt. Her investment objective, as documented on her account opening forms from 2019, is capital preservation with modest income generation. She has no prior experience with stocks beyond a small inherited mutual fund position, and she has never purchased any cryptocurrency or digital asset of any kind. She rated herself as having a 'low' risk tolerance on her most recent client profile update in March 2022.

In September 2022, Margaret's financial advisor, Derek Holt, a registered representative at Pinnacle Wealth Strategies in Scottsdale, began calling her repeatedly after attending a two-day crypto investment conference in Las Vegas. During a series of four phone calls over three weeks, Derek told Margaret that 'crypto is the new savings account' and that a product called the Meridian Digital Yield Fund - an unregistered pooled vehicle that accepted customer crypto deposits and promised annualized returns of 9.4% by lending those deposits to institutional borrowers - was 'basically a CD but way better.' Derek did not explain that the fund had never registered any offering with federal regulators, that its promised yields were generated through unsecured lending to unnamed counterparties, that investor deposits were commingled and not insured, or that the fund's operators had no obligation to return principal on demand. He told Margaret the investment was 'low risk' and 'perfect for someone your age who needs income.' He also minimized the volatility of the underlying crypto assets by telling her that the fund 'holds stable assets' without disclosing that a portion of the fund's collateral consisted of illiquid altcoins.

In October 2022, Derek recommended Margaret liquidate \$95,000 of her bond ladder - nearly 44% of her total investable assets - and transfer those funds into the Meridian Digital Yield Fund. Margaret, trusting Derek's characterization and his professional credentials, agreed. Derek earned a referral commission of approximately \$3,800 from Meridian's operators for directing her funds to the product. He did not disclose this compensation arrangement to Margaret at the time of the recommendation.

By February 2023, the Meridian Digital Yield Fund had suspended all withdrawals, citing 'liquidity constraints resulting from adverse market conditions.' Margaret received a notice that her account was frozen and that the fund's management was 'evaluating restructuring options.' As of the date of the hypothetical, Margaret has received no return of principal and has collected only two monthly yield payments totaling \$1,489 before the suspension. Her \$95,000 investment is effectively inaccessible and may be substantially or entirely lost. Margaret has contacted Pinnacle Wealth Strategies three times requesting an explanation and has received no substantive response.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) - Care Obligation and Conflict of Interest Obligation****

Under Reg BI (Exchange Act Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time of a recommendation, without placing the firm's or representative's financial interest ahead of the customer's. Derek's recommendation to Margaret fails the Care Obligation on multiple independent grounds. First, Margaret's documented profile - age 79, fixed income, capital preservation objective, low risk tolerance, no crypto experience - made the recommendation of an unregistered crypto yield product patently unsuitable. Liquidating 44% of her total investable assets and concentrating them in a single illiquid, unregistered vehicle with no SIPC protection and no regulatory oversight is the antithesis of capital preservation. Second, Derek's undisclosed \$3,800 referral commission from Meridian's operators constitutes a material conflict of interest that was required to be disclosed and mitigated under Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)). Failure to disclose this compensation before the recommendation was made is an independent violation.

****2. Investment Advisers Act §206 - Fiduciary Duty****

If Derek or Pinnacle Wealth Strategies is dually registered or if the relationship is characterized as advisory, §206(1) and §206(2) of the Investment Advisers Act impose a broad fiduciary duty prohibiting any device, scheme, or artifice to defraud a client and any conduct that operates as a fraud or deceit. Characterizing an unregistered, illiquid, yield-generating crypto pooled vehicle as 'basically a CD' and 'low risk' to an elderly client with a capital preservation objective constitutes a fraudulent misrepresentation and a material omission. The non-disclosure of the referral commission would also violate the fiduciary duty of loyalty under §206.

****3. SEC Digital Asset Framework (2019) and the Howey Test****

The Meridian Digital Yield Fund almost certainly constitutes a security under the Howey test: investors contribute money (or crypto convertible to money) into a common enterprise with a reasonable expectation

of profits derived from the managerial efforts of the fund's operators. The promised 9.4% annualized yield generated by third-party lending decisions confirms the 'efforts of others' prong. Because the fund was never registered as a securities offering with the SEC, recommending it to any investor - let alone a vulnerable elderly retail customer - exposes Derek and Pinnacle to liability for facilitating the offer or sale of an unregistered security under Securities Act §5. This mirrors enforcement patterns seen in the SEC's actions against BlockFi (settled February 2022, \$100 million penalty), Celsius Network, and Gemini/Genesis's Earn program, all of which were found to have offered unregistered securities through yield-bearing crypto deposit products.

****4. Exchange Act §10(b) and Rule 10b-5****

Derek's affirmative misrepresentations - that the fund 'holds stable assets,' is 'basically a CD,' and is 'low risk' - and his material omissions regarding the fund's unregistered status, the unsecured nature of lending, the illiquidity risk, and his own undisclosed compensation constitute a manipulative or deceptive device in connection with the purchase or sale of a security under §10(b) and Rule 10b-5. The scienter element is supported by Derek's attendance at an industry conference where the risks of such products were likely discussed, and by the implausibility of a financial professional genuinely believing a 9.4% annualized crypto yield product carries risk comparable to a certificate of deposit.

****5. CFTC Jurisdiction Considerations****

To the extent the Meridian Digital Yield Fund's collateral included commodity-based crypto assets (e.g., Bitcoin or Ether, which the CFTC has asserted are commodities), the CFTC may assert concurrent jurisdiction over the fraudulent representations made in connection with the fund under the Commodity Exchange Act §6(c) and CFTC Rule 180.1, which broadly prohibit fraud in connection with commodity transactions.

****6. FINRA Rules - Suitability and Know Your Customer****

Under FINRA Rule 2111 (still operative for non-Reg BI covered transactions and as an interpretive baseline), a registered representative must have a reasonable basis to believe a recommendation is suitable for the particular customer based on the customer's investment profile. Recommending concentration of 44% of a 79-year-old capital-preservation investor's assets in an unregistered crypto yield vehicle fails suitability analysis on every dimension: risk tolerance, time horizon, liquidity needs, financial situation, and investment objectives. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by the undisclosed commission and the misleading characterizations of the product.

****7. Senior Investor Protections****

Financial exploitation of seniors triggers additional regulatory scrutiny. FINRA Rule 4512 requires firms to make reasonable efforts to obtain the name of a trusted contact person for senior accounts. FINRA Rule 2165 permits (and in many circumstances effectively requires) firms to place temporary holds on disbursements where financial exploitation of a senior is suspected. Margaret's age, fixed-income dependence, lack of sophistication, and the advisor's repeated telephone solicitation pattern are hallmarks of targeted senior exploitation that would attract regulatory and potentially criminal scrutiny.

****Likely Regulatory Outcome:****

Derek Holt and Pinnacle Wealth Strategies face exposure to SEC enforcement for facilitating the offer and

sale of unregistered securities and for fraudulent misrepresentation under §10(b)/Rule 10b-5; FINRA disciplinary proceedings including potential bar, suspension, and fines; state securities regulator actions under Arizona's securities laws; and private civil liability to Margaret for rescission of the transaction and damages. The undisclosed referral commission independently supports a disgorgement claim. The firm faces supervisory liability for failing to implement adequate procedures to detect and prevent unsuitable recommendations of unregistered crypto products to retail customers, particularly senior investors. Margaret's best civil remedy is likely a FINRA arbitration claim seeking rescission of the \$95,000 investment plus consequential damages, interest, and attorneys' fees.

Hypothetical 43

[NON-COM]

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, opened an investment account in February 2023 with financial advisor Derek Paulson at a mid-sized regional broker-dealer. Margaret had approximately \$210,000 in total investable assets, consisting almost entirely of her retirement savings accumulated over 34 years of teaching. Her monthly income was \$2,100 from Social Security and a small pension. She had no other significant assets and no earned income. During the account opening process, Margaret explicitly told Derek that she needed her savings to last through retirement, that she was 'very nervous about losing money,' and that her primary goal was capital preservation with modest income generation. She also mentioned she had never owned stocks, knew nothing about cryptocurrency, and had heard 'scary things' about it on the news. Derek acknowledged her concerns verbally but recorded her risk tolerance on the internal account form as 'moderate' rather than 'conservative,' later explaining to a colleague that 'moderate opens up more product options.' In March 2023, Derek recommended that Margaret allocate \$63,000 - roughly 30% of her total savings - into a basket of digital asset products. Specifically, he directed \$28,000 into a crypto yield account offered through a third-party platform promising 8.5% annual returns by lending her assets to institutional borrowers, \$20,000 into a token tied to a Layer-2 blockchain project that Derek described as 'the next Ethereum,' and \$15,000 into a fund holding a mix of altcoins including tokens that had launched within the prior 12 months. Derek told Margaret the yield account was 'basically like a high-yield savings account but better' and did not explain that her assets would not be insured, that the platform had faced prior scrutiny from state regulators, or that the underlying loans were uncollateralized. He provided no written disclosure about the speculative nature of the altcoin fund or the token investment. By November 2023, the Layer-2 token had declined approximately 74% in value, several of the altcoins in the fund had become effectively worthless following project failures, and the yield account platform had suspended withdrawals amid a liquidity crisis, leaving Margaret unable to access \$28,000 of her savings. Her total crypto-related losses exceeded \$51,000, representing nearly 24% of her lifetime savings. Margaret filed a written complaint with the broker-dealer in December 2023, stating she never understood the risks and would never have agreed to the investments had they been properly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Paulson's conduct presents multiple serious regulatory violations across several overlapping frameworks.

1. Regulation Best Interest (Reg BI) - Care Obligation (Exchange Act Rule 15l-1)

Reg BI requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the firm's or advisor's financial interest ahead of the customer's. The Care Obligation specifically requires the advisor to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Margaret's profile - 71 years old, fixed income of \$2,100/month, \$210,000 in total retirement assets, no other income, explicit statement of capital preservation goals, no investment experience, and expressed fear of losses - unambiguously indicates an extremely low risk tolerance and a conservative investment objective. Allocating 30% of her life savings into speculative digital assets, including newly launched tokens and an unregistered yield product, cannot satisfy any reasonable-basis analysis. Derek's manipulation of the risk tolerance field from 'conservative' to 'moderate' to 'open up product options' is direct evidence that he knew the recommendation would not survive scrutiny under her actual profile and deliberately falsified records to circumvent that analysis. This is an aggravating factor that transforms a suitability failure into potential fraud.

2. Investment Advisers Act Section 206 - Antifraud Provisions

To the extent Derek or his firm exercised any discretionary or advisory function, Section 206(1) and (2) of the Investment Advisers Act prohibit any device, scheme, or artifice to defraud clients and any transaction or practice that operates as a fraud or deceit. Describing an uninsured, uncollateralized crypto lending product as 'basically like a high-yield savings account' is a materially misleading statement. Omitting that the platform had faced prior state regulatory scrutiny and that withdrawals could be suspended is an omission of material fact. These misrepresentations and omissions, made in connection with an investment recommendation, constitute a violation of the antifraud standard applicable to advisers and, depending on the structure of the relationship, potentially Exchange Act Section 10(b) and Rule 10b-5 as well.

3. SEC Digital Asset Framework (2019) and Howey Test Application

The SEC's 2019 Digital Asset Framework applies the Howey test to determine whether a digital asset constitutes a security: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The yield account product - which pooled Margaret's funds, promised fixed returns from institutional lending activity managed by the platform, and exposed her to platform-level credit and liquidity risk - closely resembles products like BlockFi's Bitcoin Interest Accounts and Celsius's yield accounts, both of which the SEC determined were unregistered securities offerings. Recommending an unregistered security to a retail investor without disclosure of its registration status, risks, and the absence of investor protections is itself a violation, and the broker-dealer's failure to conduct adequate due diligence on a third-party platform with known regulatory history compounds the firm's supervisory liability.

****4. FINRA Rules - Suitability and Know Your Customer****

FINRA Rule 2111 (Suitability) requires that a member firm or associated person have a reasonable basis to believe a recommended transaction is suitable for the customer based on the customer's investment profile. FINRA Rule 2090 (Know Your Customer) requires members to use reasonable diligence to know and retain essential facts about every customer. Derek's deliberate mischaracterization of Margaret's risk tolerance as 'moderate' instead of 'conservative' is a direct violation of both rules. FINRA has issued guidance specifically addressing digital asset recommendations, making clear that crypto assets are generally high-risk, speculative instruments inappropriate for customers with capital preservation objectives or limited risk capacity. The recommendation of newly launched altcoins with no established track record to a 71-year-old retiree on a fixed income is facially unsuitable.

****5. Disclosure Failures****

Derek failed to provide any written disclosures about: (a) the speculative and illiquid nature of the investments; (b) the lack of FDIC or SIPC insurance on the yield account; (c) the platform's prior regulatory issues; (d) the uncollateralized nature of the lending; or (e) the volatility profile of newly launched tokens. These omissions independently support fraud claims under both the securities laws and common law.

****6. Supervisory Liability****

The broker-dealer faces independent liability under FINRA Rule 3110 for failure to supervise. The falsification of account records - specifically the risk tolerance field - is a red flag that a reasonable supervisory system should have detected, particularly given the client's age, the size of the allocation, and the speculative nature of the products involved.

****Likely Regulatory Outcome****

This scenario would likely result in: (1) FINRA enforcement action against Derek for suitability violations and potential falsification of records, with possible suspension or bar; (2) SEC referral for potential fraud and unregistered securities violations related to the yield product; (3) FINRA action against the broker-dealer for supervisory failures; (4) customer restitution claim through FINRA arbitration, with strong likelihood of award given the documented misrepresentation and clear profile mismatch; and (5) potential state securities enforcement action. The falsification of the risk tolerance field is particularly damaging and could support a finding of willful misconduct, elevating sanctions significantly beyond a standard suitability failure.

Hypothetical 44

Topic: failure_to_know_customer | Difficulty: medium

Fact Pattern

Margaret Holliday is a 71-year-old retired schoolteacher living in Tulsa, Oklahoma. She receives a fixed monthly pension of \$2,100 and Social Security payments of \$1,450 per month, totaling approximately \$42,600 in annual income. Her total investable savings amount to \$187,000, held primarily in a low-risk bond ladder and a money market account. When Margaret opened her brokerage account in March 2022, she completed a new account form indicating her investment objective as 'capital preservation,' her risk

[NON-COM

tolerance as 'conservative,' and her time horizon as 'less than 3 years' because she intended to use a portion of the funds to cover anticipated long-term care costs for herself and her husband, who has early-stage Alzheimer's disease. She had no prior experience with any investment more complex than a certificate of deposit. In September 2022, her financial advisor, Derek Pollman at a mid-sized independent broker-dealer, called Margaret after attending an internal sales conference that highlighted a new high-yield crypto lending product being offered through a third-party digital asset platform. The product promised annualized yields of 9.5% by lending customer assets to institutional crypto borrowers, with balances held in Bitcoin and Ethereum rather than FDIC-insured deposits. Derek told Margaret the product was 'basically like a high-yield savings account but better' and emphasized the 9.5% return without discussing volatility, the uninsured nature of the deposits, the illiquidity provisions that could lock funds for 30 to 90 days, or the fact that the underlying assets could decline dramatically in value. Derek did not review Margaret's new account form before the call and later acknowledged in internal messages that he 'didn't really think about her age or the care situation.' Margaret invested \$55,000 - roughly 29% of her total savings - into the product in October 2022. By January 2023, the platform had suspended all withdrawals following a liquidity crisis, and Margaret's \$55,000 was frozen. Her husband's care facility required a \$48,000 deposit the following month, which Margaret could not access, forcing her to take an emergency personal loan at 14% interest. The platform later entered bankruptcy proceedings, and recovery estimates for customers were placed at 20 to 40 cents on the dollar.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pollman's conduct represents a serious and multi-layered regulatory violation that would likely result in significant disciplinary action and civil liability.

****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1):****

Reg BI, which became effective June 30, 2020, requires broker-dealers to act in the best interest of retail customers at the time a recommendation is made, without placing the firm's or advisor's financial interest ahead of the customer's interest. The Care Obligation specifically requires that a broker-dealer: (1) understand the potential risks, rewards, and costs of a recommended security or strategy; (2) have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile; and (3) not place the financial or other interest of the firm ahead of the customer's interest. Derek failed all three prongs. He did not disclose the volatility of crypto assets, the uninsured and unregulated nature of the product, the liquidity lockup provisions, or the counterparty risk inherent in crypto lending platforms. He characterized the product misleadingly as 'basically like a high-yield savings account,' which constitutes a material misrepresentation.

****Failure to Know the Customer:****

FINRA Rule 2090 requires that every member use reasonable diligence to know and retain essential facts about each customer. Derek explicitly acknowledged he did not review Margaret's new account form before recommending the product. Margaret's documented profile - conservative risk tolerance, capital preservation objective, short time horizon, fixed income, and specific liquidity need tied to a family care obligation - was diametrically opposed to the characteristics of a volatile, illiquid, uninsured crypto lending product. This failure to know the customer is not merely a procedural lapse; it caused direct and

foreseeable financial harm.

****FINRA Rule 2111 (Suitability - legacy standard for context and institutional cross-reference):****

Although Reg BI supersedes Rule 2111 for retail customers in many respects, Rule 2111 continues to apply to non-retail customers and reinforces the analytical framework. Under either standard, recommending a speculative, illiquid crypto product to a 71-year-old retiree with capital preservation objectives and an imminent six-figure liquidity need would fail any reasonable suitability analysis.

****Investment Advisers Act §206 (Anti-Fraud):****

If Derek were operating under an advisory agreement rather than solely as a registered representative, §206(1) and §206(2) of the Investment Advisers Act would further prohibit any device, scheme, or artifice to defraud a client, and any transaction or practice that operates as a fraud or deceit. Describing an uninsured, highly volatile crypto lending product as equivalent to a savings account is precisely the type of misleading characterization contemplated by §206.

****Exchange Act §10(b) and Rule 10b-5:****

Derek's affirmative misrepresentation that the product was 'basically like a high-yield savings account' and his omission of material facts - including the crypto lending platform's liquidity risks, the lockup provisions, and the uninsured nature of deposits - could independently support a §10(b)/Rule 10b-5 claim for securities fraud, provided the crypto lending product qualifies as a security. Under the Howey test (an investment of money in a common enterprise with an expectation of profits from the efforts of others), yield-bearing crypto lending products of this type would very likely be deemed securities, as enforcement actions against comparable platforms (BlockFi, Celsius, Gemini Earn/Genesis) have demonstrated.

****CFTC Considerations:****

To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act, there may be overlapping CFTC jurisdiction, though the primary exposure here is under the securities laws given the yield product's structure.

****Crypto-Specific Enforcement Precedent:****

The SEC has brought enforcement actions against multiple crypto yield platforms for offering unregistered securities - including a \$100 million settlement with BlockFi in February 2022 and actions against Celsius and the Gemini Earn/Genesis program. These enforcement actions confirm that yield-bearing crypto lending products are treated as securities. Derek recommending an unregistered product of this type to a retail customer compounds the violation.

****SEC Digital Asset Framework (2019):****

The SEC's 2019 framework for analyzing whether digital assets constitute investment contracts under Howey confirms that the economic reality of a yield-bearing crypto product - where customers provide funds expecting returns generated by a third-party platform's lending activity - satisfies each Howey prong. Derek had an obligation to understand this regulatory landscape before recommending the product.

****Likely Regulatory Outcome:****

Derek and his broker-dealer face potential FINRA disciplinary proceedings for violations of Rules 2090,

2010, and Reg BI; possible SEC enforcement for recommending an unregistered security and for material misrepresentations under Rule 10b-5; and private civil liability to Margaret for her losses. The broker-dealer's supervisory failures - including the absence of any review mechanism that would have flagged the mismatch between Margaret's profile and this recommendation - create additional liability under FINRA Rule 3110. Given the severity of harm, Margaret's age and vulnerability, and the advisor's documented indifference to her profile, regulators would likely seek suspension or bar of Derek's registration, significant financial penalties, and mandatory restitution of the \$55,000 plus consequential damages from the emergency loan.

Hypothetical 45

[NON-COM]

Topic: *alternative_investments_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher from Baton Rouge, Louisiana, met with her financial advisor, Derek Fontaine, in March 2022. Margaret had accumulated \$310,000 in retirement savings, held primarily in a conservative mix of Treasury bonds and a money market account. She had described herself on her intake forms as having a 'low' risk tolerance, with a primary investment objective of capital preservation and income generation to supplement her \$1,850 monthly Social Security check. Margaret had no prior experience with cryptocurrencies, had never opened a brokerage account before working with Derek, and had explicitly told him during their first meeting that she was 'terrified of losing money' and could not afford any significant losses because she had no other income sources and no pension. Derek had been an independent investment advisor for six years and had recently become enthusiastic about crypto-based yield products after attending an industry conference in Las Vegas in January 2022. In April 2022, Derek recommended that Margaret move \$95,000, roughly 30% of her total retirement savings, into two products: first, \$50,000 into a high-yield crypto lending account offered through a platform called 'YieldMax Digital,' which promised an 8.5% annual return generated by lending Margaret's deposited funds to institutional crypto borrowers; and second, \$45,000 into a basket of mid-cap altcoins including tokens called LUNA, AVAX, and a smaller position in a newly launched DeFi governance token called ARBX. Derek told Margaret that the YieldMax account was 'basically like a savings account but better' and that the altcoin basket was 'a small diversification play with huge upside.' He did not provide Margaret with any written disclosure about the risks of crypto lending platforms, did not explain that the YieldMax product was not insured by the FDIC or any government agency, and did not inform her that several similar lending platforms had recently faced regulatory scrutiny or suspended customer withdrawals. Derek earned a 1.2% referral fee from YieldMax Digital for each dollar he directed to the platform and received a \$500 flat fee from the ARBX token project for each new investor he onboarded. He did not disclose either of these compensation arrangements to Margaret. By November 2022, YieldMax Digital had frozen all customer withdrawals following insolvency proceedings, and Margaret's \$50,000 deposit was effectively inaccessible and likely unrecoverable. The LUNA token had collapsed to near zero following the Terra ecosystem implosion in May 2022, and the ARBX token had lost 94% of its value. Margaret's \$45,000 altcoin position was worth approximately \$2,700. In total, Margaret lost over \$92,000, representing nearly all of the \$95,000 Derek had recommended she invest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine almost certainly violated multiple applicable standards governing the conduct of investment advisers and broker-dealers recommending investments to retail customers.

****1. Regulation Best Interest (Reg BI) - 17 C.F.R. § 240.15l-1)****

If Derek was acting in a broker-dealer capacity at the time of these recommendations, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommended securities, and to have a reasonable basis to believe the recommendation was in Margaret's best interest given her specific investment profile. Margaret's profile - 71 years old, fixed income, low risk tolerance, capital preservation objective, no crypto experience, explicit fear of loss - was fundamentally incompatible with a 30% allocation to volatile altcoins and an uninsured crypto lending product. No reasonable basis existed for these recommendations given her circumstances, and Derek failed the Care Obligation on its face.

****2. Investment Advisers Act § 206 - Fiduciary Duty****

If Derek was acting as an investment adviser, he owed Margaret a full fiduciary duty including duties of loyalty and care under Investment Advisers Act § 206(1) and § 206(2). The undisclosed compensation arrangements - the 1.2% referral fee from YieldMax Digital and the \$500 ARBX onboarding payment - created material conflicts of interest that Derek was required to fully disclose and either eliminate or obtain informed consent to. His failure to disclose these conflicts while recommending the very products generating those undisclosed payments is a textbook breach of the duty of loyalty and likely constitutes fraud under § 206(1) (willful misstatement or omission of material fact) and § 206(2) (negligent or intentional scheme to defraud). In *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963), the Supreme Court confirmed that investment advisers owe a fiduciary duty requiring full and fair disclosure of all material conflicts.

****3. Howey Test and the Nature of the Products****

Under *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946), and the SEC's 2019 Digital Asset Framework, the YieldMax yield product and the ARBX governance token would likely qualify as investment contracts and therefore securities. YieldMax's product involved investors depositing funds into a pooled lending arrangement with the expectation of profit derived from the managerial efforts of YieldMax's operators - satisfying all four Howey prongs: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profit, (4) derived from the efforts of others. This is consistent with enforcement actions taken against comparable products including BlockFi (settled with SEC for \$100 million in February 2022), Celsius, and Gemini/Genesis, all of which faced SEC and state enforcement for offering unregistered yield-bearing crypto accounts. If YieldMax was offering an unregistered security, Derek's recommendation to invest in it may also expose him to liability under Exchange Act § 15(a) for facilitating transactions in unregistered securities.

****4. FINRA Suitability - Rule 2111 (if applicable as registered representative)****

If Derek held a FINRA registration, Rule 2111 required him to have a reasonable basis for believing a recommended transaction was suitable for the customer based on reasonable diligence. His

recommendations fail suitability analysis on multiple dimensions: (a) reasonable-basis suitability - no reasonable diligence would support recommending an uninsured, illiquid crypto lending product or highly speculative altcoins to any retail customer without significant crypto risk disclosures; (b) customer-specific suitability - Margaret's age, income, risk tolerance, and investment objectives categorically contraindicate speculative crypto positions; and (c) quantitative suitability - a 30% concentration in illiquid, speculative crypto products for a retiree on fixed income is excessive regardless of any other factor.

****5. CFTC Jurisdiction Considerations****

Some of the altcoins recommended (AVAX and similar tokens that do not qualify as securities) may fall under CFTC jurisdiction as commodities under the Commodity Exchange Act § 1a. The CFTC has taken the position that Bitcoin and Ether are commodities, and similar treatment may apply to other fungible digital tokens without governance or profit-sharing features. While this does not directly establish Derek's personal liability to Margaret under CFTC rules, it underscores the regulatory complexity he failed to navigate and disclose.

****6. Disclosure Failures****

Derek's failure to provide written risk disclosures, failure to explain the absence of FDIC insurance, failure to disclose conflicts of interest, and affirmative misrepresentation of the YieldMax account as 'basically like a savings account' likely constitute material misstatements and omissions actionable under Exchange Act § 10(b) and Rule 10b-5, as well as Investment Advisers Act § 206.

****Likely Regulatory Outcome:****

Derek faces exposure to SEC enforcement for fiduciary breaches and material omissions, potential state securities regulator action for unsuitable recommendations, FINRA disciplinary proceedings if registered (including possible bar), civil liability to Margaret under state law theories of negligence and breach of fiduciary duty, and potential disgorgement of the undisclosed compensation received. The losses Margaret suffered - exceeding \$92,000 - would likely serve as the basis for restitution in any regulatory settlement or arbitration proceeding. This scenario closely mirrors the regulatory and factual circumstances underlying the BlockFi, Celsius, and Gemini/Genesis enforcement actions, where regulators specifically cited the marketing of yield products as low-risk to unsophisticated retail customers as an aggravating factor.

Hypothetical 46

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Margaret Okonkwo, a 61-year-old retired school administrator living in Columbus, Ohio, approached her financial advisor, Derek Paulsen, at a mid-sized regional broker-dealer in late 2022. Margaret had accumulated \$480,000 in a rollover IRA following her retirement, and an additional \$55,000 in a taxable savings account. Her stated investment objectives were capital preservation and modest income generation to supplement her pension and Social Security benefits, which together provided approximately \$3,800 per month. Margaret described herself during onboarding as having a conservative risk tolerance, noting that she had no prior experience with speculative investments, had never owned individual stocks, and was

[NON-COM

deeply uncomfortable with the idea of losing principal. She specifically told Derek that she needed her savings to last at least 25 more years and that she could not afford significant losses.

Despite this profile, Derek began pitching Margaret on a crypto-backed yield product offered through a private digital asset lending platform that was not listed on any national securities exchange and had no secondary market for redemptions. The product, marketed internally as the 'Digital Income Vault,' promised annualized yields of between 9% and 12%, generated by lending customers' deposited funds to institutional crypto borrowers. Derek told Margaret that the returns were 'basically like a high-yield savings account, but better,' and described the product as 'low risk because it's backed by crypto collateral.' He did not explain that the collateral consisted of volatile digital assets whose values could drop sharply, that the platform had no federal deposit insurance, that investors could not withdraw funds on demand, and that redemption requests were subject to a 90-day lockup window that could be extended indefinitely at the platform's discretion.

In January 2023, Derek recommended that Margaret transfer \$210,000 from her rollover IRA into the Digital Income Vault. He processed the transaction without providing Margaret any written disclosure about the lockup period, the nature of the collateral, or the platform's financial condition. Margaret received two monthly interest distributions totaling approximately \$3,900 before the platform suspended all withdrawals in March 2023, citing 'extraordinary market conditions' following the broader crypto market dislocation of late 2022 and early 2023. The platform subsequently entered bankruptcy proceedings, and Margaret's \$210,000 became trapped in the estate with no clear timeline for recovery. Preliminary bankruptcy filings suggested unsecured creditors, including retail depositors like Margaret, might recover between 15 and 40 cents on the dollar.

Internal records later revealed that Derek had received a 3.5% upfront placement fee of approximately \$7,350 on Margaret's investment, a compensation structure that was never disclosed to her. Compliance department records showed that the Digital Income Vault had not been reviewed or approved for recommendation to retail clients, and that a compliance alert flagging the product's illiquidity and unregistered status had been issued firm-wide two months before Derek made his recommendation. Derek had acknowledged receipt of that compliance alert electronically but proceeded with the recommendation anyway.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****Regulation Best Interest (Reg BI) - 17 CFR § 240.15l-1****

Derek's recommendation falls squarely within Reg BI's scope as a specific investment recommendation made to a retail customer in connection with her brokerage account. Reg BI imposes four component obligations: disclosure, care, conflict of interest, and compliance. Derek failed all four.

Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Derek was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommended product and to have a

reasonable basis to believe the recommendation was in Margaret's best interest. A 61-year-old retiree with a conservative risk tolerance, a capital preservation objective, and a 25-year income horizon is among the most clearly unsuitable candidates for an illiquid, unregistered, crypto-collateralized yield product with a discretionary lockup period. The 9-12% yield projection was facially inconsistent with a 'low risk' characterization, and any competent advisor performing reasonable diligence would have identified the total absence of liquidity, the volatility of the underlying collateral, and the platform's unregistered status as disqualifying features for this client.

Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), Derek was required to identify and disclose material conflicts. A 3.5% undisclosed placement fee creating approximately \$7,350 in compensation is a textbook material conflict that must be disclosed and mitigated. Failure to disclose this fee is an independent violation.

Under the Compliance Obligation, the firm failed by not maintaining adequate supervisory procedures to prevent recommendations of unapproved products, and Derek individually failed by ignoring a firm-wide compliance alert he had personally acknowledged.

****Investment Advisers Act § 206 - Antifraud****

To the extent Derek's role included any advisory function, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any fraudulent, deceptive, or manipulative conduct by investment advisers. Characterizing a highly illiquid, unregistered crypto lending product as analogous to a high-yield savings account and omitting material information about lockup terms, collateral composition, and lack of deposit insurance constitutes deceptive conduct under § 206(2), which applies a negligence standard and does not require intent.

****Exchange Act § 10(b) and Rule 10b-5****

Derek's material misrepresentation that the product was 'basically like a high-yield savings account' and his omissions regarding illiquidity, lockup terms, and collateral risk could constitute fraudulent misstatements and omissions in connection with the purchase of a security under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder, provided the Digital Income Vault constitutes a security - which is highly probable.

****Howey Test and Security Status****

The Digital Income Vault almost certainly qualifies as a security under the Howey test (an investment of money in a common enterprise with an expectation of profits derived primarily from the efforts of others). Depositors contributed funds to a pooled lending platform, expected returns from the platform operators' lending activities, and had no control over those operations. The SEC's 2019 Digital Asset Framework confirms this analysis applies to yield-generating crypto products. The SEC's enforcement actions against BlockFi (settled for \$100 million in February 2022), Celsius, Gemini, and Genesis for offering unregistered yield-bearing crypto products directly support the conclusion that the Digital Income Vault was an unregistered security. Recommending an unregistered security to a retail investor without proper disclosure and without the product being registered or exempt from registration creates additional liability exposure for both Derek and the firm.

****FINRA Rules - Suitability and Supervision****

Under FINRA Rule 2111 (suitability, applicable to pre-Reg BI conduct and informing the reasonable-basis analysis), and its successor framework under Reg BI, Derek lacked a reasonable basis for the recommendation. Under FINRA Rule 3110, the firm had an independent supervisory obligation. The firm's failure to enforce its own compliance alert, which specifically flagged this product as unapproved for retail recommendation, constitutes a supervisory failure.

FINRA's 2022 guidance on digital assets explicitly cautioned member firms about recommending illiquid crypto yield products to retail investors without adequate disclosure of lockup risks, collateral volatility, and insolvency risk. Derek's conduct ignored each of these warning areas.

****CFTC Considerations****

To the extent any portion of the Digital Income Vault's collateral or lending activity involved commodity derivatives or leveraged crypto positions, the CFTC may assert concurrent jurisdiction under the Commodity Exchange Act. While the primary analysis here is securities-based, CFTC enforcement in the crypto yield space (including actions against platforms offering leveraged digital asset products without proper registration) could extend to the platform operators and potentially to the firm as an introducing party.

****Likely Regulatory Outcomes****

1. Derek faces individual enforcement action by the SEC and potentially FINRA for Reg BI violations, material misrepresentation, undisclosed conflicts, and recommendation of an unregistered security.
2. The broker-dealer faces firm-level enforcement for supervisory failures under Exchange Act § 15(b) and FINRA Rule 3110, particularly given that Derek's acknowledged compliance alert receipt creates direct evidence of willful disregard of internal controls.
3. Margaret has a private right of action against Derek and the firm under Exchange Act § 10(b)/Rule 10b-5 for material misrepresentation and omission, and may pursue FINRA arbitration for Reg BI violations and breach of supervisory duty.
4. Disgorgement of the \$7,350 placement fee and rescission of the \$210,000 investment are likely remedies sought by regulators, in addition to civil monetary penalties.
5. Derek's registration could be revoked or suspended, and the firm could face enhanced supervisory undertakings.

This scenario is among the clearest possible violations: a conservative retiree, an illiquid unregistered product, material misrepresentations, undisclosed compensation, an acknowledged internal compliance warning, and catastrophic client harm.

Hypothetical 47

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, had accumulated

[NON-COM

approximately \$310,000 in a rollover IRA and a small taxable brokerage account over her 32-year career. Her sole income consisted of a \$1,840 monthly Social Security payment and a modest \$620 monthly pension from the Florida Retirement System. Margaret had explicitly told her advisor, Derek Palumbo, during their initial onboarding meeting in March 2022 that she was 'terrified of losing money' and that her primary goal was capital preservation so she could cover rising medical costs and potential assisted-living expenses. She rated herself as a conservative investor on her new account forms and indicated she had no prior experience with digital assets of any kind. Derek, who had recently begun promoting digital asset products to his book of clients after attending a fintech conference in Las Vegas, met with Margaret in April 2022 and presented her with an opportunity to earn what he described as 'guaranteed interest rates between 8% and 10% annually' through a crypto yield platform called HarborYield - a thinly veiled analogue to the yield-bearing account products then being offered by platforms like BlockFi and Celsius. Derek showed Margaret a one-page marketing brochure with projected annual returns and told her the platform was 'basically like a high-yield savings account but better.' He did not explain that the returns were generated by lending her deposited cryptocurrency to institutional borrowers, that the platform was not FDIC-insured, that the underlying assets were subject to extreme price volatility, or that the yield-bearing accounts were the subject of active regulatory scrutiny as potentially unregistered securities. He also did not disclose that he received a 1.5% referral commission from HarborYield for each client he enrolled. Margaret, trusting Derek completely, agreed to transfer \$95,000 - roughly 31% of her total retirement savings - into the HarborYield platform in May 2022. Derek facilitated the transfer without documenting any updated risk assessment, without preparing a written rationale for how the recommendation served Margaret's stated investment goals, and without flagging the transaction for his branch manager despite its size relative to her total assets. By November 2022, the HarborYield platform had suspended withdrawals citing 'extreme market conditions,' mirroring the freezes enacted by real-world platforms during the crypto market collapse of mid-2022. Margaret's \$95,000 deposit was effectively locked and the underlying crypto assets had declined in value by approximately 62%, leaving her facing a paper loss of roughly \$58,900 with no clear timeline for recovery.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Palumbo committed multiple serious regulatory violations across several overlapping frameworks.

1. REGULATION BEST INTEREST (Reg BI, Exchange Act Rule 15l-1): Reg BI requires broker-dealers to act in the retail customer's best interest at the time of a recommendation, without placing the advisor's financial or other interests ahead of the customer's. Derek's recommendation of a high-risk, illiquid crypto yield product to a 74-year-old capital-preservation investor with limited income and heavy dependence on her savings fails the Care Obligation (Rule 15l-1(a)(2)(ii)), which demands that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest based on her investment profile. Margaret's conservative risk tolerance, fixed-income dependency, age, and explicit capital-preservation objective made an allocation of 31% of retirement savings to an uninsured, speculative crypto yield platform objectively unsuitable. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)) was also violated: Derek received a 1.5% referral commission from HarborYield, creating a material conflict he failed to disclose or mitigate. The Disclosure Obligation (Rule 15l-1(a)(2)(i)) required him to provide full and fair disclosure of all material facts relating to the recommendation, including fees, risks, and conflicts, which he

failed to do.

2. INVESTMENT ADVISERS ACT §206 (ANTIFRAUD): If Derek operated in an advisory capacity - or to the extent any dual-hat analysis applies - Section 206(1) and 206(2) of the Investment Advisers Act prohibit any device, scheme, or artifice to defraud clients, and any course of business that operates as a fraud or deceit. Describing an uninsured, volatile crypto yield product as 'basically like a high-yield savings account but better' constitutes a materially misleading statement. SEC v. Capital Gains Research Bureau (1963) established that advisers must disclose all conflicts, including referral arrangements. The undisclosed 1.5% commission is precisely the type of conflict the antifraud provisions target.

3. HOWEY TEST AND UNREGISTERED SECURITIES CONCERNS (SEC Digital Asset Framework, 2019; Securities Act §2(a)(1)): The HarborYield yield-bearing accounts bear the hallmarks of investment contracts under the Howey test: (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others (the platform's lending and treasury operations). The SEC's enforcement actions against BlockFi (February 2022, \$100 million settlement) and its investigations into Celsius and Gemini Earn/Genesis established that such yield products constitute unregistered securities under the Securities Act. Recommending what is effectively an unregistered security to a retail investor - particularly a vulnerable senior - compounds Derek's liability exposure. His firm may face liability for facilitating the sale of unregistered securities under Securities Act §5.

4. CFTC JURISDICTION: To the extent the crypto assets underlying the HarborYield platform include commodities such as Bitcoin or Ether (which the CFTC has asserted jurisdiction over as commodities under the Commodity Exchange Act), and to the extent derivatives or leveraged positions are involved in the platform's lending operations, CFTC anti-fraud authority under CEA §6(c) and §9(a)(2) may also be implicated. The CFTC has taken the position that fraud-based manipulation in digital commodity spot markets falls within its enforcement mandate.

5. FINRA RULES - SENIOR INVESTOR PROTECTIONS: FINRA Rule 2010 (Standards of Commercial Honor) and FINRA Rule 4512 (Customer Account Information) required Derek to maintain accurate, updated customer information and to document the basis for recommendations. FINRA's Regulatory Notice 22-08 (February 2022) specifically warned firms about the risks associated with crypto asset recommendations to retail investors and the heightened care required. Additionally, FINRA Rule 3241 and firm-level policies on financial exploitation of seniors apply: Margaret's profile - elderly, fixed income, conservative, no digital asset experience - placed her squarely in the protected senior investor category. Derek's failure to escalate the transaction or document a suitability rationale violates supervisory documentation standards under FINRA Rule 4511.

6. ELDER FINANCIAL EXPLOITATION: Many states, including Florida (F.S. §415.1034), impose mandatory reporting obligations and civil liability for financial exploitation of vulnerable adults over age 65. A \$95,000 placement in an illiquid, speculative product generating undisclosed commissions, pitched using misleading comparisons to FDIC-insured savings products, would likely satisfy the elements of financial exploitation under Florida law and trigger reporting obligations that Derek ignored.

7. LIKELY REGULATORY OUTCOME: Regulators would likely find: (a) willful violation of Reg BI's Care

and Conflict of Interest obligations; (b) fraudulent misrepresentation under the antifraud provisions of the Investment Advisers Act and Exchange Act §10(b)/Rule 10b-5 for the misleading 'high-yield savings account' characterization; (c) facilitation of the sale of an unregistered security; (d) supervisory failures by Derek's firm for lack of documentation, failure to flag the transaction, and inadequate training on crypto product risks. Sanctions would likely include disgorgement of commissions earned, civil monetary penalties, suspension or bar from the industry, and restitution to Margaret. Derek's firm would face substantial fines and enhanced supervisory obligations. The fact pattern mirrors real-world enforcement outcomes against firms whose advisors steered senior investors into crypto yield products during 2021-2022 without adequate disclosure or risk assessment.

Hypothetical 48

[NON-COMPLIANT]

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in rural Ohio. Her sole sources of income are a monthly Social Security payment of \$1,840 and a small pension of \$620 per month, totaling roughly \$29,500 annually. She has \$187,000 in a rollover IRA - representing virtually all of her liquid savings accumulated over a 34-year teaching career - and owns her home outright. Margaret has no investment background beyond the state pension system and a savings account she has maintained at a local credit union for decades. When she opened her brokerage account in March 2024, she described her investment goal as 'preserving what I have so I don't run out of money before I die' and explicitly told the onboarding representative she was 'terrified of losing money.' The account opening documents recorded her risk tolerance as 'conservative' and her time horizon as 'short' given her age and fixed-income dependency. Her assigned financial advisor, Derek Callahan, reviewed these documents briefly but did not conduct any follow-up conversation with Margaret about her financial situation, her familiarity with digital assets, or her ability to absorb losses. In July 2024, Derek attended an internal sales conference where a third-party crypto platform was highlighted as a 'high-yield opportunity.' That same week, without reaching out to Margaret or gathering any updated information about her circumstances, Derek called her and recommended she move \$75,000 - approximately 40% of her IRA - into a crypto yield-bearing account product offered through a digital asset platform. He told her the account was 'basically like a high-interest savings account' earning between 8% and 11% annually, paid in a proprietary stablecoin. He did not explain that the platform had no federal deposit insurance, that the yield was generated by lending her assets to institutional borrowers whose creditworthiness was unverified, that the proprietary stablecoin used to pay interest could itself lose value, or that several similar platforms had suspended withdrawals and filed for bankruptcy in recent years. He also did not disclose that his firm received a referral fee for each client enrolled in the product. Margaret, trusting Derek's characterization of the product as safe, transferred \$75,000 from her IRA into the yield account in August 2024. By November 2024, the platform announced a liquidity crisis, froze all withdrawals, and Margaret's balance had declined to approximately \$41,000 due to collateral liquidations and the depreciation of the proprietary stablecoin used to pay her accumulated interest. Margaret lost roughly \$34,000 and has no realistic means of recovering those funds given her fixed income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Callahan committed multiple serious violations across several regulatory frameworks.

****1. Regulation Best Interest (Reg BI) - Care Obligation [Rule 15l-1 under the Securities Exchange Act of 1934]:****

Reg BI requires broker-dealers to act in the best interest of a retail customer at the time a recommendation is made, without placing the firm's or advisor's financial interest ahead of the customer's. The Care Obligation under Reg BI mandates that advisors exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended security or strategy, and have a reasonable basis to believe the recommendation is in the retail customer's best interest based on that customer's investment profile. Derek failed this standard on multiple dimensions. He did not update or verify Margaret's financial profile before making the recommendation, relying on intake documents from months earlier. He recommended an asset class - crypto yield products - that is characterized by extreme volatility, counterparty risk, liquidity risk, and potential total loss, to a customer whose documented profile was conservative, capital-preservation-focused, and entirely dependent on fixed income. A 40% concentration of a retiree's entire liquid net worth in a single speculative digital asset product cannot meet the 'reasonable basis' prong of Reg BI's Care Obligation under any plausible analysis.

****2. Conflict of Interest Disclosure - Reg BI Conflict of Interest Obligation:****

Reg BI also requires broker-dealers to establish policies to identify and disclose material conflicts of interest. Derek's receipt of a referral fee for enrolling clients in the crypto yield platform was a direct material conflict that was never disclosed to Margaret. This is an independent violation of Reg BI's Disclosure Obligation, which requires that all material facts about the recommendation - including compensation arrangements - be disclosed in full and plain language.

****3. Investment Advisers Act Section 206 - Fiduciary Duty (if RIA or dually registered):****

If Derek or his firm is registered as an investment adviser, Section 206 of the Investment Advisers Act of 1940 imposes a federal fiduciary duty requiring advisors to act in clients' best interest, provide full and fair disclosure of all material conflicts, and have a reasonable basis for all recommendations. The undisclosed referral fee and the unsuitable recommendation would constitute both a breach of the duty of loyalty and a breach of the duty of care under Section 206. The SEC has held that recommending products for which the advisor receives undisclosed compensation, without a reasonable basis tied to client needs, constitutes fraud under Section 206(1) and (2).

****4. Application of the Howey Test and SEC Digital Asset Framework (April 2019):****

The yield-bearing account product described - where Margaret deposited crypto assets with a platform, which then lent those assets to third parties and paid returns denominated in a proprietary token - closely resembles the structure scrutinized in SEC enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, and Genesis. Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an investment contract exists where there is (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others. All four prongs are satisfied here: Margaret invested \$75,000, her assets were pooled with those of other depositors in the

platform's lending operations, she expected yield returns, and those returns depended entirely on the platform's management of lending relationships. The SEC's 2019 Digital Asset Framework reinforces that such yield-bearing products are likely securities. Because the platform was not registered as a securities issuer and Derek's firm did not treat the recommendation with the procedural safeguards applicable to securities, Derek may have facilitated the offer and sale of an unregistered security in violation of Securities Act Section 5 and, depending on conduct, Exchange Act Section 10(b) and Rule 10b-5 for material misrepresentations (describing the product as 'basically like a high-interest savings account' when it was not FDIC-insured, not capital-protected, and paid in a depreciating proprietary token).

****5. CFTC Jurisdiction Considerations:****

To the extent the underlying assets involved Bitcoin, Ether, or other commodities as defined under the Commodity Exchange Act, and the platform engaged in leveraged or margined transactions using deposited customer funds, the CFTC may also have concurrent jurisdiction. The CFTC has increasingly asserted authority over crypto commodity derivatives and leveraged yield products, and platforms operating without proper registration may expose recommending advisors to aiding-and-abetting theories.

****6. FINRA Suitability and Know-Your-Customer Rules:****

Under FINRA Rule 2111 (Suitability) and Rule 4512 (Customer Account Information), member firms are required to gather and maintain current, accurate customer profile information and to base all recommendations on that profile. Derek's failure to conduct any follow-up KYC inquiry before recommending a high-risk crypto yield product to a 71-year-old conservative retiree is a textbook Rule 2111 violation. Additionally, FINRA has issued specific guidance warning that crypto asset recommendations to retail customers require heightened diligence, particularly regarding product structure, issuer risk, liquidity risk, and the absence of conventional investor protections. FINRA Rule 2010 (Standards of Commercial Honor) provides an additional basis for a violation given the misleading product characterization and undisclosed compensation.

****7. Material Misrepresentation:****

Derek's characterization of the yield account as 'basically like a high-interest savings account' was materially false and misleading. A high-interest savings account carries FDIC insurance, guaranteed principal, and liquidity on demand. This product had none of those features. This misrepresentation, made in connection with a securities transaction, exposes Derek and his firm to liability under Exchange Act Section 10(b) and Rule 10b-5.

****Likely Regulatory Outcome:****

Derek and his firm face potential SEC enforcement for recommending an unregistered security, material misrepresentation, and Reg BI violations. FINRA could pursue a disciplinary action including suspension, fines, and mandatory restitution. The firm faces supervisory liability if it failed to implement procedures for reviewing crypto product recommendations. Margaret has strong grounds for FINRA arbitration seeking full restitution of the approximately \$34,000 loss plus consequential damages. Given the pattern similarity to BlockFi and Celsius enforcement actions, regulators are likely to treat this as a high-priority matter.

Hypothetical 49

Topic: *illiquid_investments* | Difficulty: *hard*

Fact Pattern

Rosario Mendez, a 58-year-old elementary school teacher in Albuquerque, New Mexico, had accumulated approximately \$210,000 in retirement savings over 30 years, held primarily in a 403(b) account. She had an additional \$18,000 in a personal brokerage account. Rosario was within seven years of her planned retirement date, carried no significant debt, and described herself to her advisor as 'extremely conservative' during her most recent account review in January 2023. Her stated investment objective was capital preservation with modest growth, and she had explicitly told her advisor, Derek Fontaine, that she was 'terrified of losing anything' given her proximity to retirement and her reliance on her pension and Social Security as primary income sources. Fontaine worked as an independent investment advisor operating through a mid-sized registered investment advisory firm in Albuquerque. In March 2023, Fontaine began recommending that Rosario allocate \$45,000 - representing roughly 20% of her total investable assets - into a decentralized finance lending protocol called YieldBridge, which advertised annual percentage yields of between 14% and 22% on deposited stablecoins. Fontaine told Rosario that YieldBridge was 'basically like a savings account but on the blockchain' and that the returns were 'almost guaranteed' because her funds would be backed by over-collateralized crypto loans. He did not explain that YieldBridge had no insurance protections analogous to FDIC or SIPC coverage, that the protocol had no regulatory oversight, that the smart contracts underlying the platform had never been independently audited, and that redemptions were subject to liquidity pool availability - meaning that in periods of market stress, Rosario might be unable to withdraw her funds for weeks or months. Fontaine received a 1.5% referral arrangement through a third-party introducer tied to YieldBridge's operator, which he never disclosed to Rosario. Rosario transferred the \$45,000 from her personal brokerage account to YieldBridge in April 2023. Between June and August 2023, the platform experienced severe liquidity strain following a broader crypto market downturn and a bank run-style withdrawal surge by institutional participants. Withdrawals for retail depositors like Rosario were frozen for approximately 11 weeks. When redemptions reopened in October 2023, Rosario recovered only \$31,200 - a loss of approximately \$13,800, or roughly 31% of her invested principal. Fontaine had not followed up with Rosario during the freeze period and had not flagged the liquidity risk in any client communications prior to or after the investment was made.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine committed multiple serious violations of applicable regulatory standards governing investment advice, customer protection, and conflicts of interest disclosure.

****1. Reg BI - Best Interest Obligation (SEC Release No. 34-86031)****

As a registered investment advisor providing personalized recommendations to a retail customer, Fontaine was subject to Regulation Best Interest under Exchange Act Section 15(k). Reg BI requires that any recommendation to a retail customer reflect the advisor's reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the retail customer's investment profile including age, financial situation, investment experience, risk tolerance, and time horizon.

Rosario's profile - 58 years old, seven years from retirement, self-described as 'extremely conservative,' with capital preservation as her primary objective - directly contradicts any reasonable basis for recommending a 20% allocation into an unaudited, unregistered DeFi yield protocol. The illiquidity risk alone disqualified this product for someone with her profile; the possibility that she could be locked out of her funds during a market stress event posed an existential threat to her retirement timeline. Fontaine's characterization of YieldBridge as 'basically like a savings account' was materially false and compounded the violation.

****2. Investment Advisers Act Section 206 - Anti-Fraud Provisions****

Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any investment advisor from employing any device, scheme, or artifice to defraud a client and from engaging in any transaction, practice, or course of business that operates as a fraud or deceit on any client. Fontaine's failure to disclose (a) the absence of insurance protections, (b) the absence of regulatory oversight, (c) the liquidity freeze risk embedded in the protocol's redemption mechanics, and (d) his undisclosed 1.5% referral compensation constituted material omissions and a fraudulent course of dealing under Section 206. The undisclosed economic incentive to recommend YieldBridge is particularly significant - advisors have an affirmative fiduciary duty to disclose all material conflicts of interest, and a referral fee tied to a product recommendation is squarely within that obligation. See also SEC v. Advisor cases reinforcing that omission of compensation arrangements with product sponsors constitutes fraud under Section 206.

****3. SEC Digital Asset Framework (April 2019) - Howey Test and Security Classification****

The SEC's Framework for 'Investment Contract' Analysis of Digital Assets (April 3, 2019) applies the Howey test to determine whether a digital asset constitutes a security. Under Howey, an investment contract exists where there is (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits (4) derived from the efforts of others. YieldBridge's yield-generating mechanism - pooling user deposits, deploying them through smart contract-automated lending, and distributing returns to depositors - satisfies all four Howey prongs. Depositors like Rosario invested money into a pooled protocol, expected profits in the form of 14-22% APY, and were entirely dependent on the protocol's operators and algorithmic mechanisms for those returns. Recommending an unregistered security to a retail investor without a registered offering exemption creates additional liability exposure under Exchange Act Section 10(b) and Rule 10b-5 for any material misstatements or omissions in connection with the purchase.

****4. CFTC Jurisdiction Considerations****

To the extent that stablecoins used in YieldBridge constitute commodities under the Commodity Exchange Act (7 U.S.C. § 1 et seq.), and to the extent the protocol's leveraged lending structures constitute commodity transactions, the CFTC may assert concurrent jurisdiction over both the platform operator and potentially over advisors who facilitate client participation in unregistered commodity pools. Fontaine's failure to conduct any due diligence on the regulatory classification of YieldBridge's underlying assets further evidences a reckless disregard for applicable standards.

****5. Enforcement Parallels - Unregistered Yield Products****

YieldBridge's structure closely mirrors those of BlockFi (SEC settlement February 2022, \$100 million penalty), Celsius Network (SEC/CFTC/state enforcement 2022-2023), Gemini Earn (SEC charges January

2023), and Genesis Global Capital (SEC charges January 2023). Each of these enforcement actions established that yield-bearing crypto deposit products offered to retail investors constitute securities requiring registration, and that advisors and intermediaries who recommend or facilitate access to such products without registration face liability. Fontaine's referral arrangement with a YieldBridge introducer and his affirmative misrepresentation of the product as equivalent to a savings account aligns him directly with the category of intermediaries targeted in these enforcement sweeps.

****6. Illiquidity Disclosure Failure****

The core illiquidity risk - that redemptions were subject to liquidity pool availability and could be frozen during market stress - was a material fact that a reasonable investor in Rosario's position would have considered critical to her investment decision. Failure to disclose material liquidity constraints constitutes a violation of both the general anti-fraud provisions of Section 206 of the Advisers Act and the disclosure component of Reg BI's Care Obligation. Advisors recommending illiquid or conditionally liquid products to clients with near-term liquidity needs bear a heightened disclosure obligation.

****7. Likely Regulatory Outcome****

Fontaine faces exposure on multiple fronts: (a) SEC enforcement action under Investment Advisers Act Section 206 and Exchange Act Section 10(b) for material omissions, undisclosed conflicts, and facilitation of an unregistered security offering; (b) state securities regulator action under New Mexico's Uniform Securities Act for recommending an unsuitable and unregistered product; (c) FINRA referral if Fontaine holds any dual registration; and (d) private civil liability to Rosario for the \$13,800 loss under rescission theories available under Section 12(a)(1) of the Securities Act for unregistered security offerings. The undisclosed referral compensation is an aggravating factor that regulators would likely treat as grounds for enhanced sanctions, potential disgorgement, and possible bar from the industry.

Hypothetical 50

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in Baton Rouge, Louisiana. Her entire investable portfolio consists of approximately \$148,000, which represents her life savings accumulated over a 35-year teaching career. Her monthly income is limited to a Social Security payment of \$1,640 and a modest pension of \$890, totaling roughly \$2,530 per month. Margaret has no other significant assets, owns her home outright, and has no dependents. When she opened her brokerage account in early 2022, she completed a customer profile form indicating she had 'low' risk tolerance, listed her primary investment objective as 'capital preservation,' and noted she had no prior experience with stocks, bonds, or any investment products beyond a basic savings account. Her stated time horizon was 'short-term, under 3 years,' as she anticipated needing funds to cover potential long-term care expenses.

In March 2022, Margaret visited the branch office of Pinnacle Wealth Advisors in Baton Rouge after seeing a television advertisement promoting high-yield digital asset opportunities. She met with financial advisor Derek Fountain, age 34, who had recently completed an internal training module on cryptocurrency

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products. During their 45-minute meeting, Derek learned that Margaret had heard about 'crypto savings accounts' from her nephew and was curious but admittedly confused about how they worked. Rather than reviewing her completed customer profile or asking follow-up questions about her financial situation, Derek immediately launched into a presentation about a digital asset yield product called 'CryptoYield Plus,' offered through a third-party platform called NovaBridge Digital. CryptoYield Plus allowed customers to deposit Bitcoin or stablecoins and earn advertised annual yields of between 9% and 14.5%, depending on the deposit term selected.

Derek told Margaret that CryptoYield Plus was 'basically like a high-interest savings account but better,' and that the 14.5% yield tier was 'a no-brainer for anyone sitting on cash.' He did not inform her that NovaBridge Digital was not a bank, that deposits were not insured by the FDIC, that the yield was generated by NovaBridge lending her deposited assets to third-party institutional borrowers, or that in the event of platform insolvency her assets might be treated as unsecured creditor claims. Derek also did not explain that to participate, Margaret would first need to purchase Bitcoin or a stablecoin through a separate crypto exchange, incurring conversion fees, and that withdrawal of funds required a 12-month lock-up period for the highest yield tier.

Margaret, trusting Derek's characterization, agreed to invest \$115,000 - nearly 78% of her total savings - into the 14.5% annual yield tier of CryptoYield Plus. Derek assisted her in converting the funds to USDC stablecoin through a third-party exchange, where she incurred approximately \$1,200 in conversion and transfer fees. Derek earned a \$2,875 referral fee from NovaBridge Digital for onboarding Margaret's account, a compensation arrangement he did not disclose to her.

By November 2022, NovaBridge Digital suspended all withdrawals, citing 'liquidity constraints' and 'adverse market conditions' following the broader crypto market collapse of mid-2022. Margaret was unable to access her \$115,000 and received a notice from NovaBridge stating that her account was subject to an ongoing restructuring process. As of the date of the complaint filed by Margaret's attorney in January 2023, she had recovered nothing and faced potential long-term care costs she could no longer fund.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fountain's conduct constitutes multiple serious violations of applicable federal standards governing investment advice to retail customers.

****1. Failure to Know the Customer - Core Violation****

Under Regulation Best Interest (Reg BI), Exchange Act Release No. 86031 (2019), broker-dealers owe retail customers a best interest obligation that includes a Care Obligation requiring the advisor to have a reasonable basis to believe that a recommendation is in the customer's best interest based on the customer's investment profile. FINRA Rule 2090 independently imposes a 'know your customer' obligation requiring diligent effort to understand the essential facts about each customer. Derek failed both standards. Margaret's own completed profile indicated low risk tolerance, a capital preservation objective, a short time horizon, and zero investment experience. Derek did not review or act upon any of these facts before recommending that she concentrate 78% of her life savings in a speculative, illiquid digital asset yield

product.

****2. Suitability - Quantitative and Qualitative Failure****

Under FINRA Rule 2111 (suitability) and the Reg BI Care Obligation, a recommendation must be suitable in light of the customer's specific profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Recommending a 12-month locked digital asset yield product to a 71-year-old capital-preservation investor with \$2,530 in monthly income and anticipated near-term liquidity needs for medical care fails on every dimension: it is illiquid, uninsured, speculative, and concentrated. The concentration of 78% of total assets in a single unregistered yield product would be unsuitable for virtually any retail investor, let alone one of Margaret's profile.

****3. Unregistered Security - Howey Test Application****

CryptoYield Plus, as described, almost certainly constitutes a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (i) there is an investment of money; (ii) in a common enterprise (pooled deposits lent to institutional borrowers); (iii) with a reasonable expectation of profits; (iv) derived from the efforts of others (NovaBridge's lending and management operations). The SEC's 2019 Digital Asset Framework ('Framework for Investment Contract Analysis of Digital Assets') confirms this analytical approach. The SEC's enforcement actions against BlockFi (February 2022), Celsius, Gemini Earn, and Genesis all proceeded on this exact theory - that yield-bearing crypto lending products constitute unregistered securities offerings under Securities Act §5. By recommending an unregistered yield product, Derek exposed both himself and Pinnacle Wealth Advisors to liability under Securities Act §12(a)(1) for the sale of an unregistered security, and potentially under Exchange Act §10(b) and Rule 10b-5 for material omissions.

****4. Material Omissions****

Derek's description of CryptoYield Plus as 'basically like a high-interest savings account' constitutes a materially false and misleading statement under Exchange Act §10(b) and Rule 10b-5. He omitted: (a) the absence of FDIC insurance; (b) the legal structure of the product as an unsecured loan to the platform; (c) the 12-month lock-up restriction; (d) counterparty and insolvency risk; and (e) the conversion fees required to participate. Each of these omissions was material to Margaret's investment decision.

****5. Undisclosed Compensation - Conflict of Interest****

Derek received a \$2,875 referral fee from NovaBridge Digital and did not disclose this to Margaret. Under Reg BI's Disclosure Obligation, advisors must disclose all material facts about conflicts of interest, including compensation arrangements with product providers. Under the Investment Advisers Act §206, undisclosed compensation that creates a conflict constitutes a breach of fiduciary duty. This undisclosed incentive further taints the recommendation and demonstrates that Derek's advice served his own financial interest rather than Margaret's.

****6. CFTC Considerations****

To the extent Bitcoin was used as an intermediary instrument, the CFTC asserts jurisdiction over Bitcoin as a commodity under the Commodity Exchange Act. If any futures or leveraged components were embedded in NovaBridge's product structure, additional CFTC registration and disclosure obligations may apply.

****Likely Regulatory Outcome****

Derek Fountain faces potential FINRA disciplinary action including suspension or bar, civil liability under Exchange Act §10(b), and state securities law claims. Pinnacle Wealth Advisors faces supervisory liability under FINRA Rule 3110 for failing to establish adequate supervisory systems to review crypto product recommendations and referral fee arrangements. Margaret would have strong grounds for a FINRA arbitration claim seeking rescission and damages equal to the full \$115,000 invested plus consequential damages. The firm's failure to review Derek's recommendations against Margaret's documented customer profile makes the supervisory failure egregious and likely to result in enhanced sanctions.